Block practice · Business aims, productivity and market structure

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Profit maximisation and other business aims

Productivity and how to raise it

Labour productivity: output per worker

Economies and diseconomies of scale

Why and how firms grow: mergers and takeovers

Monopoly: features, barriers to entry, pros and cons

Oligopoly: features, collusion and effects

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Practice workbook · Profit maximisation and other business aims

The assumption that firms maximise profit and the alternative aims: sales or revenue maximisation, customer care, charitable work, survival or growth.

12 question parts: 1 worked-example retry and 11 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-06

1. Question 3 · part e · 9 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part e only.

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3 (a) Which **one** of the following is a reason why a firm may decide to stay small?

(1)

- ☒ **A** To increase bureaucracy
- ☒ **B** To sell a niche product
- ☒ **C** To spread business risk
- ☒ **D** To take over competitors

(b) The introduction of a minimum wage above the equilibrium wage in a labour market is most likely to

(1)

- ☒ **A** increase quantity of labour demanded and decrease the wage rate
- ☒ **B** increase quantity of labour demanded and increase the wage rate
- ☒ **C** decrease quantity of labour demanded and decrease the wage rate
- ☒ **D** decrease quantity of labour demanded and increase the wage rate

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(c) On the diagram below, draw and label economies of scale, diseconomies of scale and the point at which the firm is most efficient.

(3)

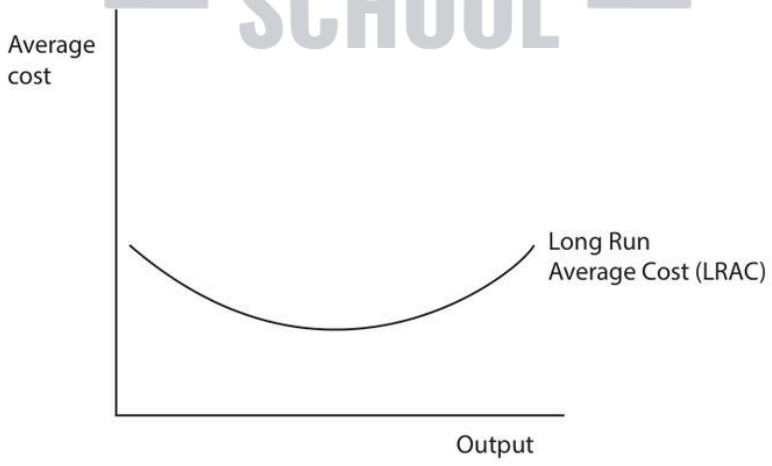

Figure 4

1. Question 3 · part e · 9 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part e only.

The education system in Japan is one of the best in the world. Primary and secondary education is free, with a typical school day from 08:00 to 15:00 or 16:00, depending on the age of the students.

(Source: adapted from https://www.internations.org/japan-expats/guide/education)

(d) With reference to the data above and your knowledge of economics, analyse why education in Japan may be an external benefit.

(6)

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1. Question 3 · part e · 9 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part e only.

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1. Question 3 · part e · 9 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part e only.

Simona owns a hairdressing business in Romania. She charges low prices and makes no charge when customers arrive late for appointments or make very late cancellations. She thinks customer care is more important than making a profit.

However, some customers have complained at having to wait weeks before an appointment is available. As a result, Simona has lost customers. This has caused financial problems in repaying a loan to the bank.

In response, Simona is considering increasing her prices and charging a fee to those who arrive late or cancel without suitable notice.

(e) With reference to the data above and your knowledge of economics, assess the benefits to Simona of making these changes.

(9)

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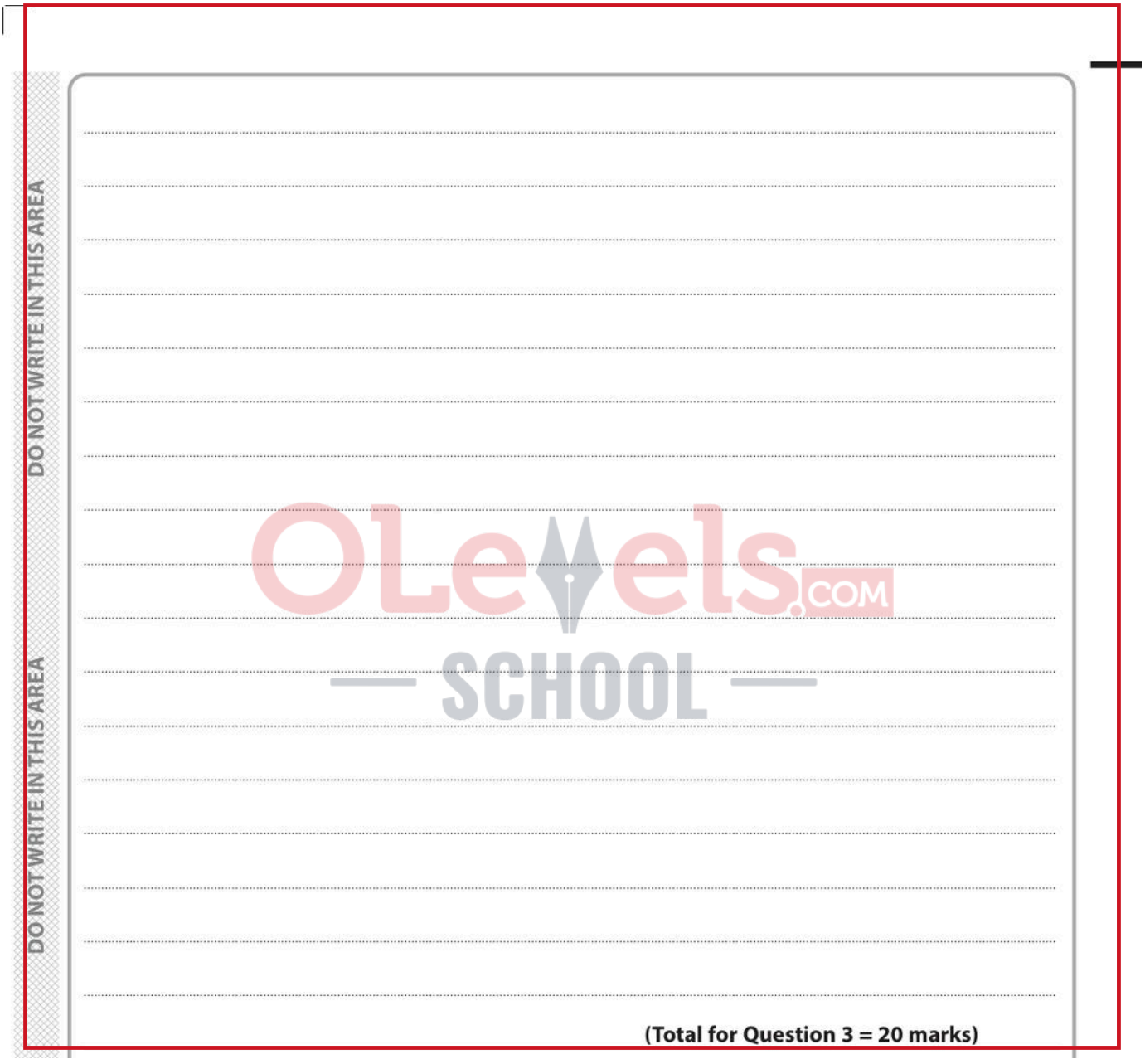
1. Question 3 · part e · 9 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part e only.



1. Question 3 · part e · 9 marks · Working and answer

Working and answer

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2. Question 2 · part a · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

2 (a) Which **one** of the following might be an aim of a firm in the private sector?

(1)

- ☒ **A** Maximise costs
- ☒ **B** Reduce interest rates
- ☒ **C** Maximise profits
- ☒ **D** Reduce economies of scale

Cyprus has a mixed economy.

(b) Which **one** of the following is most likely to be provided by the public sector in Cyprus?

(1)

- ☒ **A** Cars
- ☒ **B** Roads
- ☒ **C** Driving lessons
- ☒ **D** Petrol

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2. Question 2 · part a · 1 mark · Working and answer

Working and answer

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3. Question 1 · part i · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part i only.

1 (a) Which **one** of the following values shows perfect price inelasticity of supply?

(1)

- ☒ **A** 1.5
- ☒ **B** 1
- ☒ **C** 0.5
- ☒ **D** 0

(b) A firm has total costs of $1 250 000 per month and variable costs of $100 per unit. If it produces 5,000 units, calculate the **total fixed costs** per month for the firm.

(1)

- ☒ **A** $1 750 000
- ☒ **B** $1 250 100
- ☒ **C** $1 249 900
- ☒ **D** $750 000

(c) What is meant by the term supply?

(2)

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3. Question 1 · part i · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part i only.

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(d) State **one** example of an occupation that is in the secondary sector of the economy.

(1)

(e) Define the term labour.

(1)

(f) Calculate the **income elasticity of demand (YED)** for a good if income increases by 25% and quantity demanded increases by 10%. You are advised to show your working.

(2)

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3. Question 1 · part i · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part i only.

(g) Using the diagram below, draw the likely effects of an increase in income on the equilibrium price and quantity for wireless headphones. Label the new curve, the new equilibrium price and quantity.

(3)

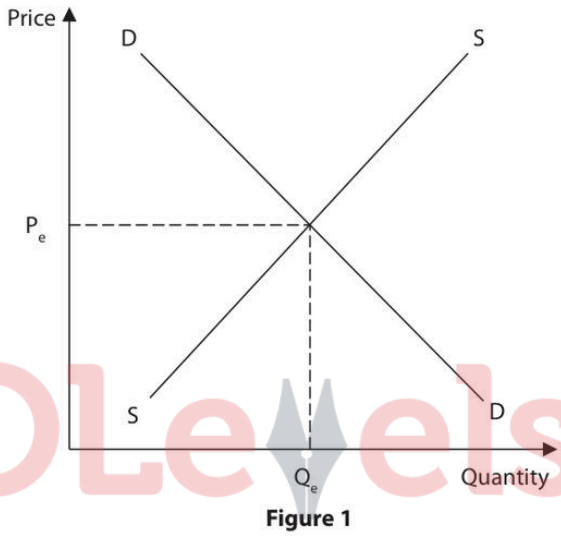

Figure 1

The government of a country has decided to build a new hospital.

(h) Explain **one** possible opportunity cost for the government of this decision.

(3)

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3. Question 1 · part i · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part i only.

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McAfee is a US-based global computer software security company. In 2017, its revenue was over $2.5bn. The company operates a 'fundraising match programme'. This means when one of its 7,600 employees participates in a fundraising activity, such as a walk, run or cycle event, the company will contribute an equal amount. For every $1 raised for charity by an employee, the company will also contribute $1 to the charity, up to a maximum of $1 000 per person.

(Source adapted from: https://doublethedonation.com/tips/companies-that-donate-to-nonprofits/#match)

(i) With reference to the data above and your knowledge of economics, analyse the possible reasons why McAfee chooses not to profit maximise but instead operates the fundraising match programme.

(6)

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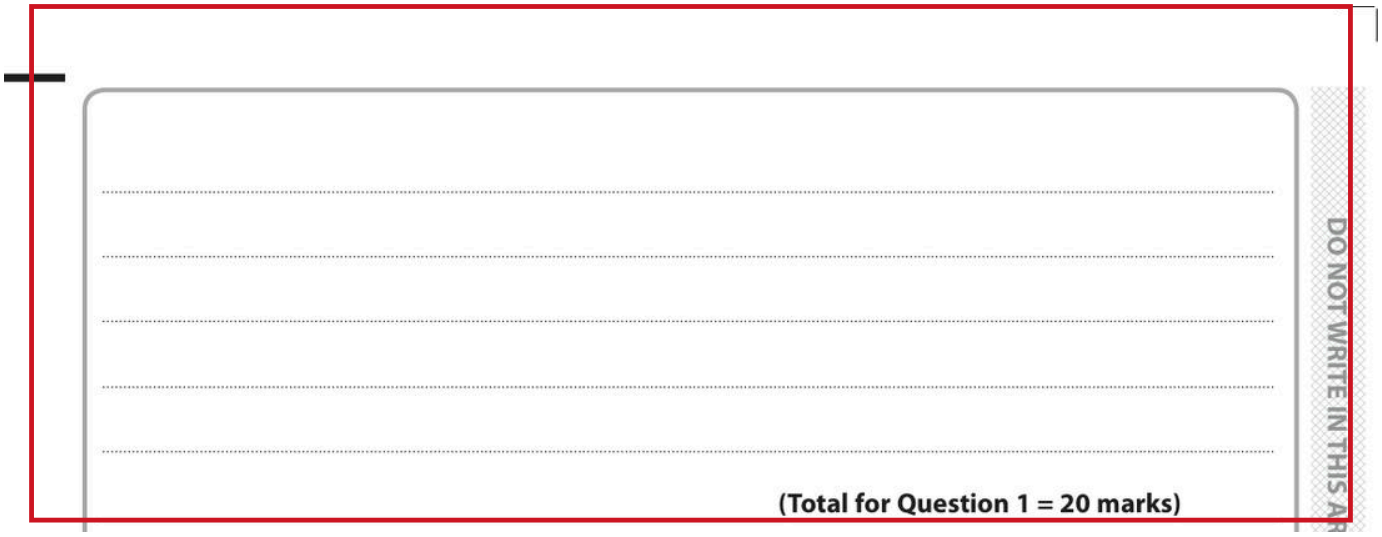
3. Question 1 · part i · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part i only.



Working and answer

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4. Question 2 · part g · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part g only.

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2 (a) Which **one** of the following is the correct label to replace 'X' on the diagram below?

(1)

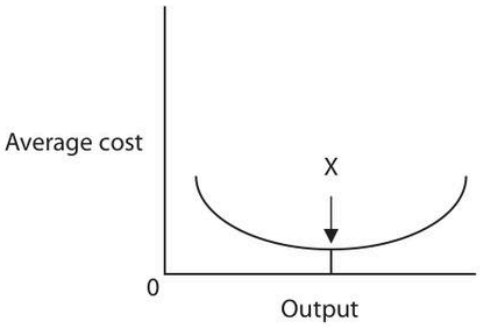

Figure 3

- ☒ **A** Internal economies of scale
- ☒ **B** External economies of scale
- ☒ **C** Total costs
- ☒ **D** Most efficient

(b) Which **one** of the following is an example of derived demand?

(1)

- ☒ **A** Consumer demand for clothes to wear
- ☒ **B** Tourist demand for foreign holidays
- ☒ **C** Producer demand for labour to make goods
- ☒ **D** Student demand for computer games to play

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4. Question 2 · part g · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part g only.

Figure 4 shows some of the production costs in November for a firm manufacturing rugs and carpets in Pakistan.

Production costs	Pakistani Rupee (Rs)
Rent	40 250
Raw materials	20 050
Advertising	10 125
Labour (paid in direct proportion to output)	210 000

Figure 4

(c) Calculate the **total fixed costs** for the firm in November. You are advised to show your working.

(2)

(d) What is meant by the term demand?

(2)

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4. Question 2 · part g · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part g only.

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(e) Describe **one** government policy to deal with negative externalities.

(2)

Irrigation of Scottish farmland was increased during the summer of 2018.

(f) Explain **one** way an increase in irrigation may have affected the productivity of Scottish farmers during the summer of 2018.

(3)

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4. Question 2 · part g · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part g only.

Lanterns is an English café, located just outside a town where there are few job opportunities. It was set up by sisters Jo and Fiona who, instead of aiming to make a profit, wanted to help young people in their local area. All their waiters and waitresses are under 25 and were previously inexperienced and unemployed.

At first, the café was popular but now there are a lot of complaints about the length of time it takes for orders to arrive. Fiona thinks they need to employ experienced waiters and waitresses and change their business aims to maximise their profits.

(g) With reference to the data above and your knowledge of economics, assess whether Lanterns should change their business aims.

(9)

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4. Question 2 · part g · 9 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part g only.

4. Question 2 · part g · 9 marks · Working and answer

Working and answer

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5. Question 1 · part b · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part b only.

1 (a) Which **one** of the following does a point on a production possibility curve (PPC) represent?

(1)

- ☒ **A** Where capital goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Government revenue from production
- ☒ **D** A given amount of resources being fully employed

Andreas is a plumber. Unlike his competitors, he is prepared to work at the weekend. However, he charges customers 50% more for his services at the weekend.

(b) Which **one** of the following describes this economic assumption?

(1)

- ☒ **A** Businesses aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers sometimes copy others' behaviour
- ☒ **D** Governments try to increase the number of days worked

(c) What is meant by the term economies of scale?

(2)

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5. Question 1 · part b · 1 mark · Working and answer

Working and answer

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6. Question 1 · part a · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a only.

1 (a) Which **one** of the following is a reason why firms may not always maximise their profit?

(1)

- ☒ **A** They may minimise total costs
- ☒ **B** They may be able to sell at a high price
- ☒ **C** They may have low fixed costs
- ☒ **D** They may complete charitable work

A product has an income elasticity of demand (YED) of 0.7.

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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6. Question 1 · part a · 1 mark · Working and answer

Working and answer

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7. Question 1 · part h · 3 marks

2023 JAN · Paper 01

Further practice · Attempt part h only.

1 (a) What is the name given to a firm that manufactures cars?

(1)

- ☒ **A** A primary sector firm
- ☒ **B** A secondary sector firm
- ☒ **C** A tertiary sector firm
- ☒ **D** A service sector firm

A firm that employs 540 workers has a total monthly output of 27,000 units.

(b) What is the monthly labour productivity of the firm?

(1)

- ☒ **A** 0.02 units
- ☒ **B** 50 units
- ☒ **C** 27,540 units
- ☒ **D** 14,580,000 units

(c) What is meant by the term division of labour?

(2)

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7. Question 1 · part h · 3 marks

2023 JAN · Paper 01

Further practice · Attempt part h only.

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(d) State **one** factor of production.

(1)

(e) Define the term public sector.

(1)

Yusef paints portraits of tourists who visit his home town. He recently reduced the price he charges by 2.5% and quantity demanded increased by 3.2%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Yusef's portraits. You are advised to show your working.

(2)

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7. Question 1 · part h · 3 marks

2023 JAN · Paper 01

Further practice · Attempt part h only.

Figure 1 shows the market for trainers.

(g) Using the diagram below, draw the likely effects on the market after a popular celebrity was seen wearing trainers. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

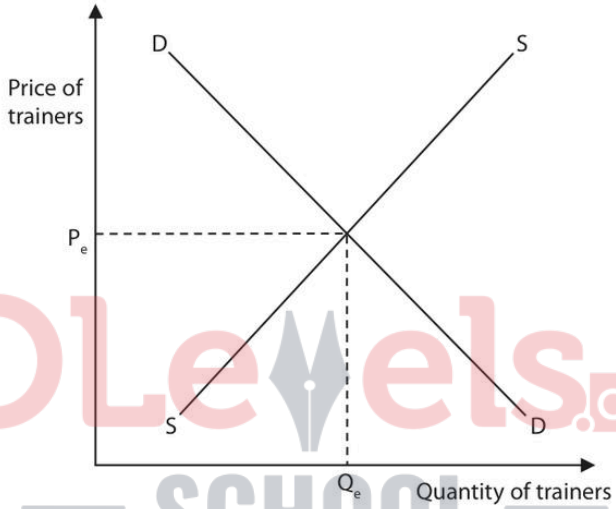

Figure 1

Spice Cottage is a new food producing business. Its prices are lower than market research suggests consumers would be willing to pay.

(h) Explain **one** reason why Spice Cottage may not aim to maximise its profit.

(3)

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7. Question 1 · part h · 3 marks

2023 JAN · Paper 01

Further practice · Attempt part h only.

Megabus provides cheap bus travel in Canada, the US and the UK. Research showed that if incomes rose by 10% then the quantity demanded for bus travel would fall by 15%.

(i) With reference to the data above and your knowledge of economics, analyse why this knowledge could be useful to a firm such as Megabus.

(6)

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7. Question 1 · part h · 3 marks · Working and answer

Working and answer

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8. Question 1 · part h · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

1 (a) For which **one** of the following will demand increase when incomes decrease?

(1)

- ☒ **A** Capital good
- ☒ **B** Inferior good
- ☒ **C** Luxury good
- ☒ **D** Normal good

A firm's monthly total costs are $2 640 and monthly fixed costs are $900.

(b) Which **one** of the following equals $1 740?

(1)

- ☒ **A** Price
- ☒ **B** Profit
- ☒ **C** Average total costs
- ☒ **D** Total variable costs

(c) What is meant by the term division of labour?

(2)

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8. Question 1 · part h · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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(d) State **one** reason why a supply curve will shift to the left.

(1)

(e) Define the term competition.

(1)

A firm sells its products at a price of € 75 per unit and has a cost per unit of € 35.

(f) Calculate the **total revenue** for the firm when its monthly sales are 250 units.
You are advised to show your working.

(2)

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8. Question 1 · part h · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

Figure 1 shows the market for mangoes.

(g) Using the diagram below, draw the likely effects on the market for mangoes after a study shows that eating them leads to an improvement in health. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

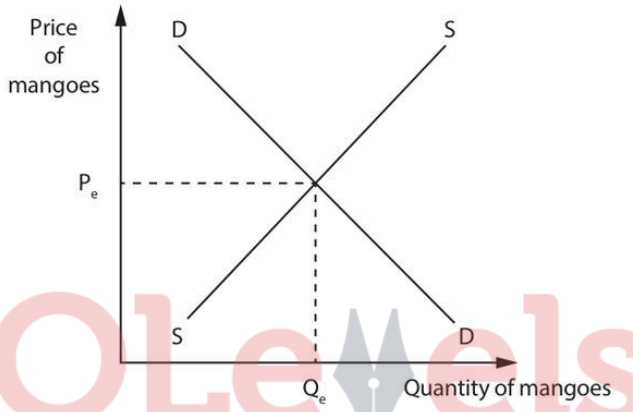

Figure 1

Christine runs a small cafe in New Zealand. She has many regular customers and has a reputation for serving large-sized meals, even though it means she makes less profit on each meal.

(h) Explain **one** possible reason why Christine serves large-sized meals.

(3)

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8. Question 1 · part h · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

There has been a decline in employment in the secondary sector in developed countries such as Germany, the UK and the US. Goods are now often manufactured in low-cost Asian countries. At the same time, there has been a rise in the number of people employed in the tertiary sector in developed countries.

(i) With reference to the data above and your knowledge of economics, analyse why there has been this shift in employment in developed countries.

(6)

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8. Question 1 · part h · 3 marks · Working and answer

Working and answer

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9. Question 1 · part i · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

1 (a) Which **one** of the following values shows perfectly price inelastic supply?

(1)

- ☒ **A** 0
- ☒ **B** 0.5
- ☒ **C** 1
- ☒ **D** 2

(b) As a result of government policy, a firm had a decrease in its total costs of $200 each month. Which **one** of the following is the most likely type of government policy to produce this decrease in costs?

(1)

- ☒ **A** Fine
- ☒ **B** Regulation
- ☒ **C** Increased subsidy
- ☒ **D** Increased taxation

(c) What is meant by the term private sector?

(2)

(d) State **one** factor that may affect the supply of labour.

(1)

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9. Question 1 · part i · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

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(e) Define the term government.

(1)

(f) Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 6.2% and quantity demanded increases by 1.7%. You are advised to show your working.

(2)

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9. Question 1 · part i · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

Figure 1 shows the market for tennis balls.

(g) Using the diagram below, draw the likely effects on the market for tennis balls after a fall in the price of tennis rackets. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

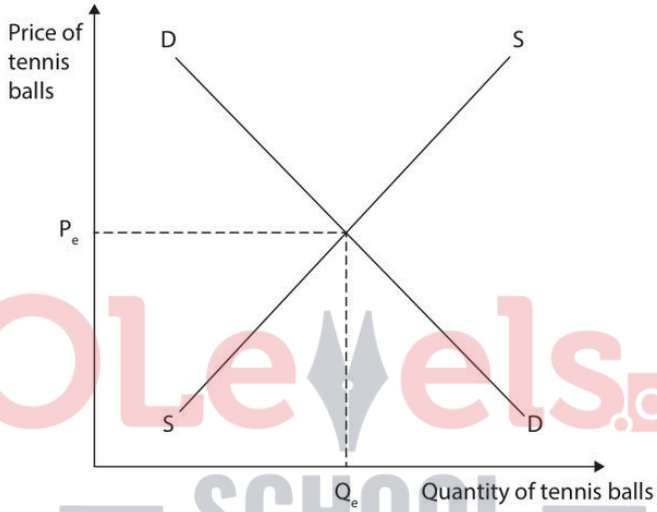

Figure 1

A firm has decided to purchase a new delivery vehicle.

(h) Explain **one** possible opportunity cost for the firm of this decision.

(3)

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9. Question 1 · part i · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

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Jags owns a café in a small town in Malaysia. During a recent school holiday, she offered a free lunch to each child visiting the café with a paying adult. This was welcomed by customers who have had problems in the last few months due to the rising cost of living.

(i) With reference to the data above and your knowledge of economics, analyse a possible reason why Jags chose not to maximise profit.

(6)

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9. Question 1 · part i · 6 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part i only.

9. Question 1 · part i · 6 marks · Working and answer

Working and answer

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10. Question 2 · part f · 3 marks

2024 JUN · Paper 01

Further practice · Attempt part f only.

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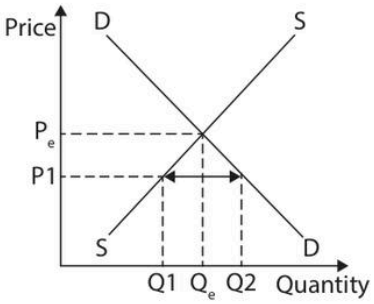
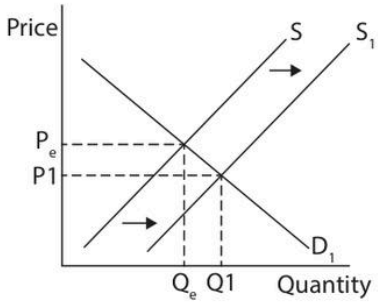
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

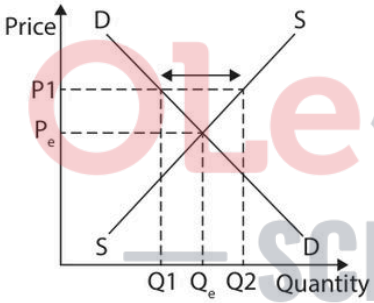
☒ **A**



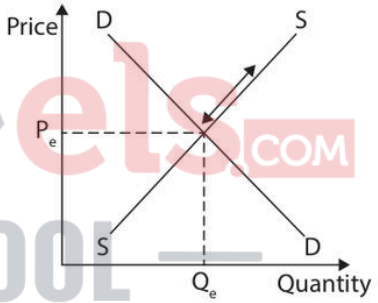
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of a monopoly?

(1)

☒ **A** Consumers have a choice of firms

☒ **B** There are many firms competing in the market

☒ **C** The firm is a price-maker

☒ **D** There are low barriers to entry

Olevels.COM SCHOOL

10. Question 2 · part f · 3 marks

2024 JUN · Paper 01

Further practice · Attempt part f only.

(c) Calculate the **percentage change in quantity demanded** for a product if the price elasticity of demand (PED) is –1.9 and the price falls by 10%. You are advised to show your working.

(2)

(d) What is meant by the term social benefits?

(2)

(e) Describe **one** feature of an oligopoly.

(2)

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P 7 2 9 6 7 A 0 8 2 4

10. Question 2 · part f · 3 marks

2024 JUN · Paper 01

Further practice · Attempt part f only.

Hanan is the owner of a shop and wants to maximise profits. However, Mostafa is the manager of the shop and wants to offer customers a 10% discount for making purchases in large quantities.

(f) Explain **one** reason why Mostafa may want to offer this discount rather than to maximise profit.

(3)

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10. Question 2 · part f · 3 marks

2024 JUN · Paper 01

Further practice · Attempt part f only.

A ban on single-use plastic bags has been in place in Kenya for more than five years. It has led to a cleaner environment, as plastic bags were causing visual pollution and endangering the lives of livestock that consumed them. However, the ban has not been effective in totally removing the problem.

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of government regulation when dealing with externalities such as pollution.

(9)

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P 7 2 9 6 7 A 0 1 0 2 4

10. Question 2 · part f · 3 marks · Working and answer

Working and answer

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11. Question 1 · part b · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

1 (a) Which **one** of the following can represent a point on a production possibility curve (PPC)?

(1)

- ☒ **A** Where consumer goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Total revenue from production
- ☒ **D** Production which is obtainable

On one day a month, a firm charges each customer a price of $10 for providing one hour of gardening services. The cost to the firm for providing the service to each customer is $15.

(b) Which **one** of the following describes why the firm might do this?

(1)

- ☒ **A** Producers aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers sometimes copy others' behaviour

(c) What is meant by the term economies of scale?

(2)

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P 7 2 1 3 3 A 0 2 2 4

11. Question 1 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

12. Question 3 · part e · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part e only.

3 (a) Which **one** of the following may be a reason why a firm stays small?

(1)

- ☒ **A** Ability to take over competitors
- ☒ **B** Access to many sources of finance
- ☒ **C** Ability to spread risk
- ☒ **D** Aims of the entrepreneur

(b) Which **one** of the following describes a price elasticity of supply (PES) of 1.5?

(1)

- ☒ **A** Perfectly price elastic
- ☒ **B** Perfectly price inelastic
- ☒ **C** Price elastic
- ☒ **D** Price inelastic

Figure 5 shows the labour market for a country.

(c) Using the diagram below, draw the effect of a decrease in the school-leaving age on the labour market in this country. Label the new curve, the new equilibrium wage rate and the new quantity of workers.

(3)

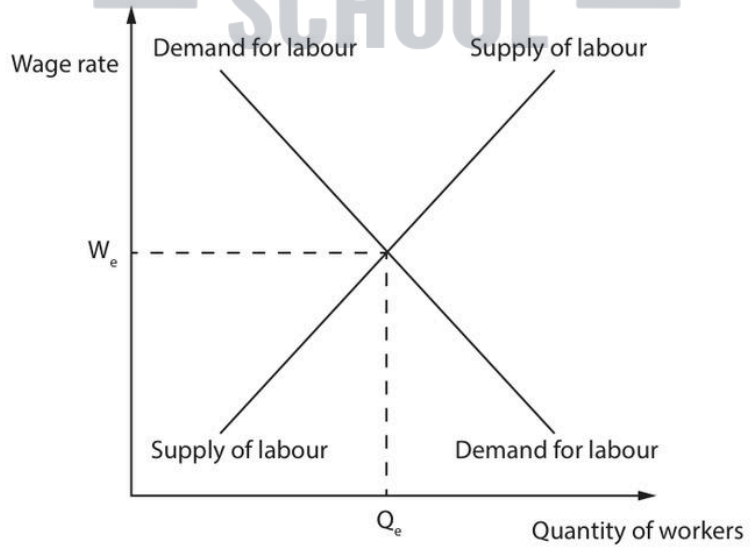

Figure 5

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12. Question 3 · part e · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part e only.

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The price of olive oil peaked in the summer of 2024, averaging €10 000 per tonne. It is expected to fall to between €4 000 and €5 000 per tonne in 2025.

Some of the main areas where olive oil is produced are located in Greece, Spain and Tunisia. All are set for improved harvests of olives, after years of heatwaves and droughts causing a fall in the harvest. Better weather means Greece is expected to produce 230,000 tonnes in the 2025 season, up from 130,000 tonnes the previous year. While Spain and Tunisia are also forecasting large increases in production.

(d) With reference to the data above and your knowledge of economics, analyse how natural factors, such as favourable weather conditions, may affect the market for olive oil in 2025.

(6)

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12. Question 3 · part e · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part e only.

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12. Question 3 · part e · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part e only.

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Fitnation is a fitness centre in Almaty, Kazakhstan. Boxing is one of the many activities provided by the centre. Fitnation aims to complete charitable work by offering city residents access to the boxing facilities and coaching at a discounted price on one day a week. This makes boxing more accessible to many of the population who may otherwise not have been able to afford it.

However, it means the facilities are very busy on this day, reducing the availability for the centre members who have paid the full price of between $25 and $50 for a month of membership.

(e) With reference to the data above and your knowledge of economics, assess the benefits to Fitnation of offering the discounted price.

(9)

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12. Question 3 · part e · 9 marks

2025 NOV · Paper 01

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

12. Question 3 · part e · 9 marks · Working and answer

Working and answer

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Practice workbook · Productivity and how to raise it

Productivity as output per unit of input; raising land productivity (fertiliser, irrigation, drainage, reclamation), labour productivity (education, training, migration, human capital) and capital productivity (technology).

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-04

1. Question 2 · part f · 3 marks

2025 NOV · Paper 01

Worked-example retry · Attempt part f only.

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2 Figure 3 shows a long-run average cost (LRAC) curve diagram.

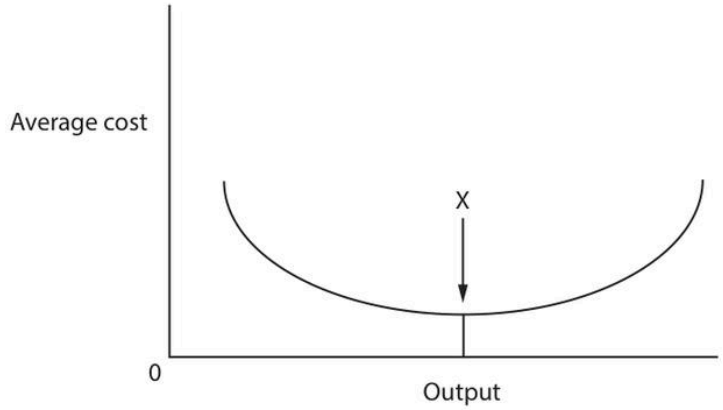

Figure 3

(a) Which **one** of the following is the correct label to replace 'X'?

(1)

- ☒ **A** Diseconomies of scale
- ☒ **B** External economies of scale
- ☒ **C** Most efficient
- ☒ **D** Profit

(b) Which **one** of the following is the most likely cause of economic growth?

(1)

- ☒ **A** An increase in taxation
- ☒ **B** An improvement in efficiency
- ☒ **C** Fewer advances in technology
- ☒ **D** An increase in unemployment

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1. Question 2 · part f · 3 marks

2025 NOV · Paper 01

Worked-example retry · Attempt part f only.

Figure 4 shows some of the financial information in August for a shop selling ice creams at a price of $3.50 each.

Week	Number of ice creams sold
1	227
2	133
3	179
4	301

Figure 4

(c) Calculate the **total revenue** for the shop in August. You are advised to show your working.

(2)

(d) What is meant by the term bureaucracy?

(2)

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1. Question 2 · part f · 3 marks

2025 NOV · Paper 01

Worked-example retry · Attempt part f only.

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(e) Describe **one** government policy to encourage positive externalities.

(2)

In 2024, it was recommended that additional funding should be provided for the drainage of farmland in India.

(f) Explain **one** way an improvement in drainage may affect the productivity of Indian farmers.

(3)

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1. Question 2 · part f · 3 marks

2025 NOV · Paper 01

Worked-example retry · Attempt part f only.

In 2024, the minimum wage in Kuwait was 75 KWD (Kuwaiti dinar) per month, equal to about $243 per month.

(g) With reference to the data above and your knowledge of economics, assess the likely effect of having a minimum wage on the demand for labour in Kuwait.

(9)

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1. Question 2 · part f · 3 marks · Working and answer

Working and answer

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2. Question 3 · part e · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

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3 A product has an income elasticity of demand (YED) of -0.16.

(a) Which **one** of the following best describes this product?

(1)

- ☒ **A** A luxury good
- ☒ **B** A normal good
- ☒ **C** A public good
- ☒ **D** An inferior good

(b) Which **one** of the following is a diseconomy of scale?

(1)

- ☒ **A** An increase in productivity
- ☒ **B** An increase in bureaucracy
- ☒ **C** A decrease in the cost of research and development
- ☒ **D** A decrease in government regulation

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2. Question 3 · part e · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

(c) Using the diagram below, draw the effects of a minimum wage (W_1) being set above the equilibrium wage (W_e). Label the new quantity of labour demanded and the new quantity of labour supplied.

(3)

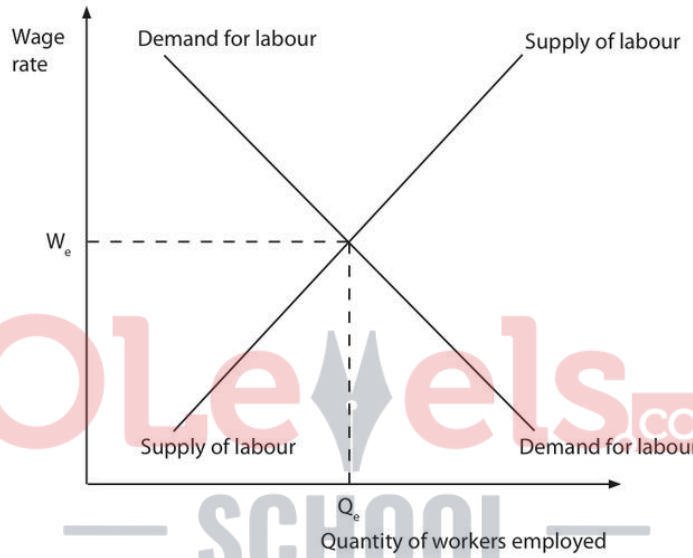

Figure 5

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2. Question 3 · part e · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

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Firms in Canada, the world's second largest country, have been struggling to find the labour needed for specialist positions such as computer engineers and web designers. The 'Global Talent Stream' is a government programme that provides firms with a quick way to hire highly skilled foreign workers. High costs and long time commitments often stop Canadians from training. Although a processing fee is payable for each new employee, firms have welcomed the programme.

(Source: adapted from http://www.canada.ca/en/employment-socialdevelopment/)

(d) With reference to the data above and your knowledge of economics, analyse why Canadian firms may have been struggling to hire the labour they need.

(6)

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2. Question 3 · part e · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

Productivity is a measure of how efficiently goods and services are produced and is the single most important determinant of a country's per capita income. Canada's labour productivity growth has been lower than that of other leading economies for many decades, reducing its international competitiveness. Since 2011 however, Canada's labour productivity has greatly improved and it is now the 3rd most productive of the 16 leading economies.

(Source: adapted from http://www.conferenceboard.ca/hcp/)

(e) With reference to the data above and your knowledge of economics, assess the extent to which an increase in education and training is the best way to increase productivity.

(9)

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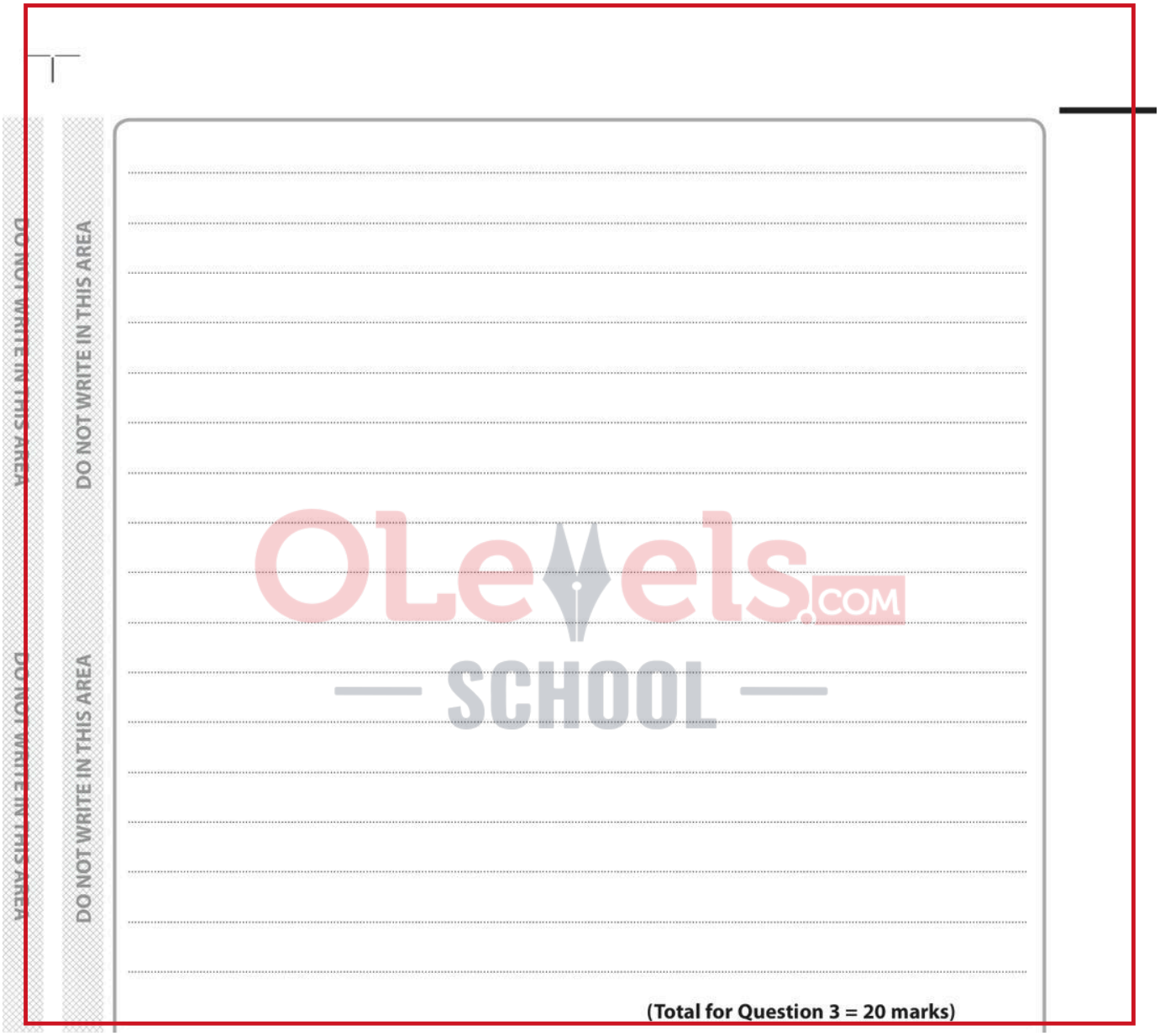
2. Question 3 · part e · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.



2. Question 3 · part e · 9 marks · Working and answer

Working and answer

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3. Question 2 · part f · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

2 (a) Which **one** of the following is the correct label to replace 'X' on the diagram below?

(1)

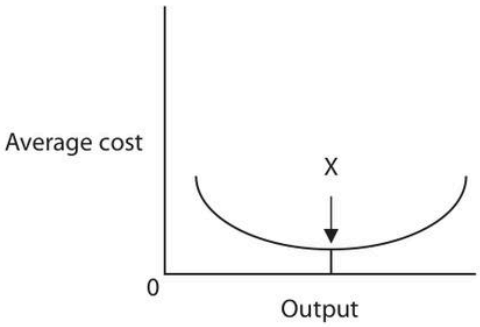

Figure 3

- ☒ **A** Internal economies of scale
- ☒ **B** External economies of scale
- ☒ **C** Total costs
- ☒ **D** Most efficient

(b) Which **one** of the following is an example of derived demand?

(1)

- ☒ **A** Consumer demand for clothes to wear
- ☒ **B** Tourist demand for foreign holidays
- ☒ **C** Producer demand for labour to make goods
- ☒ **D** Student demand for computer games to play

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3. Question 2 · part f · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

Figure 4 shows some of the production costs in November for a firm manufacturing rugs and carpets in Pakistan.

Production costs	Pakistani Rupee (Rs)
Rent	40 250
Raw materials	20 050
Advertising	10 125
Labour (paid in direct proportion to output)	210 000

Figure 4

(c) Calculate the **total fixed costs** for the firm in November. You are advised to show your working.

(2)

(d) What is meant by the term demand?

(2)

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3. Question 2 · part f · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

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(e) Describe **one** government policy to deal with negative externalities.

(2)

Irrigation of Scottish farmland was increased during the summer of 2018.

(f) Explain **one** way an increase in irrigation may have affected the productivity of Scottish farmers during the summer of 2018.

(3)

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3. Question 2 · part f · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

Lanterns is an English café, located just outside a town where there are few job opportunities. It was set up by sisters Jo and Fiona who, instead of aiming to make a profit, wanted to help young people in their local area. All their waiters and waitresses are under 25 and were previously inexperienced and unemployed.

At first, the café was popular but now there are a lot of complaints about the length of time it takes for orders to arrive. Fiona thinks they need to employ experienced waiters and waitresses and change their business aims to maximise their profits.

(g) With reference to the data above and your knowledge of economics, assess whether Lanterns should change their business aims.

(9)

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3. Question 2 · part f · 3 marks · Working and answer

Working and answer

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4. Question 4 · part c · 12 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.

4 Financial data for a firm selling a selection of products is shown in Figure 5.

Product	X	Y
Price	$1 500	$1 650
Quantity sold	25	20
Total revenue	$1 500 × 25	$1 650 × 20
PED	−0.39	−1.46

Figure 5

(a) Calculate the **total revenue** for the product that has a price elasticity of demand (PED) which is **elastic**. You are advised to show your working.

(2)

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4. Question 4 · part c · 12 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.

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Tony Simpson is an artist whose income comes from selling his paintings to small craft shops. However, sales have recently fallen due to the closure of many of these types of shops. To avoid the risk of unemployment, he is considering training to become an art teacher by applying to a government scheme. This would provide an income while Tony is training to be a teacher.

(b) With reference to the data above and your knowledge of economics, analyse how an increased ability to move to different types of employment might affect the supply of labour.

(6)

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4. Question 4 · part c · 12 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.

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4. Question 4 · part c · 12 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.

The rise of the restaurant robot

There has been an increase in the number of restaurants using robots instead of waiters and even chefs. Waiters who take customer orders have been replaced with computer tablets for ordering. Technology is now available to automatically serve espresso shots and make cappuccinos. This is due to efficiencies, rising labour costs, consumers' desire for convenience and their changing purchasing habits. This could change the dining experience as restaurants increase their use of technology.

(Source adapted from: https://www.forbes.com/sites/andrewrigie/2018/09/24/the-rise-of-the-restaurant-robot/#4f69b2593747)

(c) With reference to the data above and your knowledge of economics, evaluate the possible effect of an increase in the use of technology on productivity in restaurants.

(12)

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4. Question 4 · part c · 12 marks

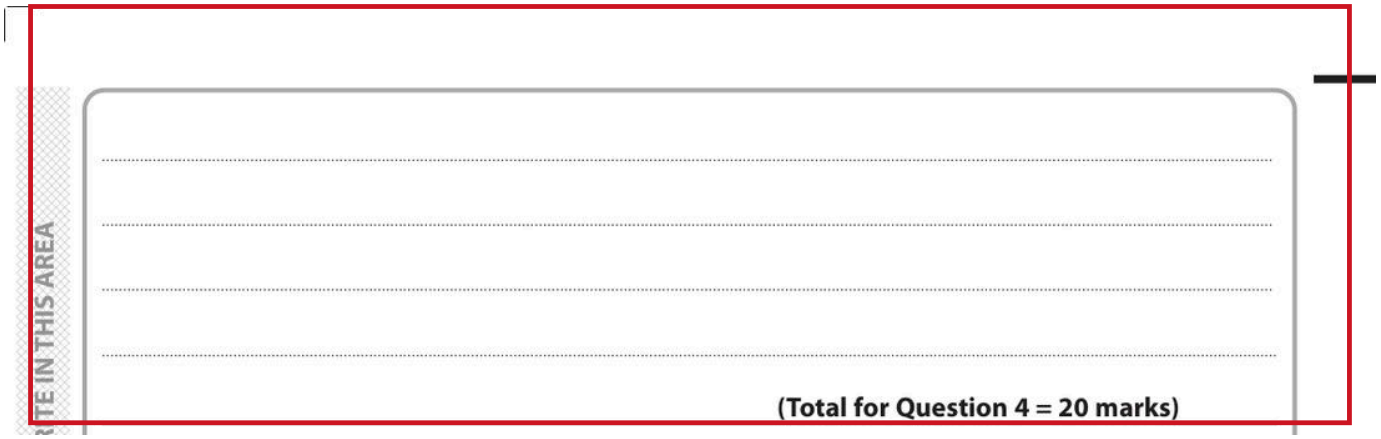
2020 NOV · Paper 01

Further practice · Attempt part c only.

4. Question 4 · part c · 12 marks

2020 NOV · Paper 01

Further practice · Attempt part c only.



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4. Question 4 · part c · 12 marks · Working and answer

Working and answer

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5. Question 1 · part c · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part c only.

1 (a) Which **one** of the following is a reason why firms may not always maximise their profit?

(1)

- ☒ **A** They may minimise total costs
- ☒ **B** They may be able to sell at a high price
- ☒ **C** They may have low fixed costs
- ☒ **D** They may complete charitable work

A product has an income elasticity of demand (YED) of 0.7.

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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5. Question 1 · part c · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part c only.

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(d) State the formula for calculating social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of $50 000 per month and variable costs of $250 per unit.
It produces 750 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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5. Question 1 · part c · 2 marks · Working and answer

Working and answer

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6. Question 3 · part b · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

3 (a) A pollution permit is a type of

(1)

- ☒ **A** factor of production
- ☒ **B** government intervention
- ☒ **C** economy of scale
- ☒ **D** economic assumption

(b) Which **one** of the following is likely to lead to an increase in the productivity of land?

(1)

- ☒ **A** Increase in the use of fertiliser
- ☒ **B** Decrease in the use of irrigation
- ☒ **C** Increase in the use of advertising
- ☒ **D** Decrease in the use of drainage

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6. Question 3 · part b · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

(c) In the box below, draw a production possibility frontier (PPF) for a firm that can produce tables and/or chairs. On your PPF, draw what would happen if the production of chairs decreased and tables increased.

(3)

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6. Question 3 · part b · 1 mark · Working and answer

Working and answer

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7. Question 2 · part b · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part b only.

2

Chart to show market share held by firms within a market

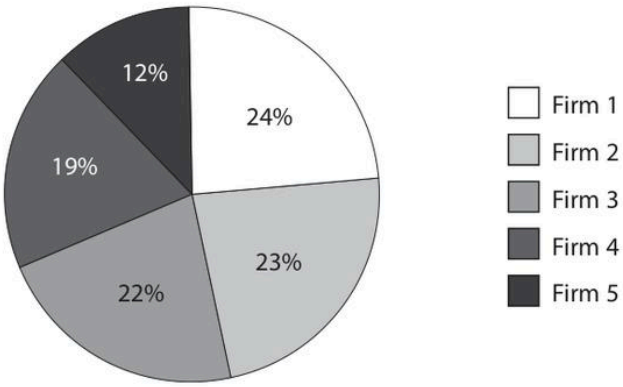

Figure 2

(a) Which **one** of the following options is the type of market shown in Figure 2?

(1)

- ☒ **A** Labour
- ☒ **B** Public
- ☒ **C** Monopoly
- ☒ **D** Oligopoly

(b) An increase in which **one** of the following is most likely to increase productivity?

(1)

- ☒ **A** Bureaucracy
- ☒ **B** Congestion
- ☒ **C** Irrigation
- ☒ **D** Regulation

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7

Turn over ▶

7. Question 2 · part b · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part b only.

(c) What is meant by the term barriers to entry?

(2)

A firm has total fixed costs of $57 000 per month and variable costs of $750 per unit. It produces 1,820 units per month.

(d) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

(e) Describe **one** disadvantage for a government of using subsidies.

(2)

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P 7 1 5 5 5 A 0 8 2 4

7. Question 2 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 3 · part b · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

3 (a) A minimum wage is a type of

(1)

- ☒ **A** factor of production
- ☒ **B** economic assumption
- ☒ **C** economy of scale
- ☒ **D** government intervention

(b) Which **one** of the following is likely to lead to an increase in the productivity of capital?

(1)

- ☒ **A** An increase in bureaucracy
- ☒ **B** A decrease in the availability of finance
- ☒ **C** An increase in technological advances
- ☒ **D** A decrease in the size of the market

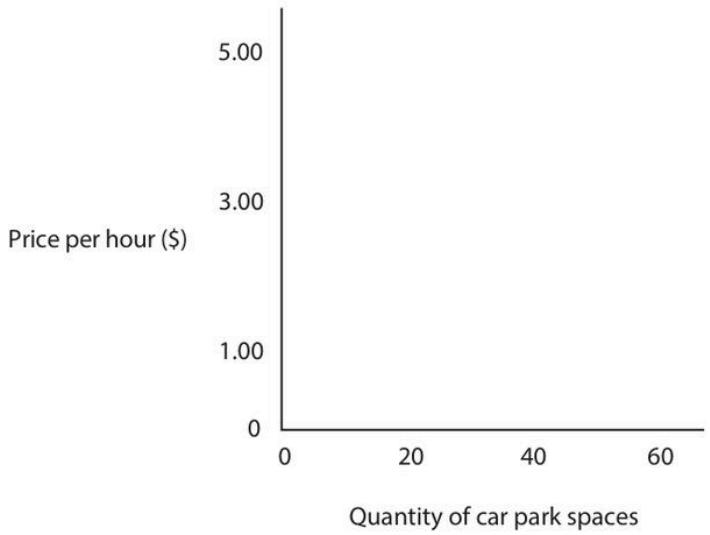
Figure 3 shows the estimated demand for car park spaces at a given price.

Price per hour ($)	1.00	3.00	5.00
Demand	60	40	20

Figure 3

(c) Using the information in Figure 3, draw and label the demand curve for car park spaces on the diagram below.

(3)



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8. Question 3 · part b · 1 mark · Working and answer

Working and answer

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9. Question 4 · part c · 12 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

4 Figure 3 shows the costs to a firm of running a machine to produce an order of goods.

Purchase price of machine ($)	Electricity ($ per hour)	Production time (hours)	Insurance ($)
1 036	0.45	19	17

Figure 3

(a) Calculate the **total variable costs** of this order for the firm.
You are advised to show your working.

(2)

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9. Question 4 · part c · 12 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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A project to update the infrastructure and develop new routes along Indian railways has been in progress for a number of years. One part of the plan is to expand the rail network between Hyderabad and Karnataka.

The expanded railway network will provide more services for passengers, along with more freight trains. This will mean more raw materials, including cement, iron ore and steel can be transported.

(b) With reference to the data above and your knowledge of economics, analyse the impact of external economies of scale on construction firms in India.

(6)

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9. Question 4 · part c · 12 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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P 7 2 9 6 8 R A 0 2 0 2 4

9. Question 4 · part c · 12 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

In 2023, the Egyptian Government raised the price it paid for wheat to encourage farmers to increase production.

Wheat farmers face the difficulty of a limited amount of land available for agriculture. However, there are government programmes including land reclamation and guidance for farmers on both the use of fertiliser and irrigation systems.

As well as having a limited amount of land, many farmers are only familiar with traditional methods of farming and do not have the skills or the finance to change to new methods.

(c) With reference to the data above and your knowledge of economics, evaluate the extent to which these government programmes may affect farming productivity in a country such as Egypt.

(12)

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9. Question 4 · part c · 12 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

9. Question 4 · part c · 12 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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(Total for Question 4 = 20 marks)

9. Question 4 · part c · 12 marks · Working and answer

Working and answer

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10. Question 3 · part e · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

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3 (a) Which **one** of the following is most likely to cause a shift to the left of the demand curve?

(1)

- ☒ **A** Increased advertising
- ☒ **B** Cost reductions
- ☒ **C** Increased indirect taxes
- ☒ **D** Decreased incomes

(b) Which **one** of the following best describes the type of goods with an income elasticity of demand (YED) of –1.3?

(1)

- ☒ **A** Inferior
- ☒ **B** Unitary
- ☒ **C** Luxury
- ☒ **D** Normal

(c) In the box below, draw a production possibility curve (PPC) for a firm that can produce shampoo and/or toothpaste. On your PPC, draw and label what would happen if production of toothpaste was increased.

(3)

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10. Question 3 · part e · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

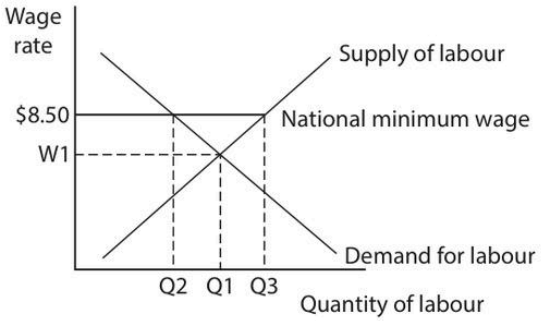

Figure 4

In 2021, the national minimum wage in Barbados was increased from $6.25 per hour to $8.50 per hour.

(d) With reference to the data above and your knowledge of economics, analyse the likely impact of an increase in the national minimum wage on the supply of labour in Barbados. (6)

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10. Question 3 · part e · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

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10. Question 3 · part e · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

The education level of a worker is likely to have an effect on their ability in the workplace.

When a person migrates to another country, they bring with them whatever knowledge, skills and information they possess.

(e) With reference to the data above and your knowledge of economics, assess the importance of the quality of labour on productivity in a country.

(9)

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10. Question 3 · part e · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

10. Question 3 · part e · 9 marks · Working and answer

Working and answer

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11. Question 1 · part c · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

1 When a firm increased its prices, many consumers stopped buying its products.

(a) Which **one** of the following explains the behaviour of these consumers?

(1)

- ☒ **A** Consumers aim to maximise profit
- ☒ **B** Consumers aim to maximise benefits
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers cannot calculate their benefits

A product has an income elasticity of demand (YED) of –0.9

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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11. Question 1 · part c · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

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(d) State the formula for social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of €37 000 per month and variable costs of €170 per unit.
It produces 650 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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11. Question 1 · part c · 2 marks · Working and answer

Working and answer

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Practice workbook · Labour productivity: output per worker

Productivity as total output divided by number of workers.

2 question parts: 1 worked-example retry and 1 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ECO-CALC-11

1. Question 2 · part a · 1 mark

2023 NOV · Paper 01

Worked-example retry · Attempt part a only.

2 (a) A firm employing 135 workers has a total output of 33,750 units each month. What is the monthly labour productivity of the firm?

(1)

- ☒ **A** $250
- ☒ **B** $4 556 250
- ☒ **C** 250 units
- ☒ **D** 4,556,250 units

(b) Which **one** of the following is a possible cause of positive economic growth?

(1)

- ☒ **A** Decreasing population
- ☒ **B** Decreasing productivity
- ☒ **C** Increasing unemployment
- ☒ **D** Increasing technological advancements

(c) What is meant by the term opportunity cost?

(2)

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P 7 3 4 9 8 A 0 8 2 4

1. Question 2 · part a · 1 mark · Working and answer

Working and answer

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2. Question 1 · part b · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part b only.

1 (a) What is the name given to a firm that manufactures cars?

(1)

- ☒ **A** A primary sector firm
- ☒ **B** A secondary sector firm
- ☒ **C** A tertiary sector firm
- ☒ **D** A service sector firm

A firm that employs 540 workers has a total monthly output of 27,000 units.

(b) What is the monthly labour productivity of the firm?

(1)

- ☒ **A** 0.02 units
- ☒ **B** 50 units
- ☒ **C** 27,540 units
- ☒ **D** 14,580,000 units

(c) What is meant by the term division of labour?

(2)

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2. Question 1 · part b · 1 mark · Working and answer

Working and answer

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Practice workbook · Economies and diseconomies of scale

Meaning of economies of scale; internal types (purchasing, marketing, technical, financial, managerial, risk-bearing) and external types (skilled labour, infrastructure, suppliers); diseconomies (bureaucracy, communication, control, motivation); and the LRAC curve showing both and the most efficient point.

24 question parts: 1 worked-example retry and 23 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-07

1. Question 4 · part b · 6 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.

4 Figure 3 shows the costs to a firm of running a machine to produce an order of goods.

Purchase price of machine ($)	Electricity ($ per hour)	Production time (hours)	Insurance ($)
1 036	0.45	19	17

Figure 3

(a) Calculate the **total variable costs** of this order for the firm.
You are advised to show your working.

(2)

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1. Question 4 · part b · 6 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.

A project to update the infrastructure and develop new routes along Indian railways has been in progress for a number of years. One part of the plan is to expand the rail network between Hyderabad and Karnataka.

The expanded railway network will provide more services for passengers, along with more freight trains. This will mean more raw materials, including cement, iron ore and steel can be transported.

(b) With reference to the data above and your knowledge of economics, analyse the impact of external economies of scale on construction firms in India.

(6)

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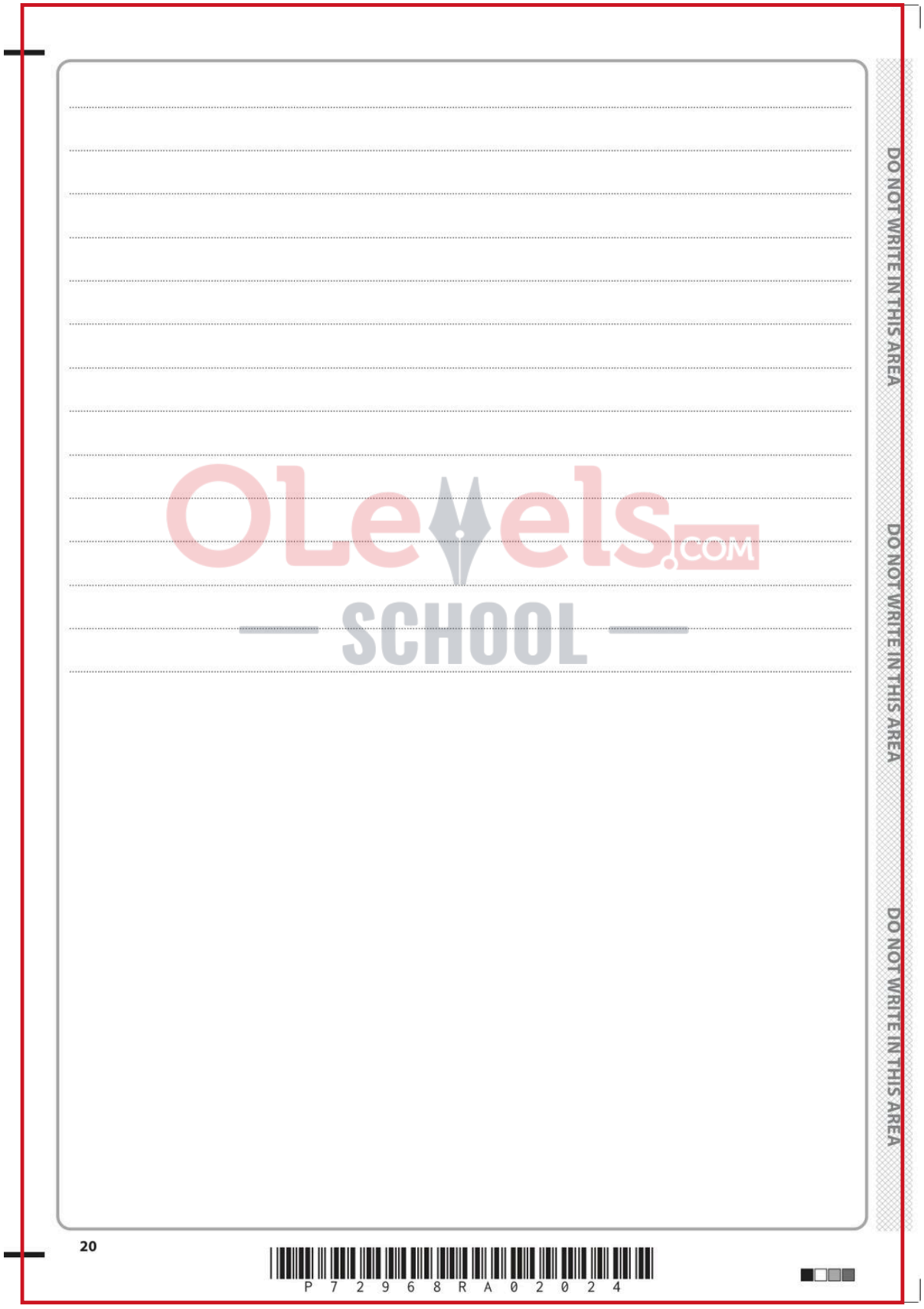
1. Question 4 · part b · 6 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.



1. Question 4 · part b · 6 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.

In 2023, the Egyptian Government raised the price it paid for wheat to encourage farmers to increase production.

Wheat farmers face the difficulty of a limited amount of land available for agriculture. However, there are government programmes including land reclamation and guidance for farmers on both the use of fertiliser and irrigation systems.

As well as having a limited amount of land, many farmers are only familiar with traditional methods of farming and do not have the skills or the finance to change to new methods.

(c) With reference to the data above and your knowledge of economics, evaluate the extent to which these government programmes may affect farming productivity in a country such as Egypt.

(12)

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1. Question 4 · part b · 6 marks · Working and answer

Working and answer

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2. Question 3 · part b · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part b only.

3 A product has an income elasticity of demand (YED) of -0.16.

(a) Which **one** of the following best describes this product?

(1)

- ☒ **A** A luxury good
- ☒ **B** A normal good
- ☒ **C** A public good
- ☒ **D** An inferior good

(b) Which **one** of the following is a diseconomy of scale?

(1)

- ☒ **A** An increase in productivity
- ☒ **B** An increase in bureaucracy
- ☒ **C** A decrease in the cost of research and development
- ☒ **D** A decrease in government regulation

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2. Question 3 · part b · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part b only.

(c) Using the diagram below, draw the effects of a minimum wage (W_1) being set above the equilibrium wage (W_e). Label the new quantity of labour demanded and the new quantity of labour supplied.

(3)

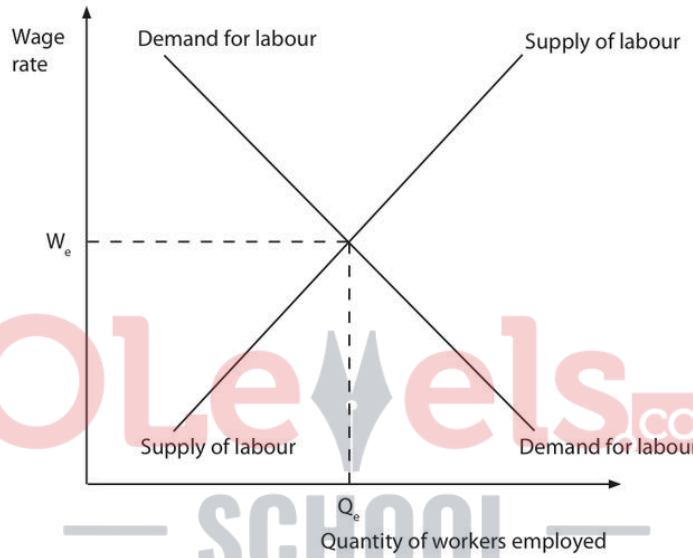

Figure 5

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2. Question 3 · part b · 1 mark · Working and answer

Working and answer

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3. Question 4 · part b · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part b only.

4 In January 2018, the minimum wage in Andorra increased to €5.87 per hour.

(a) Calculate the **monthly gross income** of a worker in Andorra, employed for 175 hours per month and paid at the minimum wage. You are advised to show your working.

(2)

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P 5 8 2 7 6 A 0 2 0 2 8

3. Question 4 · part b · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part b only.

Sky Team is a group of 19 airlines, including Delta Airlines, KLM, Air France and China Airlines that share operating facilities and cooperate when setting flight routes. This allows more choice for passengers. Vietnam Airlines is a small airline that became a member of Sky Team in 2010. It was the first Southeast Asian airline to join Sky Team and has become more well-known to air passengers as a result of the group's advertising campaigns.

(b) With reference to the data above and your knowledge of economics, analyse how a smaller airline may benefit from internal economies of scale by joining a group such as Sky Team.

(6)

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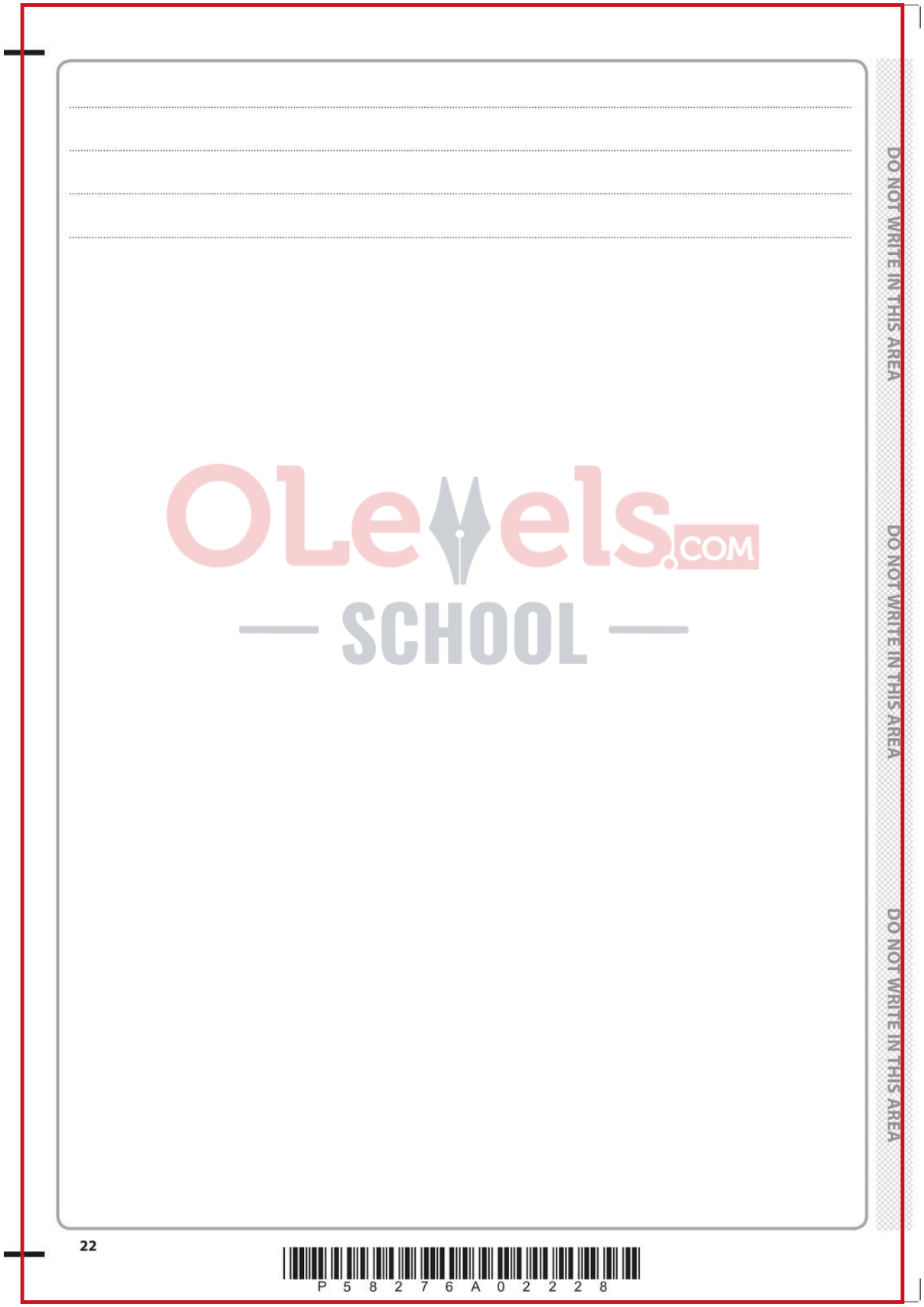
3. Question 4 · part b · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part b only.



3. Question 4 · part b · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part b only.

Wong Thien runs the family's noodle-making factory, which has been operating in Jenjarum, Malaysia since 1950. The noodle-making process involves each worker blending ingredients to make dough, kneading the dough with long wooden rolling pins and cutting noodles to various sizes. Wong's factory now supplies 70% of the noodle-based food stalls in the town. He is considering introducing division of labour in the production process in order to increase productivity.

(c) With reference to the data above and your knowledge of economics, evaluate whether introducing division of labour is the best way for Wong to increase productivity in his noodle-making factory.

(12)

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23

Turn over ▶

3. Question 4 · part b · 6 marks · Working and answer

Working and answer

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4. Question 3 · part a · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part a only.

3 (a) Which **one** of the following is an example of an external economy of scale?

(1)

- ☒ **A** Bulk buying
- ☒ **B** Skilled labour
- ☒ **C** Bureaucracy
- ☒ **D** Managerial

(b) Which **one** of the following is a main feature of an oligopoly?

(1)

- ☒ **A** Rising fixed costs
- ☒ **B** No barriers to entry
- ☒ **C** Large firms dominate the market
- ☒ **D** Specialises in the public sector

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4. Question 3 · part a · 1 mark · Working and answer

Working and answer

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5. Question 1 · part h · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part h only.

1 (a) Car production is most likely to take place in which sector of the economy?

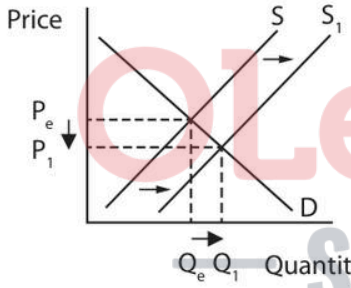
(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Mixed

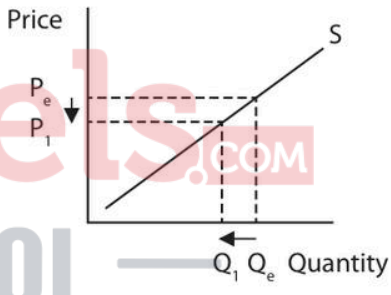
(b) Which **one** of the following diagrams shows the new equilibrium price and quantity for lemon ice cream in Thailand following a price reduction in chocolate ice cream?

(1)

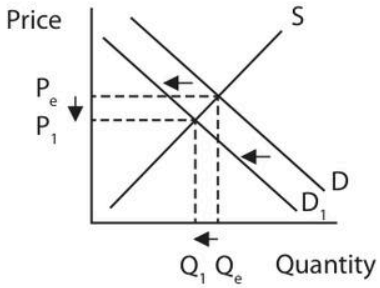
☒ **A**



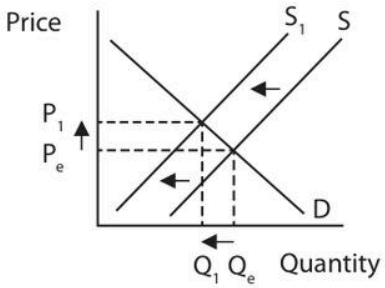
☒ **B**



☒ **C**



☒ **D**



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5. Question 1 · part h · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part h only.

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(c) What is meant by the term total revenue?

(2)

(d) State **one** possible cause of positive economic growth.

(1)

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(e) Define the term external benefit.

(1)

5. Question 1 · part h · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part h only.

Tour guides are available to accompany tourists who visit the Terracotta Army collection of sculptures in Xi'An, China. The quantity of tour guides demanded for the first three months of 2019 is shown below.

Month	Quantity of tour guides demanded
January	1,200
February	1,450
March	1,625

Figure 1

(f) Calculate the **excess supply** of tour guides if the quantity supplied during this three-month period was 6,000 (2,000 per month). You are advised to show your working.

(2)

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5. Question 1 · part h · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part h only.

(g) Using the diagram below, draw the likely effects of an increase in the birth rate on the market for toys. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

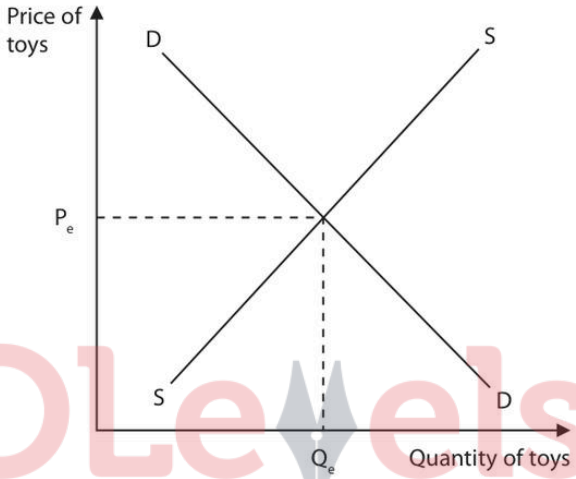

Figure 2

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5. Question 1 · part h · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part h only.

Virgin Atlantic took over a part of budget airline Flybe in the spring of 2019 to form Connect Airways.

(h) Explain **one** possible advantage for customers of Connect Airways from the takeover.

(3)

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5. Question 1 · part h · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part h only.

A powerful typhoon destroyed property on the island of Lamma in Hong Kong. Owners of restaurants that were damaged think it may take two or three months for them to fully reopen. This was due to flood damage and replacing equipment that was washed away. The repair costs for one restaurant owner was an estimated HK$300 000 to HK$400 000.

(Source adapted from: https://www.scmp.com/news/hong-kong/society/article/2164928/long-road-recovery-hong-kongs-outlying-islands-after-typhoon)

(i) With reference to the data above and your knowledge of economics, analyse how natural factors such as adverse weather may cause a shift in the supply curve.

(6)

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5. Question 1 · part h · 3 marks · Working and answer

Working and answer

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6. Question 2 · part a · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a only.

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2 (a) Which **one** of the following is the correct label to replace 'X' on the diagram below?

(1)

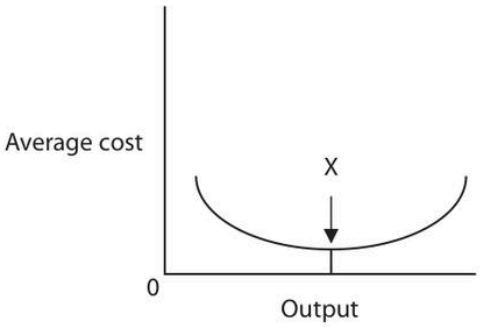

Figure 3

- ☒ **A** Internal economies of scale
- ☒ **B** External economies of scale
- ☒ **C** Total costs
- ☒ **D** Most efficient

(b) Which **one** of the following is an example of derived demand?

(1)

- ☒ **A** Consumer demand for clothes to wear
- ☒ **B** Tourist demand for foreign holidays
- ☒ **C** Producer demand for labour to make goods
- ☒ **D** Student demand for computer games to play

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6. Question 2 · part a · 1 mark · Working and answer

Working and answer

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7. Question 4 · part b · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

4 Figure 6 shows the Production Possibility Curve (PPC) for an economy making consumer goods and capital goods.

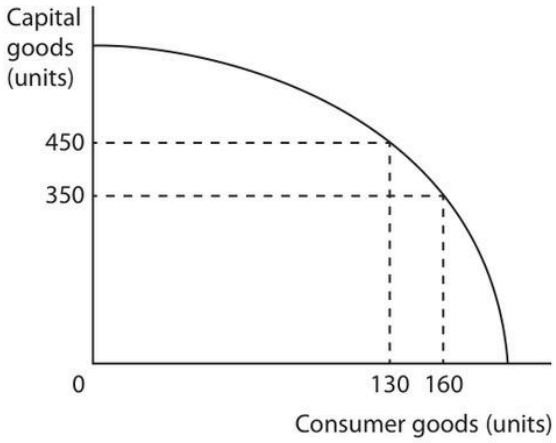

Figure 6

(a) When the current level of output is 350 units of capital goods, calculate the **opportunity cost** of producing an additional 100 units of capital goods. You are advised to show your working.

(2)

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7. Question 4 · part b · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

Five years ago Ben Hogan began working for a large firm based in London. He was originally happy with his role but is now thinking about leaving. He is frustrated with how long it takes for even straight-forward decisions to be made.

The firm has grown considerably in the last two years and there are many more employees as a result. There is an increasing number of checklists about how to carry out tasks. Ben finds this time-consuming and feels his ideas are no longer listened to.

(b) With reference to the data above and your knowledge of economics, analyse why Ben's employer might be experiencing diseconomies of scale.

(6)

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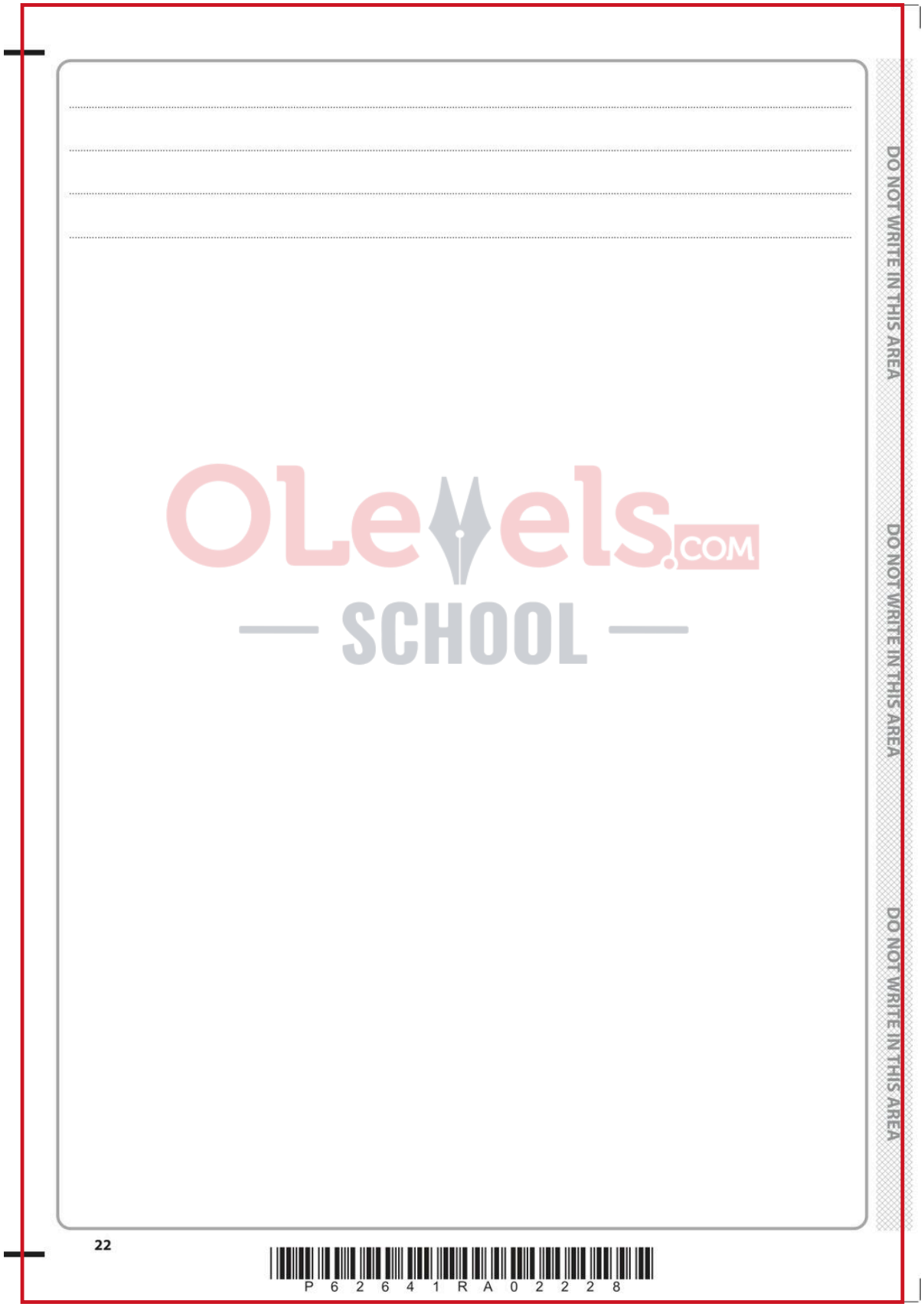
7. Question 4 · part b · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.



7. Question 4 · part b · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

Amazon Prime Video is a multinational entertainment provider. It streams films and television shows to subscribers through the internet. In Japan, Amazon holds 11.5% of the market share. This is higher than Netflix but less than dTV, U-NEXT and Hulu. Subscribers currently pay 3 900 yen ($36.75) for annual membership to stream from Amazon, which is cheaper than its competitors.

(Source adapted from: https://variety.com/2018/tv/news/amazon-netflix-gain-ground-japan-streaming-1202729953/)

(c) With reference to the data above and your knowledge of economics, evaluate the importance of income elasticity of demand (YED) for Amazon Prime Video as incomes in Japan increase.

(12)

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7. Question 4 · part b · 6 marks · Working and answer

Working and answer

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8. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

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3 (a) Which **one** of the following is most likely to cause a shift to the left in the supply curve?

(1)

- ☒ **A** Increased indirect taxes
- ☒ **B** Cost reductions
- ☒ **C** Increased subsidies
- ☒ **D** Decreased advertising

(b) Which **one** of the following best describes an income elasticity of demand (YED) of 2.6?

(1)

- ☒ **A** Inferior
- ☒ **B** Unitary
- ☒ **C** Luxury
- ☒ **D** Inelastic

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8. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

(c) In the box below, draw a production possibility frontier (PPF) for a firm that can produce diaries and/or calendars. On your PPF, draw what would happen if production of calendars increased.

(3)

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8. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

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Each year the Turkish Government raises the national monthly minimum wage. It increased from 2 020 Turkish Lira (TRY) in 2018 to 2 558 Turkish Lira (TRY) in 2019.

(d) With reference to the data above and your knowledge of economics, analyse why the Turkish Government might want to increase the minimum wage every year.

(6)

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8. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

Istanbul's new airport will be huge in size and capacity when construction is finished. It will have the ability to handle around 200 million passengers annually. This is double the number of the world's current busiest airport in Atlanta, USA. The airport will cost $11.7bn to build. It will have four terminals, six runways and cover an area of 29.5 square miles, making it larger than the island of Manhattan in New York.

(Source adapted from: https://matadornetwork.com/read/istanbul-new-airport-biggest-world/)

(e) With reference to the data above and your knowledge of economics, assess whether Istanbul's new airport is likely to benefit from internal economies of scale.

(9)

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8. Question 3 · part e · 9 marks

2020 NOV · Paper 01

Further practice · Attempt part e only.

8. Question 3 · part e · 9 marks · Working and answer

Working and answer

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9. Question 1 · part c · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.

1 (a) Which **one** of the following does a point on a production possibility curve (PPC) represent?

(1)

- ☒ **A** Where capital goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Government revenue from production
- ☒ **D** A given amount of resources being fully employed

Andreas is a plumber. Unlike his competitors, he is prepared to work at the weekend. However, he charges customers 50% more for his services at the weekend.

(b) Which **one** of the following describes this economic assumption?

(1)

- ☒ **A** Businesses aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers sometimes copy others' behaviour
- ☒ **D** Governments try to increase the number of days worked

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(c) What is meant by the term economies of scale?

(2)

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9. Question 1 · part c · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.

(d) State **one** example of a factor of production that can be classified as land.

(1)

(e) Define the term monopoly.

(1)

Alfie provides a dog-walking service to dog owners in his local area. After a successful first year he increased prices by 1.5% and quantity demanded fell by 1.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Alfie's dog-walking service. You are advised to show your working.

(2)

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P 6 5 8 9 6 A 0 3 2 4

9. Question 1 · part c · 2 marks · Working and answer

Working and answer

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10. Question 1 · part i · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part i only.

1 (a) Which **one** of the following is a reason why firms may not always maximise their profit?

(1)

- ☒ **A** They may minimise total costs
- ☒ **B** They may be able to sell at a high price
- ☒ **C** They may have low fixed costs
- ☒ **D** They may complete charitable work

A product has an income elasticity of demand (YED) of 0.7.

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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10. Question 1 · part i · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part i only.

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(d) State the formula for calculating social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of $50 000 per month and variable costs of $250 per unit. It produces 750 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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10. Question 1 · part i · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part i only.

(g) Using the diagram below, draw the likely effects on the market for smartphones following a rise in the cost of raw materials. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

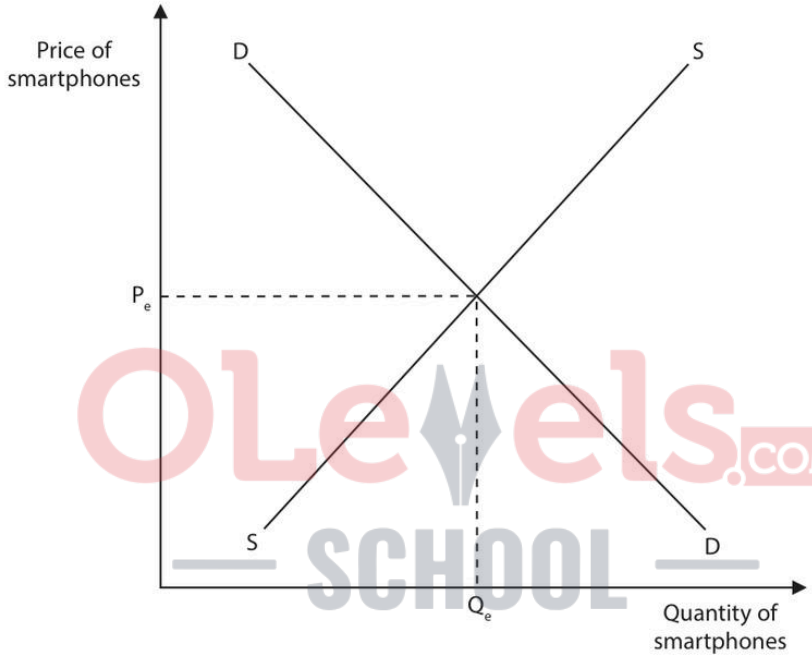

Figure 1

The New Zealand Government is to introduce new legislation to limit the interest rate firms can charge on loans made to customers. The maximum interest rate firms can charge will be 0.8% per day.

(h) Explain **one** reason why the New Zealand Government may be introducing this legislation.

(3)

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P 6 5 8 9 7 R A 0 4 2 0

10. Question 1 · part i · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part i only.

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Cutting Edge is a gardening firm that started trading three years ago. It often turned down work because it did not have a saw powerful enough to cut through larger trees. Once the firm expanded, Cutting Edge was able to justify buying a bigger saw.

(i) With reference to the data above and your knowledge of economics, analyse how Cutting Edge benefitted from technical economies of scale.

(6)

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(Total for Question 1 = 20 marks)

10. Question 1 · part i · 6 marks · Working and answer

Working and answer

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11. Question 4 · part c · 12 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

4 A concert venue in Malaysia holds a maximum of 3,200 people for each performance. The quantity of tickets demanded for the most recent concerts is shown in Figure 5.

Concert	Quantity of tickets demanded
A	4,200
B	6,000
C	3,250

Figure 5

(a) Calculate the **excess demand** for tickets if the quantity supplied for all three concerts totals 9,600. You are advised to show your working.

(2)

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11. Question 4 · part c · 12 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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The Cuban Government owns and runs most industries in the country and more than 75% of the labour force is employed by the state.

(b) With reference to the data above and your knowledge of economics, analyse the benefits of having a large public sector to a country such as Cuba.

(6)

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11. Question 4 · part c · 12 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

Instagram, WhatsApp and Facebook Messenger are social network messaging services, taken over and owned by Facebook. Between them, they have more than 2.6 billion users. Although they currently operate as stand-alone apps, Facebook's chief executive, Mark Zuckerberg, has now taken greater control of all three. He has plans to combine the services, allowing messages to be sent between the different apps.

Both Instagram and WhatsApp have grown considerably since the takeover but their original founders have left due to the increased control from Facebook. Some employees are unhappy and do not understand the planned changes to the services. However, Zuckerberg thinks there will be long-term benefits including reduced costs. He says that less software will be needed once the system is in place and consumers will be less likely to use competitors' apps.

(Source adapted from: https://www.nytimes.com/2019/01/25/technology/facebook-instagram-whatsapp-messenger.html)

(c) With reference to the data above and your knowledge of economics, evaluate whether Zuckerberg's decision to combine all three services is likely to lead to economies of scale. (12)

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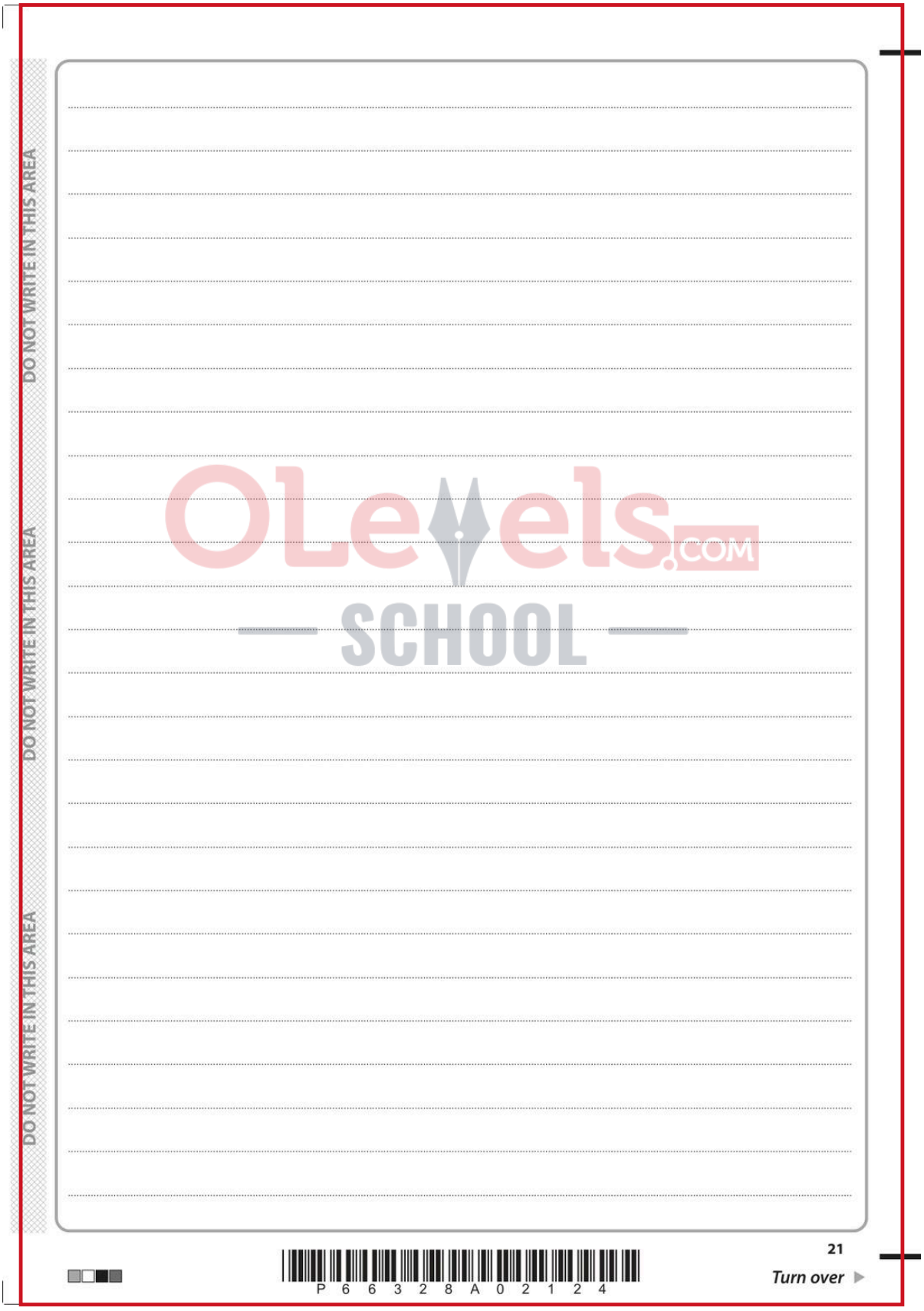
11. Question 4 · part c · 12 marks

2022 JUN · Paper 01 (regional R)

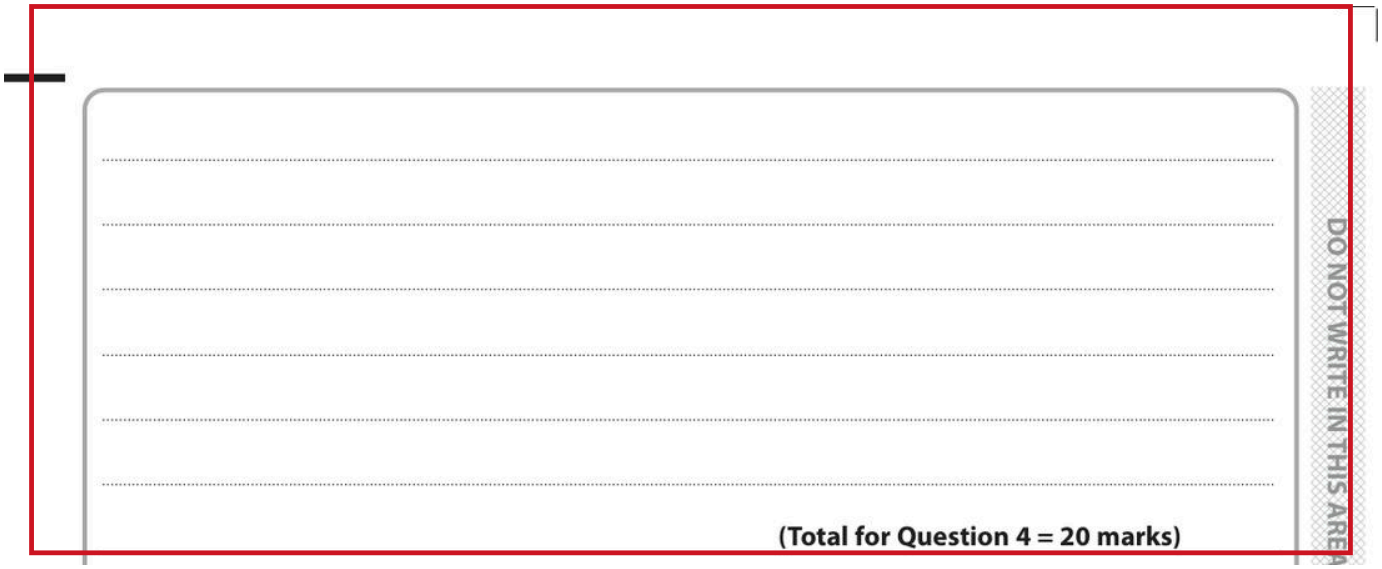
Further practice · Attempt part c only.



11. Question 4 · part c · 12 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.



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11. Question 4 · part c · 12 marks · Working and answer

Working and answer

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12. Question 2 · part b · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part b only.

2 (a) Which **one** of the following products has demand that is price elastic?

(1)

	Product	Price elasticity of demand (PED)
☒ **A**	**W**	−1.5
☒ **B**	**X**	−1
☒ **C**	**Y**	−0.5
☒ **D**	**Z**	1

(b) Which **one** of the following is a situation when firms in a growing industry all benefit from lower average costs?

(1)

☒ **A** Internal economies of scale

☒ **B** External economies of scale

☒ **C** Diseconomies of scale

☒ **D** Technical economies of scale

(c) State **one** disadvantage to firms of increased competition.

(1)

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12. Question 2 · part b · 1 mark · Working and answer

Working and answer

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13. Question 1 · part d · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

1 (a) Water is an example of which factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Labour
- ☒ **C** Capital
- ☒ **D** Enterprise

(b) A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the **profit** for the firm?

(1)

- ☒ **A** $5300
- ☒ **B** $6000
- ☒ **C** $13700
- ☒ **D** $14000

(c) What is meant by the term supply?

(2)

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13. Question 1 · part d · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

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(d) State **one** type of an external economy of scale.

(1)

(e) Define the term unique product.

(1)

Connor owns a hair salon. He increased prices by 2% and was willing to increase quantity supplied by 2.6%.

(f) Calculate the **price elasticity of supply (PES)** for Connor's hair salon. You are advised to show your working.

(2)

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13. Question 1 · part d · 1 mark · Working and answer

Working and answer

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14. Question 2 · part g · 9 marks

2023 JAN · Paper 01

Further practice · Attempt part g only.

2

Chart to show market share held by firms within a market

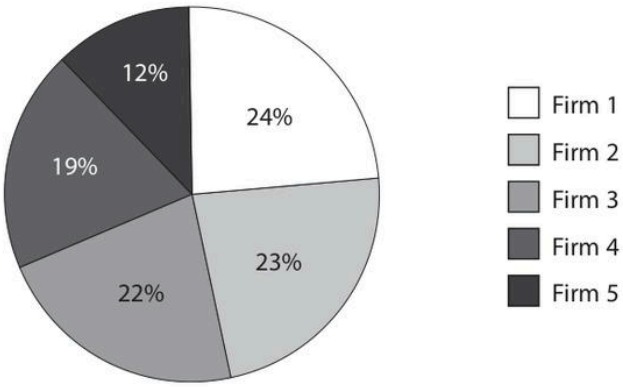

Figure 2

(a) Which **one** of the following options is the type of market shown in Figure 2?

(1)

- ☒ **A** Labour
- ☒ **B** Public
- ☒ **C** Monopoly
- ☒ **D** Oligopoly

(b) An increase in which **one** of the following is most likely to increase productivity?

(1)

- ☒ **A** Bureaucracy
- ☒ **B** Congestion
- ☒ **C** Irrigation
- ☒ **D** Regulation

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14. Question 2 · part g · 9 marks

2023 JAN · Paper 01

Further practice · Attempt part g only.

(c) What is meant by the term barriers to entry?

(2)

A firm has total fixed costs of $57 000 per month and variable costs of $750 per unit. It produces 1,820 units per month.

(d) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

(e) Describe **one** disadvantage for a government of using subsidies.

(2)

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P 7 1 5 5 5 A 0 8 2 4

14. Question 2 · part g · 9 marks

2023 JAN · Paper 01

Further practice · Attempt part g only.

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Heather runs a successful restaurant in a small town in Portugal. When her friend asked whether she was going to expand by opening another restaurant, Heather said she was not.

(f) Explain **one** reason why Heather may have decided to keep her business small.

(3)

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14. Question 2 · part g · 9 marks

2023 JAN · Paper 01

Further practice · Attempt part g only.

Hong Kong telecommunications firm, CK Hutch, is planning to merge with Indosat which is based in Jakarta, Indonesia. Indosat provides services for mobile phones and broadband. It is a growing business, with a value of $2.2bn and more than 60 million customers. Indonesia is Southeast Asia's most populated country.

(Source adapted from: https://www.zdnet.com/article/ck-hutchison-and-ooredoo-indonesian-merger-to-create-indosat-ooredoo-hutchison/)

(g) With reference to the data above and your knowledge of economics, assess the extent to which a merger between CK Hutch and Indosat is likely to lead to economies of scale.

(9)

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10

P 7 1 5 5 5 A 0 1 0 2 4

14. Question 2 · part g · 9 marks

2023 JAN · Paper 01

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

14. Question 2 · part g · 9 marks · Working and answer

Working and answer

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15. Question 1 · part c · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part c only.

1 (a) Which **one** of the following is a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Writing off debts
- ☒ **B** Settling trade disputes
- ☒ **C** Increasing trade barriers
- ☒ **D** Paying subsidies to producers

(b) Which **one** of the following is an example of a supply-side policy to increase output?

(1)

- ☒ **A** Increasing income tax
- ☒ **B** Increasing interest rates
- ☒ **C** Increasing the school-leaving age
- ☒ **D** Increasing business taxes

(c) What is meant by the term economies of scale?

(2)

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15. Question 1 · part c · 2 marks

2023 JAN · Paper 02

Further practice · Attempt part c only.

(d) Describe **one** advantage of free trade for consumers.

(2)

Figure 1 shows the income tax rates for the UK in 2020–2021. Sofia earns £35 000 as a teacher. This means Sofia only pays 20% tax on £22 500 of her salary.

Taxable income	Tax rate (%)
0 to £12 500	0%
£12 501 to £50 000	20%
£50 001 to £150 000	40%
Over £150 000	45%

Figure 1

(Source: https://www.gov.uk/income-tax-rates)

(e) Calculate the **net pay** in £ for Sofia. You are advised to show your working.

(2)

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15. Question 1 · part c · 2 marks · Working and answer

Working and answer

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16. Question 3 · part e · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

3 (a) A minimum wage is a type of

(1)

- ☒ **A** factor of production
- ☒ **B** economic assumption
- ☒ **C** economy of scale
- ☒ **D** government intervention

(b) Which **one** of the following is likely to lead to an increase in the productivity of capital?

(1)

- ☒ **A** An increase in bureaucracy
- ☒ **B** A decrease in the availability of finance
- ☒ **C** An increase in technological advances
- ☒ **D** A decrease in the size of the market

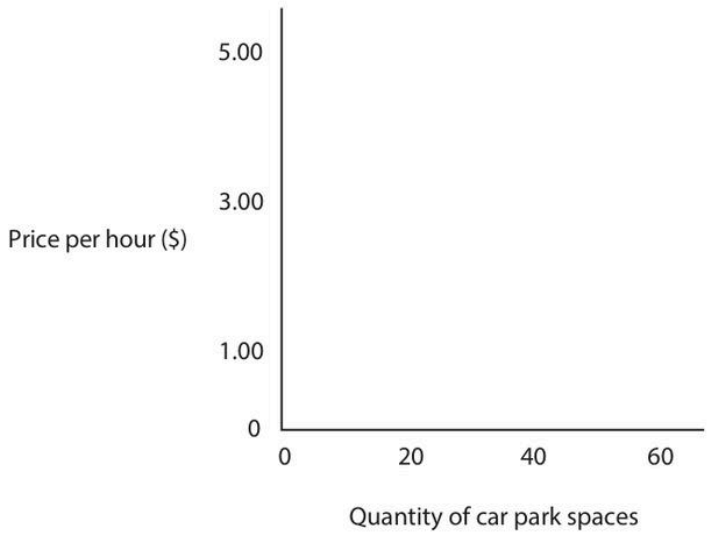
Figure 3 shows the estimated demand for car park spaces at a given price.

Price per hour ($)	1.00	3.00	5.00
Demand	60	40	20

Figure 3

(c) Using the information in Figure 3, draw and label the demand curve for car park spaces on the diagram below.

(3)



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16. Question 3 · part e · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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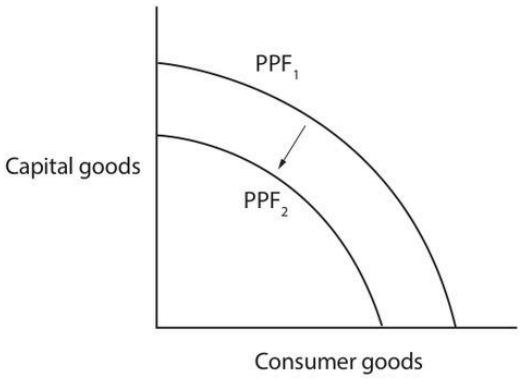

Figure 4

Figure 4 shows an inward shift in the production possibility frontier (PPF) for an economy.

(d) With reference to the data above and your knowledge of economics, analyse why the economy might have moved from PPF_1 to PPF_2. (6)

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16. Question 3 · part e · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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16. Question 3 · part e · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

In 2022, two entertainment firms WarnerMedia and Discovery are expected to merge. The new firm will be called Warner Bros. Discovery. It is predicted it will have 59 million subscribers to its merged streaming services. This will increase further if plans to release several new programmes go ahead.

The new firm will have assets that include: many popular television channels; film, animation and television studios; DC Comics; and news channel CNN. The new company will have an estimated value of $150bn.

(e) With reference to the data above and your knowledge of economics, assess whether WarnerMedia merging with Discovery is likely to benefit from economies of scale.

(9)

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16. Question 3 · part e · 9 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

16. Question 3 · part e · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

17. Question 1 · part c · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

1 (a) A trade union is an organisation that aims to improve

(1)

- ☒ **A** profit margins
- ☒ **B** tax revenue
- ☒ **C** the environment
- ☒ **D** working conditions

(b) Figure 1 below shows a change in demand for tickets to a sporting event.

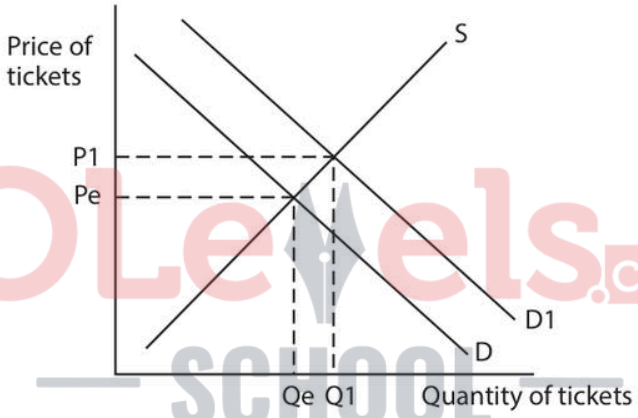

Figure 1

Which **one** of the following statements is true?

(1)

- ☒ **A** When the price falls, the quantity demanded falls
- ☒ **B** The demand curve slopes upwards from left to right
- ☒ **C** An increase in demand is shown by a shift to the right
- ☒ **D** A decrease in demand is shown by a shift to the right

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17. Question 1 · part c · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

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(c) What is meant by the term economies of scale?

(2)

(d) State **one** main feature of an oligopoly.

(1)

(e) Define the term excess supply.

(1)

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17. Question 1 · part c · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

18. Question 3 · part c · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

3 (a) Which **one** of the following is a reason why a firm may decide to stay small?

(1)

- ☒ **A** To increase bureaucracy
- ☒ **B** To sell a niche product
- ☒ **C** To spread business risk
- ☒ **D** To take over competitors

(b) The introduction of a minimum wage above the equilibrium wage in a labour market is most likely to

(1)

- ☒ **A** increase quantity of labour demanded and decrease the wage rate
- ☒ **B** increase quantity of labour demanded and increase the wage rate
- ☒ **C** decrease quantity of labour demanded and decrease the wage rate
- ☒ **D** decrease quantity of labour demanded and increase the wage rate

(c) On the diagram below, draw and label economies of scale, diseconomies of scale and the point at which the firm is most efficient.

(3)

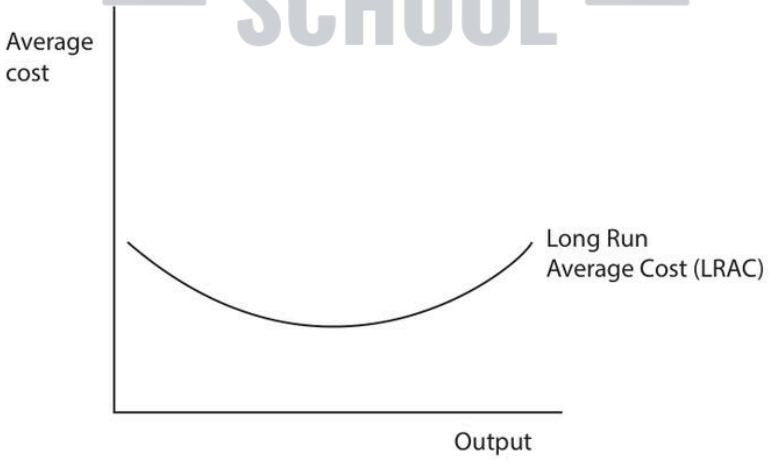

Figure 4

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18. Question 3 · part c · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part c only.

The education system in Japan is one of the best in the world. Primary and secondary education is free, with a typical school day from 08:00 to 15:00 or 16:00, depending on the age of the students.

(Source: adapted from https://www.internations.org/japan-expats/guide/education)

(d) With reference to the data above and your knowledge of economics, analyse why education in Japan may be an external benefit.

(6)

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18. Question 3 · part c · 3 marks · Working and answer

Working and answer

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19. Question 4 · part b · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part b only.

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4 Figure 3 shows the daily costs of hiring a vehicle to transport goods to a customer.

Vehicle hire cost ($ per day)	Fuel cost ($ per km)	Distance travelled (km)	Cost of insurance ($ per day)
90	0.25	65	20

Figure 3

(a) Calculate the **daily total costs** of transporting the goods to the customer. You are advised to show your working.

(2)

OLevels.com SCHOOL

19. Question 4 · part b · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part b only.

MAS Supermarkets is the largest supermarket chain in Cyprus. It owns many shops across the country, selling a wide range of groceries. The firm states that its focus is on selling quality products, offering good service and low prices.

(b) With reference to the data above and your knowledge of economics, analyse how internal economies of scale may lead to benefits for MAS Supermarkets.

(6)

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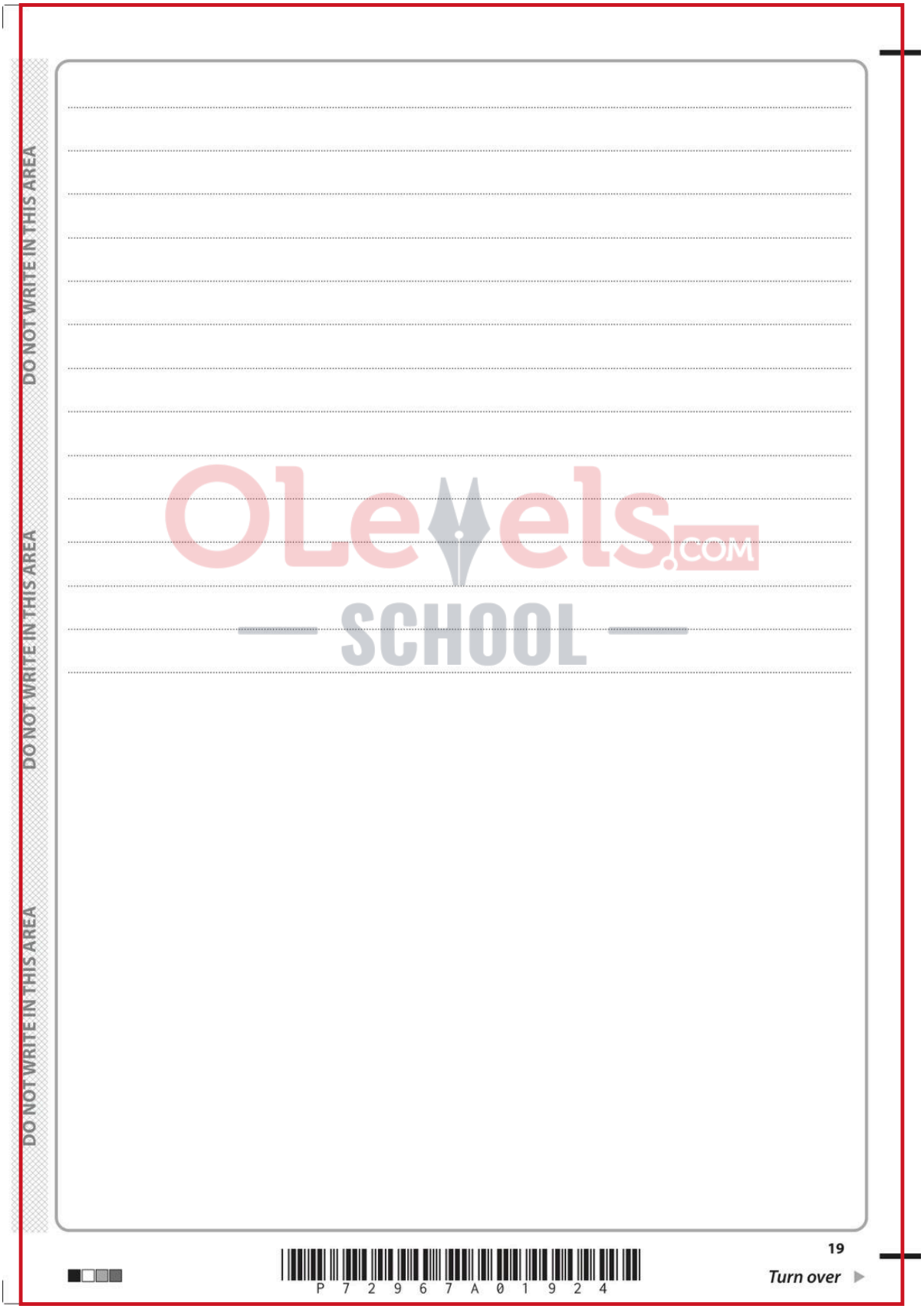
19. Question 4 · part b · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part b only.



19. Question 4 · part b · 6 marks

2024 JUN · Paper 01

Further practice · Attempt part b only.

The largest airport in Nigeria is located in Lagos. The Nigerian Government has made several attempts to privatise the country's four main airports over recent years. This has been unsuccessful due to resistance from trade unions that have members at the airport.

However, recently there has been increased interest from a number of private investors. This is due to the growing population, increasing demand for flights to and from Lagos and a stronger industrial base in the country. This means privatisation of Lagos Airport is now more likely to happen.

Whilst under the control of the government, subsidies have been used to pay some of the costs to operate the airport, as well as to improve safety and airport facilities.

(c) With reference to the data above and your knowledge of economics, evaluate whether consumers are likely to benefit from the privatisation of Lagos Airport.

(12)

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19. Question 4 · part b · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

20. Question 4 · part c · 12 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

4 A factory has been unable to meet the demand for its product due to a shortage of raw materials. The quantity demanded for the product during each of the first three months of 2024 is shown in Figure 5.

Month	Quantity of products demanded
January	13,600
February	14,200
March	11,700

Figure 5

(a) Calculate the **excess demand** for the product for the first three months of 2024, if the quantity supplied during each month was 11,000 (33,000 in total). You are advised to show your working.

(2)

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20. Question 4 · part c · 12 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

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Hiking is a popular activity for visitors to the Caribbean island of Saint Vincent. Tourists can hire a guide to accompany them on the popular route of La Soufrière Volcano by booking online before arriving on the island and the price is $34. However, the price is only $20 if the guide is booked directly on arrival. Some tourists have complained because they did not know this was possible.

(b) With reference to the data above and your knowledge of economics, analyse a possible reason why the market for tourism services is an inefficient allocation of resources.

(6)

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20. Question 4 · part c · 12 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

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P 7 5 9 5 4 A 0 2 0 2 4

20. Question 4 · part c · 12 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

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Twitter, one of the most popular social media platforms, was bought for $44bn by entrepreneur Elon Musk in 2022.

The aims of Elon Musk include the creation of an 'everything app' – a platform that includes messaging, payments, ridesharing, food delivery and more. To support this, Elon Musk introduced major changes to Twitter, including renaming it 'X'.

The number of X users increased to a new high of 530 million by 2023, following an increase in publicity about the change of name. This meant X did not need to pay high advertising costs to promote the platform.

Advanced technology will be introduced by X to enable users to operate multiple functions on the new platform. This research and development is likely to lead to a significant cost for the firm.

The platform has experienced a decrease of 65% in advertising revenue. Thousands of workers have already lost their jobs, including those in managerial roles.

(c) With reference to the data above and your knowledge of economics, evaluate whether X is likely to benefit from economies of scale.

(12)

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20. Question 4 · part c · 12 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

20. Question 4 · part c · 12 marks

2024 NOV · Paper 01

Further practice · Attempt part c only.

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(Total for Question 4 = 20 marks)

20. Question 4 · part c · 12 marks · Working and answer

Working and answer

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21. Question 1 · part c · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

1 (a) Which **one** of the following can represent a point on a production possibility curve (PPC)?

(1)

- ☒ **A** Where consumer goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Total revenue from production
- ☒ **D** Production which is obtainable

On one day a month, a firm charges each customer a price of $10 for providing one hour of gardening services. The cost to the firm for providing the service to each customer is $15.

(b) Which **one** of the following describes why the firm might do this?

(1)

- ☒ **A** Producers aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers sometimes copy others' behaviour

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(c) What is meant by the term economies of scale?

(2)

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21. Question 1 · part c · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) State **one** example of an item that can be classified as capital.

(1)

(e) Define the term price-maker.

(1)

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for a good if the price decreases by 4.7% and the quantity demanded increases by 1.8%.
You are advised to show your working.

(2)

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21. Question 1 · part c · 2 marks · Working and answer

Working and answer

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22. Question 1 · part h · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part h only.

1 (a) In which sector of the economy is house building?

(1)

- ☒ **A** Service
- ☒ **B** Primary
- ☒ **C** Secondary
- ☒ **D** Tertiary

A firm produces goods that are made from wood.

(b) Wood is an example of which **one** of the following factors of production?

(1)

- ☒ **A** Capital
- ☒ **B** Enterprise
- ☒ **C** Labour
- ☒ **D** Land

(c) What is meant by the term total costs?

(2)

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P 7 8 9 5 6 A 0 2 2 4

22. Question 1 · part h · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part h only.

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(d) State the formula for social benefits.

(1)

(e) Define the term substitute good.

(1)

A manufacturer produced 1,350 pairs of designer sunglasses in March and sold these products in its shops in Milan, Paris and London.

Location	Quantity of sunglasses demanded
Milan	639
Paris	715
London	516

Figure 1

(f) Calculate the **excess demand** in March for the sunglasses. You are advised to show your working.

(2)

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22. Question 1 · part h · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part h only.

Figure 2 shows the market for radios.

(g) Using the diagram below, draw the likely effect on the market for radios following a fall in their popularity. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

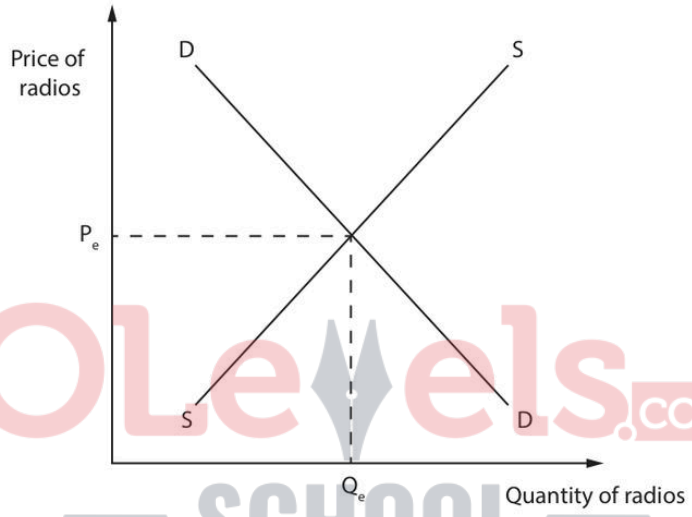

Figure 2

A study in the US concluded that mergers of pharmaceutical firms often benefit consumers.

(h) Explain **one** reason why consumers may benefit as a result of mergers in the pharmaceutical industry.

(3)

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22. Question 1 · part h · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part h only.

The US Government is taking legal action against six major firms that provide accommodation for rent. The firms are accused of collusion. Over 1 million properties are affected, at a time when tenants are struggling to afford rent.

(i) With reference to the data above and your knowledge of economics, analyse the possible disadvantages faced by consumers from collusion between firms that provide accommodation for rent.

(6)

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22. Question 1 · part h · 3 marks · Working and answer

Working and answer

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23. Question 2 · part a · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part a only.

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2 Figure 3 shows a long-run average cost (LRAC) curve diagram.

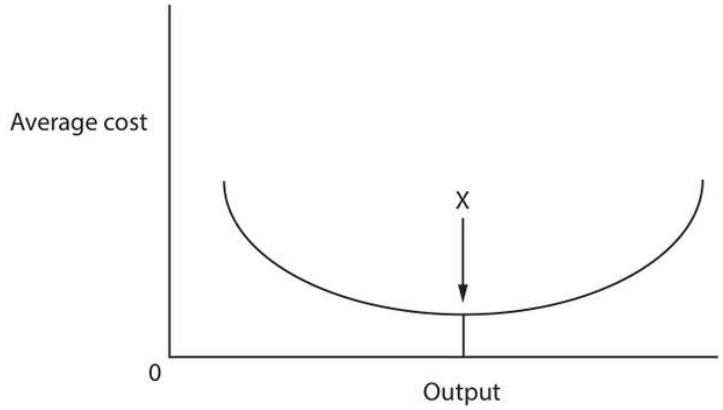

Figure 3

(a) Which **one** of the following is the correct label to replace 'X'?

(1)

- ☒ **A** Diseconomies of scale
- ☒ **B** External economies of scale
- ☒ **C** Most efficient
- ☒ **D** Profit

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(b) Which **one** of the following is the most likely cause of economic growth?

(1)

- ☒ **A** An increase in taxation
- ☒ **B** An improvement in efficiency
- ☒ **C** Fewer advances in technology
- ☒ **D** An increase in unemployment

23. Question 2 · part a · 1 mark · Working and answer

Working and answer

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24. Question 2 · part d · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part d only.

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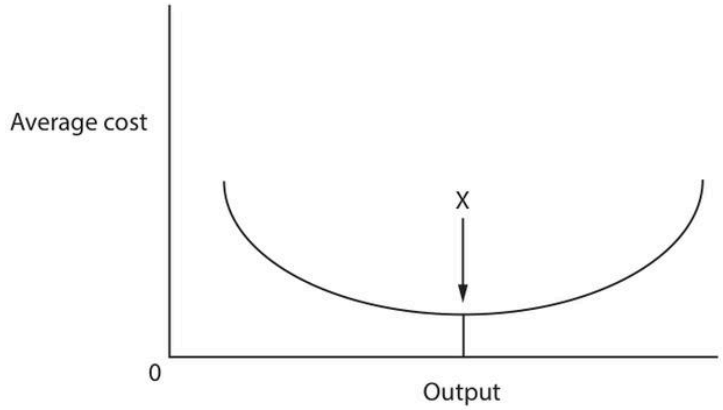
2 Figure 3 shows a long-run average cost (LRAC) curve diagram.



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(1)

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- ☒ **B** External economies of scale
- ☒ **C** Most efficient
- ☒ **D** Profit

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(1)

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- ☒ **C** Fewer advances in technology
- ☒ **D** An increase in unemployment

24. Question 2 · part d · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part d only.

Figure 4 shows some of the financial information in August for a shop selling ice creams at a price of $3.50 each.

Week	Number of ice creams sold
1	227
2	133
3	179
4	301

Figure 4

(c) Calculate the **total revenue** for the shop in August. You are advised to show your working.

(2)

(d) What is meant by the term bureaucracy?

(2)

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P 7 8 9 5 6 A 0 8 2 4

24. Question 2 · part d · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part d only.

(e) Describe **one** government policy to encourage positive externalities.

(2)

In 2024, it was recommended that additional funding should be provided for the drainage of farmland in India.

(f) Explain **one** way an improvement in drainage may affect the productivity of Indian farmers.

(3)

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24. Question 2 · part d · 2 marks · Working and answer

Working and answer

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Practice workbook · Why and how firms grow: mergers and takeovers

Why and how firms grow: access to finance, economies of scale, spreading risk, taking over competitors, government regulation; meaning of takeover, merger and finance.

14 question parts: 1 worked-example retry and 13 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-12

1. Question 1 · part i · 6 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part i only.

1 (a) Which **one** of the following values shows perfectly price elastic demand?

(1)

- ☒ **A** –1
- ☒ **B** –0.5
- ☒ **C** Zero
- ☒ **D** Infinity

(b) A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is

(1)

- ☒ **A** €6.04
- ☒ **B** €205.36
- ☒ **C** €211.40
- ☒ **D** €422.80

(c) What is meant by the term mixed economy?

(2)

(d) State **one** example of an occupation that is in the tertiary sector of an economy.

(1)

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O Levels .COM SCHOOL

1. Question 1 · part i · 6 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part i only.

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(e) Define the term producer.

(1)

(f) Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 7% and quantity demanded increases by 11%. You are advised to show your working.

(2)

OLevels.com SCHOOL

1. Question 1 · part i · 6 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part i only.

Figure 1 shows the market for solar panels.

(g) Using the diagram below, draw the likely effects on the market for solar panels if the government removes an indirect tax on them. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

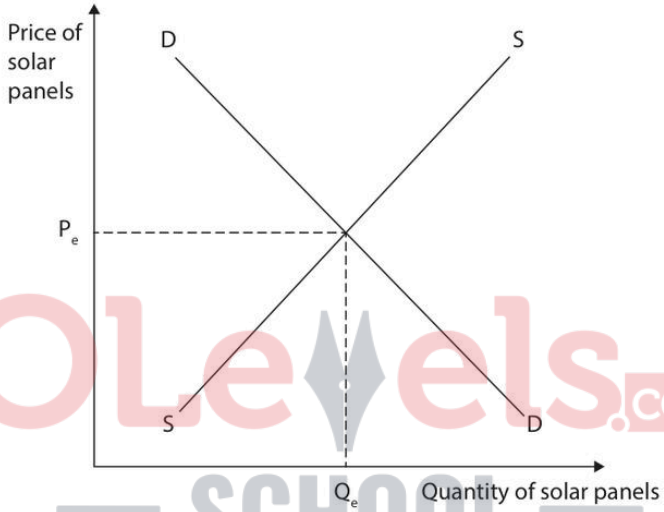

Figure 1

Casper has decided to purchase a new television.

(h) Explain **one** possible opportunity cost for Casper of this decision.

(3)

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P 7 2 9 6 7 A 0 4 2 4

1. Question 1 · part i · 6 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part i only.

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Anastasia runs a martial arts club in District 16 of Budapest, Hungary. She offers classes to children and to adults. There are six classes a week. Following a successful few years, Anastasia is considering growing the business by opening a second club in another district of Budapest.

(i) With reference to the data above and your knowledge of economics, analyse **two** possible factors influencing Anastasia's decision to open a second club.

(6)

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P 7 2 9 6 7 A 0 5 2 4

5

Turn over

1. Question 1 · part i · 6 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part i only.

1. Question 1 · part i · 6 marks · Working and answer

Working and answer

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2. Question 1 · part i · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part i only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Profit
- ☒ **C** Wages
- ☒ **D** Manufacturing

(b) A firm has total fixed costs of $40 000 per month and variable costs of $150 per unit. If it produces 1,000 units, what are the total costs per month for the firm?

(1)

- ☒ **A** $190 000
- ☒ **B** $150 000
- ☒ **C** $41 150
- ☒ **D** $40 150

(c) What is meant by the term demand?

(2)

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2. Question 1 · part i · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part i only.

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(d) State the formula for social costs.

(1)

(e) Define the term tertiary sector.

(1)

Figure 1 shows the costs of production per month for a firm making 2,000 units.

Quantity	Total fixed costs	Total variable costs
2,000	$7 340	$4 760

Figure 1

(f) Calculate the average cost per unit for the firm when it makes 2,000 units. You are advised to show your working.

(2)

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2. Question 1 · part i · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part i only.

(g) Using the diagram below, draw the effects on the market for crops after a hurricane destroys farm land. Label the new curve, new equilibrium price and new equilibrium quantity.

(3)

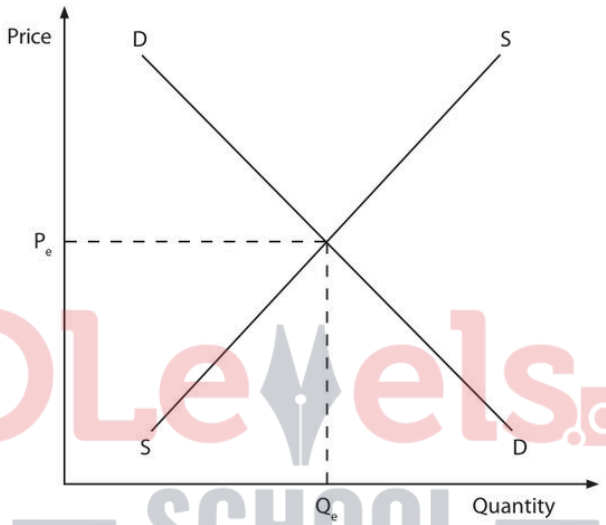

Figure 2

Concert tickets to see the most popular music artists can sell for very high prices.

(h) Explain **one** reason why the demand for these tickets might be price inelastic.

(3)

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2. Question 1 · part i · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part i only.

Introduced in 1935, Inca Kola is a yellow-gold coloured, fizzy, soft drink that is popular all over Peru. By 1995, Inca Kola had grown to become a strong competitor of Coca-Cola. Inca Kola had a 32.9% market share compared to Coca-Cola's 32.0% in Peru.

By 2014, Coca-Cola owned 48.5% of Inca Kola shares.

(Source: adapted from Peru's 'improbable' Inca Kola wins out over Coke by Andres Schipani © Financial Times September 2014)

(i) With reference to the data above and your knowledge of economics, analyse the possible reasons for Coca-Cola purchasing shares in Inca Kola.

(6)

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(Total for Question 1 = 20 marks)

2. Question 1 · part i · 6 marks · Working and answer

Working and answer

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3. Question 2 · part f · 2 marks

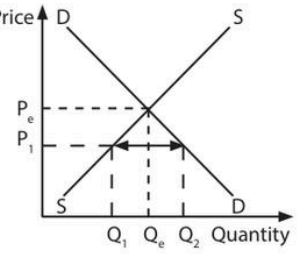
2020 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

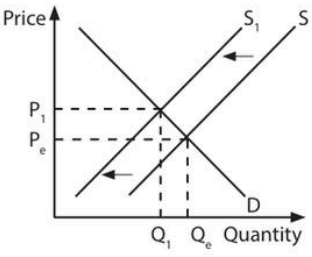
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

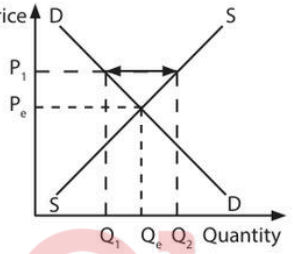
☒ **A**



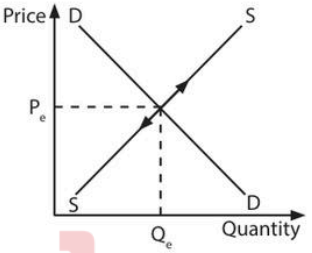
☒ **B**



☒ **C**



☒ **D**



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3. Question 2 · part f · 2 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

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(b) Which **one** of the following is most likely to create a barrier to entry?

(1)

- ☒ **A** Government provides subsidies for new firms
- ☒ **B** Increasing personal incomes in the economy
- ☒ **C** Low start-up costs
- ☒ **D** Use of expensive technology

(c) Calculate the **price elasticity of demand (PED)** for a product if price falls by 10% and quantity demanded increases by 19%. You are advised to show your working.

(2)

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(d) State the formula for social benefits.

(1)

(e) Define the term consumer.

(1)

3. Question 2 · part f · 2 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

(f) Describe **one** factor that may influence the growth of a firm.

(2)

There are many health warnings about the dangers of eating too much sugar but some consumers continue to do so.

(g) Explain **one** reason why consumers may still make this decision.

(3)

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3. Question 2 · part f · 2 marks · Working and answer

Working and answer

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4. Question 2 · part e · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part e only.

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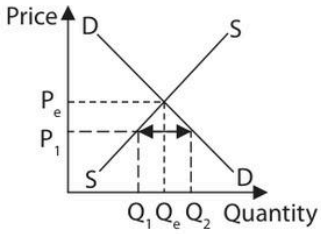
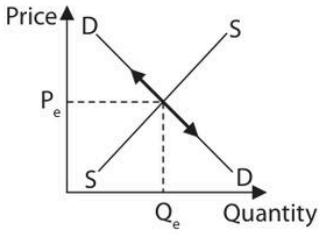
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

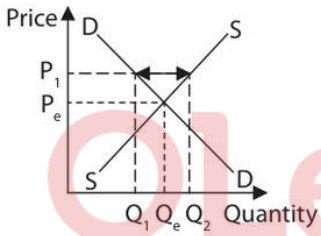
☒ **A**



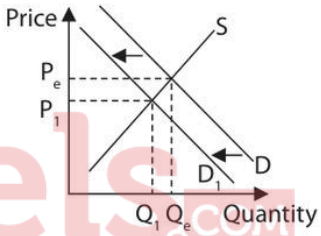
☒ **B**



☒ **C**



☒ **D**



(b) Land can be described as which **one** of the following?

(1)

☒ **A** A diseconomy of scale

☒ **B** A factor of production

☒ **C** A variable cost

☒ **D** A market failure

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4. Question 2 · part e · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part e only.

(c) State the formula for profit.

(1)

(d) Calculate the **price elasticity of supply (PES)** for a product when price increases by 30% and quantity supplied increases by 36%. You are advised to show your working.

(2)

(e) Define the term finance.

(1)

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P 5 9 9 6 3 A 0 8 2 4

4. Question 2 · part e · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part e only.

The Irish Artisan Charcoal Company (IACC) is the only firm producing charcoal in Ireland. Damaged trees which would otherwise have been left to rot are used to produce top quality charcoal.

(Source adapted from: https://www.limerickleader.ie/video/home/348948/watch-irish-artisan-charcoal-company-in-limerick-blazing-a-trail-with-unique-product.html)

(f) Describe the type of market structure in which the Irish Artisan Charcoal Company operates.

(2)

Street lighting is considered to be a public good.

(g) Explain **one** reason why this may cause a free rider problem.

(3)

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4. Question 2 · part e · 1 mark · Working and answer

Working and answer

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5. Question 2 · part e · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part e only.

2

Market share by firm for a market in Azerbaijan

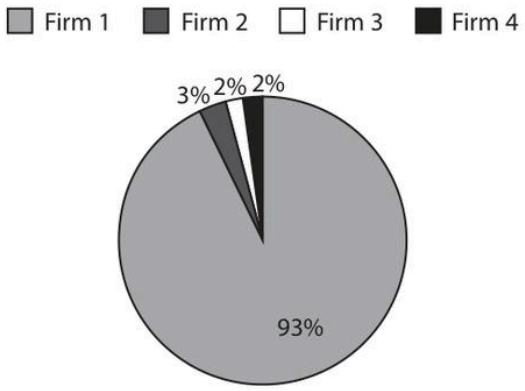

Figure 3

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 3?

(1)

- ☒ **A** Cartel
- ☒ **B** Oligopoly
- ☒ **C** Monopoly
- ☒ **D** Competitive

(b) Which **one** of the following is a reason why consumers may not maximise their benefit?

(1)

- ☒ **A** Consumers may accurately calculate the satisfaction they gain
- ☒ **B** Consumers may have habits that are hard to give up
- ☒ **C** Consumers are always rational when making decisions
- ☒ **D** Consumers never copy the behaviour of others

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5. Question 2 · part e · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part e only.

(c) State the formula for price elasticity of supply (PES).

(1)

Figure 4 shows some of the production costs in the month of May for a firm manufacturing football souvenirs in Qatar, in preparation for the 2022 World Cup.

Production costs	Qatari Riyal (QR)
Rent	5 000
Raw materials	2 000
Advertising	500
Labour (paid according to output)	15 000

Figure 4

(d) Calculate the **total variable costs** for the firm in the month of May. You are advised to show your working.

(2)

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5. Question 2 · part e · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part e only.

(e) Define the term takeover.

(1)

(f) Describe **one** reason why demand for a product usually becomes more price elastic over time.

(2)

In the UK, the speed limit for drivers in urban areas is 30 miles per hour (48 kilometres per hour).

(g) Explain **one** reason why the UK Government may use fines to reduce the negative externalities caused by drivers speeding in urban areas.

(3)

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P 6 2 0 3 0 A 0 1 0 2 4

5. Question 2 · part e · 1 mark · Working and answer

Working and answer

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6. Question 1 · part i · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part i only.

1 (a) Which **one** of the following does a point on a production possibility curve (PPC) represent?

(1)

- ☒ **A** Where capital goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Government revenue from production
- ☒ **D** A given amount of resources being fully employed

Andreas is a plumber. Unlike his competitors, he is prepared to work at the weekend. However, he charges customers 50% more for his services at the weekend.

(b) Which **one** of the following describes this economic assumption?

(1)

- ☒ **A** Businesses aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers sometimes copy others' behaviour
- ☒ **D** Governments try to increase the number of days worked

(c) What is meant by the term economies of scale?

(2)

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6. Question 1 · part i · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part i only.

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(d) State **one** example of a factor of production that can be classified as land.

(1)

(e) Define the term monopoly.

(1)

Alfie provides a dog-walking service to dog owners in his local area. After a successful first year he increased prices by 1.5% and quantity demanded fell by 1.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Alfie's dog-walking service. You are advised to show your working.

(2)

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6. Question 1 · part i · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part i only.

(g) Using the diagram below, draw the likely effects on the market for cars of the introduction of more effective technology in production. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

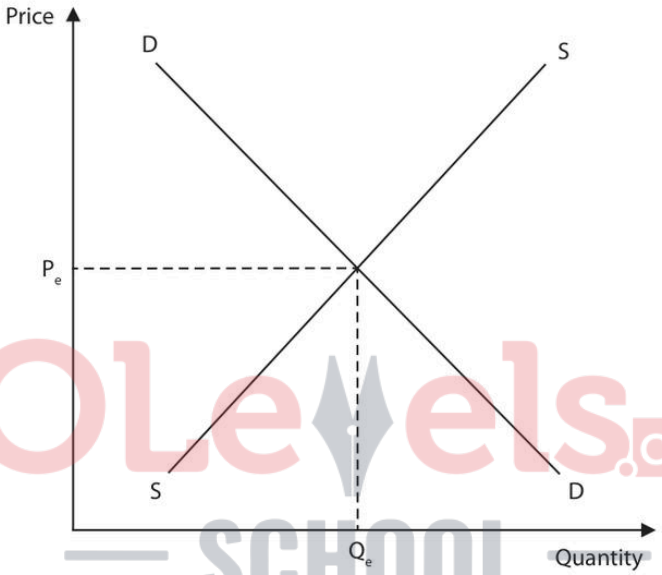

Figure 1

In 2015, the school-leaving age in England was raised from 16 to 18.

(h) Explain **one** possible effect on the supply of labour of the school-leaving age being raised.

(3)

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6. Question 1 · part i · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part i only.

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Bupa is an international firm that provides healthcare products to 32 million customers in 190 countries. The initial purpose of the firm was to provide health insurance. It has grown by offering a wider range of services. These include retirement homes for the elderly, eye care, hospital treatment, dental work and travel insurance.

(i) With reference to the data above and your knowledge of economics, analyse why Bupa may have decided to operate in a wider range of markets.

(6)

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(Total for Question 1 = 20 marks)

6. Question 1 · part i · 6 marks · Working and answer

Working and answer

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7. Question 2 · part g · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part g only.

2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

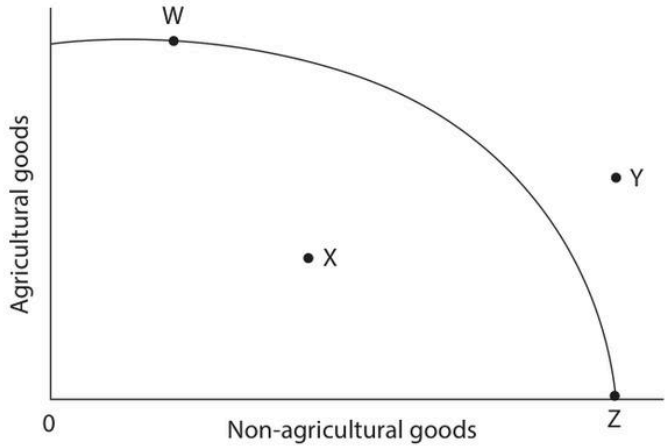

Figure 2

(a) Which **one** of the following points shows unemployed resources? **(1)**

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) A trade union is an organisation that aims to protect **(1)**

- ☒ **A** consumer interests
- ☒ **B** the environment
- ☒ **C** employee rights
- ☒ **D** the government

(c) State **one** reason why firms stay small. **(1)**

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7. Question 2 · part g · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part g only.

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A firm increases supply by 2.7% following a price increase of 4.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(e) Define the term price-maker.

(1)

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(f) Describe **one** reason why a computer can be a factor of production.

(2)

P 6 5 8 9 7 R A 0 7 2 0

7. Question 2 · part g · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part g only.

Abi owns a small cafe. It is often very busy and customers may have to wait for a table. Abi is considering whether to move to a larger premises. A larger property has become available but it would cost almost double the current rent.

(g) Explain **one** factor that could affect whether Abi is able to expand her business.

(3)

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7. Question 2 · part g · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part g only.

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High pollution levels in the busy Indonesian city of Jakarta are mainly due to the large volume of traffic. There are over 17 million vehicles registered in the area, each emitting fumes into the environment. The number of vehicles is increasing.

In 2007, government regulations were introduced to reduce the volume of traffic in the city. For example, every Sunday morning, over 8 km of Jakarta's roads are traffic-free as vehicles are banned. In 2016, it was reported that air quality had improved by 65% compared to the levels before the regulations were introduced.

(h) With reference to the data above and your knowledge of economics, assess the effectiveness of government regulations when dealing with externalities such as air pollution in Jakarta.

(9)

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7. Question 2 · part g · 3 marks · Working and answer

Working and answer

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8. Question 2 · part e · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part e only.

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2 (a) Which **one** of the following products has demand that is price elastic?

(1)

		Product	Price elasticity of demand (PED)
☒	**A**	**W**	–1.5
☒	**B**	**X**	–1
☒	**C**	**Y**	–0.5
☒	**D**	**Z**	1

(b) Which **one** of the following is a situation when firms in a growing industry all benefit from lower average costs?

(1)

☒ **A** Internal economies of scale

☒ **B** External economies of scale

☒ **C** Diseconomies of scale

☒ **D** Technical economies of scale

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(c) State **one** disadvantage to firms of increased competition.

(1)

P 6 6 3 2 7 A 0 7 2 4

8. Question 2 · part e · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part e only.

A firm has total fixed costs of $75 000 per month and variable costs of $525 per unit. It produces 1350 units per month.

(d) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

(e) Define the term takeover.

(1)

(f) Describe **one** reason why consumers do not always maximise their benefit from the consumption of a product.

(2)

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P 6 6 3 2 7 A 0 8 2 4

8. Question 2 · part e · 1 mark · Working and answer

Working and answer

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9. Question 3 · part a · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part a only.

3 (a) Which **one** of the following is the definition of a merger?

(1)

- ☒ **A** The joining together of two firms
- ☒ **B** The transfer of ownership from the government
- ☒ **C** The takeover of one firm by another firm
- ☒ **D** The creation of a competitive market

(b) Which **one** of the following is a reason why a government would introduce a minimum wage?

(1)

- ☒ **A** To increase the benefits paid by a government
- ☒ **B** To reduce the motivation of workers
- ☒ **C** To close the income gap between the rich and the poor
- ☒ **D** To ensure producers increase their profits

(c) On the blank pie chart below, draw and label the likely approximate size of employment in the primary (P), secondary (S) and tertiary (T) sectors for a developed country, such as Japan.

(3)

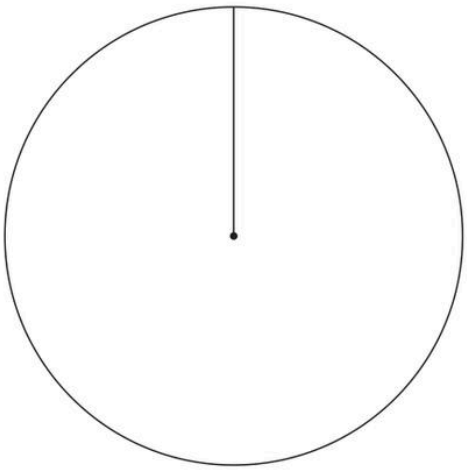

Figure 5

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9. Question 3 · part a · 1 mark · Working and answer

Working and answer

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10. Question 4 · part c · 12 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

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4 Figure 6 shows financial data for a firm selling a selection of products.

Product	X	Y
Price	$3 000	$3 300
Quantity sold	50	40
Total revenue	$3 000 × 50	$3 300 × 40
PED	−0.62	−1.53

Figure 6

(a) Calculate the **total revenue** for the product that has a price elasticity of demand (PED) which is **inelastic**. You are advised to show your working.

(2)

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10. Question 4 · part c · 12 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

For a number of years there has been an increase in obesity in Poland. Consumers of sugary drinks, such as Coca Cola and Fanta, now have to pay an additional 0.50 zloty ($0.11) per litre, following the introduction of a sugar tax. At the same time, there has been an increase in adverts for soft drinks. However, consumers are still buying these drinks even though they are now more expensive.

(Source adapted from: https://retailmarketexperts.com/en/news/2021-retail-tax-and-sugar-tax-come-into-force/)

(b) With reference to the data above and your knowledge of economics, analyse the reasons why consumers may not maximise their benefit when consuming sugary drinks.

(6)

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10. Question 4 · part c · 12 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

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10. Question 4 · part c · 12 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

NT Massage is a small but successful, family-run business in a residential part of Hong Kong. It offers traditional foot and head massages to local residents, many of whom have been customers for many years.

A younger member of the family, Mei, would like to expand the business. She wants to open a chain of shops offering foot and head massages in busier areas of Hong Kong. She would like her new employees to be fully trained, to advertise in hotels and to focus more attention on attracting custom from the 7.5 million population of Hong Kong.

Even though there would be competition from many other similar businesses, additional custom from tourists and business people would enable NT Massage to charge higher prices in the new shops.

(c) With reference to the data above and your knowledge of economics, evaluate whether the family should expand the business rather than keeping it small.

(12)

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10. Question 4 · part c · 12 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

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10. Question 4 · part c · 12 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

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(Total for Question 4 = 20 marks)

10. Question 4 · part c · 12 marks · Working and answer

Working and answer

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11. Question 2 · part f · 3 marks

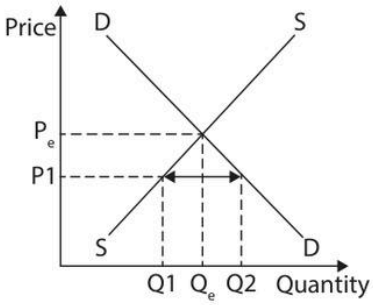
2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

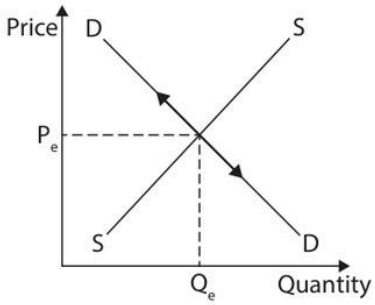
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

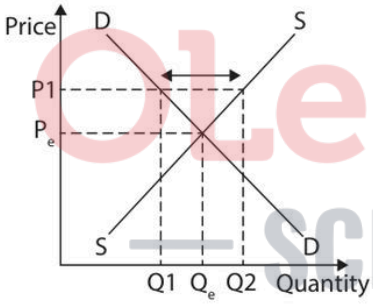
☒ **A**



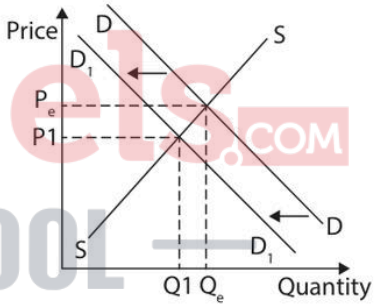
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of an oligopoly?

(1)

☒ **A** There is only one firm in the market

☒ **B** Firms always act independently

☒ **C** Different products are sold

☒ **D** No barriers to entry are present

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11. Question 2 · part f · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

(c) Calculate the **percentage change in quantity supplied** for a product if the price elasticity of supply (PES) is 1.5 and the price increases by 12%. You are advised to show your working.

(2)

(d) What is meant by the term social costs?

(2)

(e) Describe **one** reason why innovation may be more likely to occur in a monopoly.

(2)

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P 7 2 9 6 8 R A 0 8 2 4

11. Question 2 · part f · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

Sajad owns a shop selling smartphones in Karachi, Pakistan. The shop has been successful for several years and there is an opportunity for Sajad to open an additional shop on the other side of the city.

(f) Explain **one** reason why Sajad may decide to expand his business.

(3)

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11. Question 2 · part f · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

In January 2023, the minimum wage in the Netherlands was increased by 10.15% to €1 934.40 per month. The decision was partly due to inflation increasing to 17% during 2022.

However, the decision has been criticised because the economy is still weak following the global health crisis.

(g) With reference to the data above and your knowledge of economics, assess the likely benefits of increasing the minimum wage for employees and firms in the Netherlands.

(9)

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11. Question 2 · part f · 3 marks · Working and answer

Working and answer

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12. Question 1 · part e · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part e only.

1 (a) Which **one** of the following is a definition of opportunity cost?

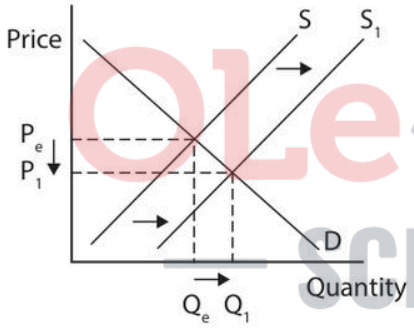
(1)

- ☒ **A** Rivalry that exists between firms
- ☒ **B** Investment in capital goods
- ☒ **C** The next best alternative given up
- ☒ **D** Unused resources

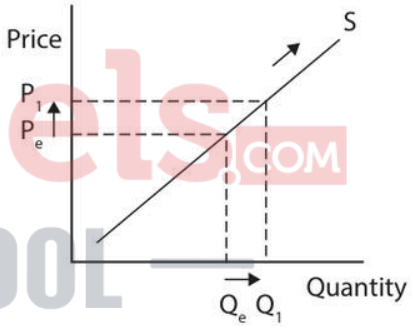
(b) Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers?

(1)

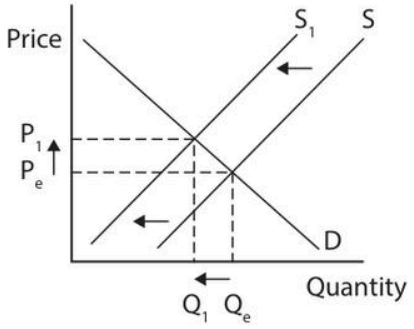
☒ **A**



☒ **B**



☒ **C**



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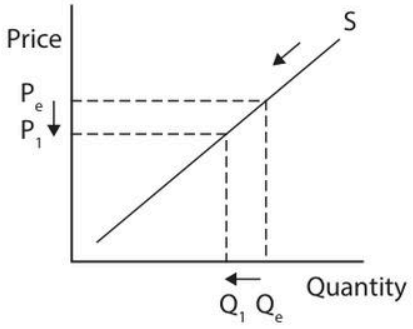

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12. Question 1 · part e · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part e only.

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(c) What is meant by the term external benefit?

(2)

(d) State **one** example of an external cost.

(1)

(e) Define the term takeover.

(1)

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12. Question 1 · part e · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part e only.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for a good if price decreases by 9.4% and quantity supplied decreases by 3.7%. You are advised to show your working.

(2)

Figure 1 shows the market for rice.

(g) Using the diagram below, draw the likely effect of an increase in the population on the market for rice. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

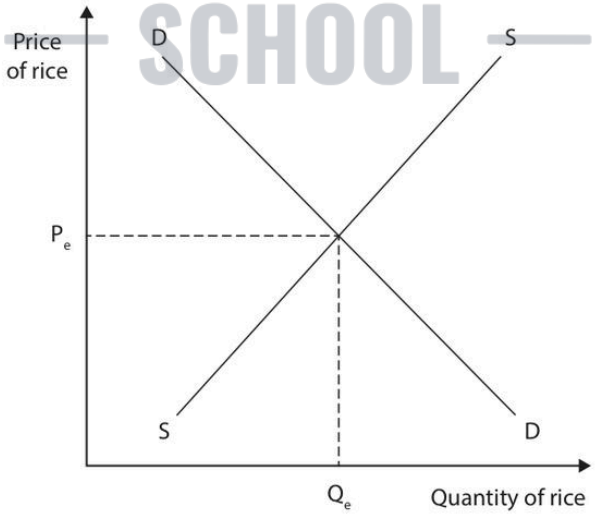

Figure 1

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12. Question 1 · part e · 1 mark · Working and answer

Working and answer

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13. Question 4 · part b · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

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4 Figure 6 shows the population of Finland in the years 2021, 2022 and 2023.

Year	Population
2021	5,541,075
2022	5,569,299
2023	5,601,185

Figure 6

(a) Calculate, to two decimal places, the **percentage change in the population** of Finland between 2021 and 2023. You are advised to show your working.

(2)

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13. Question 4 · part b · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

Malaysian company Air Asia was founded in 1993 as a low-price airline. It has grown to offer a wider range of services, including hotels, holiday packages, airport transfers and travel insurance.

It offers flights to over 150 destinations in 25 countries.

(b) With reference to the data above and your knowledge of economics, analyse why Air Asia may benefit from spreading its risk across a wider range of markets.

(6)

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13. Question 4 · part b · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

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13. Question 4 · part b · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

In 2024, the Latvian Government increased the national minimum wage from €620 per month to €700 per month.

A study had shown that 16% of the population of Latvia were paid the minimum wage. Although this was the lowest percentage for five years, many people had been struggling to pay bills following a rise in the prices of food, energy and clothing.

(c) With reference to the data above and your knowledge of economics, evaluate whether an increase in the minimum wage would benefit everyone in an economy such as Latvia.

(12)

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13. Question 4 · part b · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

14. Question 4 · part c · 12 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

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4 Figure 4 shows profit for a firm between 2021 and 2023.

Year	Profit ($)
2021	211 600
2022	213 700
2023	214 100

Figure 4

(a) Calculate, to two decimal places, the **percentage change in profit** for the firm between 2021 and 2023. You are advised to show your working.

(2)

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14. Question 4 · part c · 12 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

The market for petrol in Uganda has five main companies, each with a distinctive logo and colours representing its brand. These companies benefit considerably from barriers to entry, due to very high set-up costs.

Each company offers something different to stand out from its competitors. Vivo Energy offers excellent customer service. Total Energies aims to improve its impact on the environment. Nile Energy has a reputation for modern facilities. Hass Petroleum uses a loyalty card to retain customers and Stabex International focuses on having motivated employees.

(b) With reference to the data above and your knowledge of economics, analyse why the market for petrol in Uganda could be described as an oligopoly.

(6)

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14. Question 4 · part c · 12 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

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14. Question 4 · part c · 12 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

Řešení has been a successful accountancy firm in Brno, Czechia, since it began in 2007. The firm employs a small team of highly qualified accountants. They manage the financial needs of its customers, which are both established and new businesses. The accountants are usually very busy due to the excellent reputation the firm has achieved.

The Managing Director, Daniella, is considering expanding the firm. She would like to open another office in Prague, the capital of Czechia. Approximately 12% of Czechia's businesses are located in Prague compared to only 3.5% in Brno, which is over 200 km away.

Even though there would be more competition from other accountancy firms in Prague, the average price of goods and services in the capital is more expensive, enabling Řešení to charge a higher price for its services.

(c) With reference to the data above and your knowledge of economics, evaluate the likely benefits to Řešení of expanding the firm to Prague.

(12)

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14. Question 4 · part c · 12 marks

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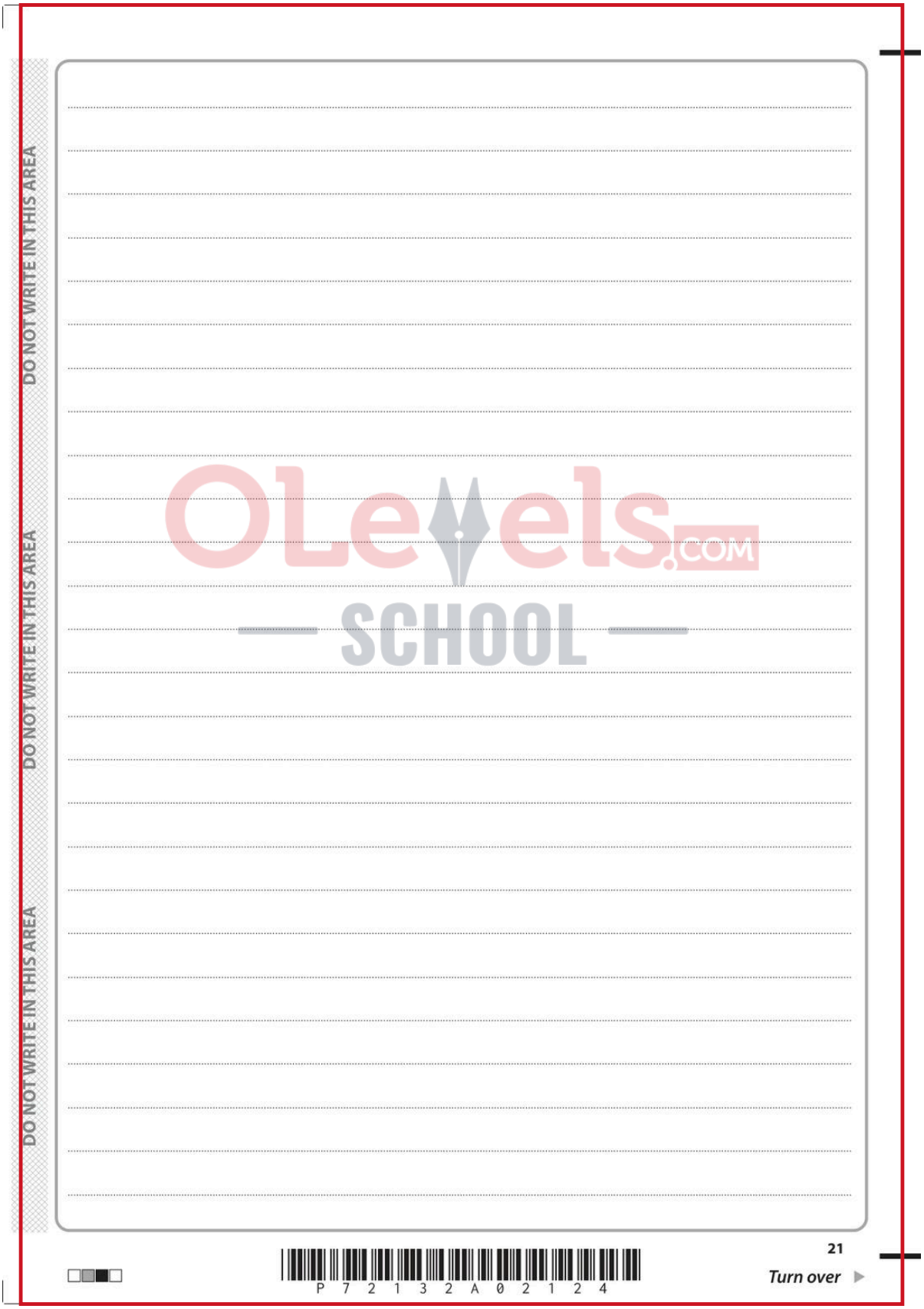
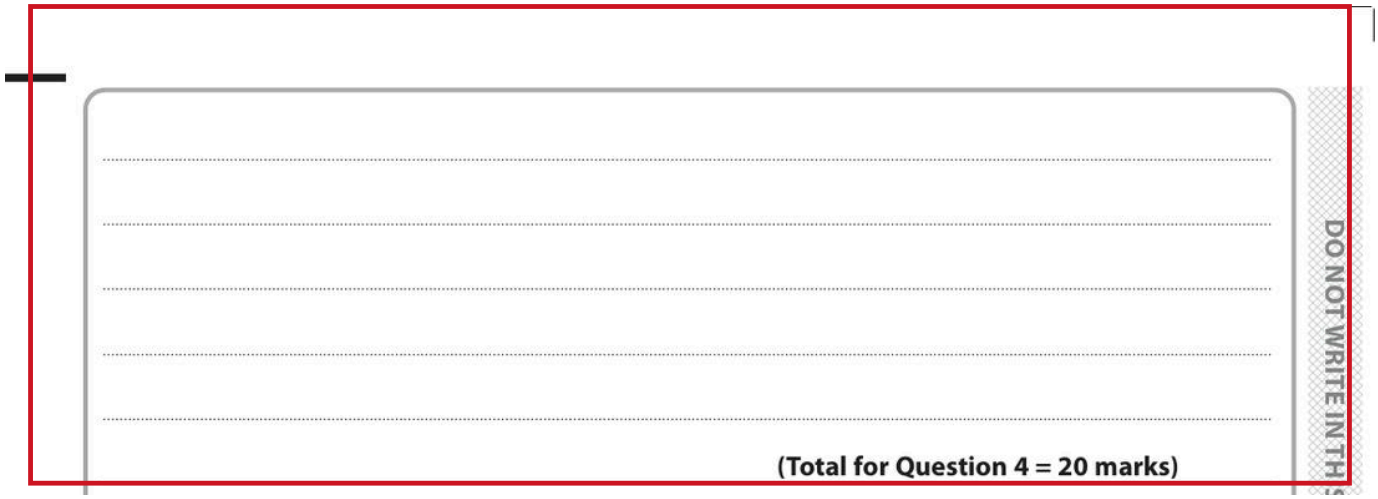
Further practice · Attempt part c only.



14. Question 4 · part c · 12 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.



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14. Question 4 · part c · 12 marks · Working and answer

Working and answer

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Practice workbook · Monopoly: features, barriers to entry, pros and cons

Definition of monopoly; features (one dominant firm, unique product, price-maker); barriers to entry (patents, legal, marketing, technology, start-up costs); and effects on price, choice, quality, innovation and efficiency for consumers and the firm.

20 question parts: 1 worked-example retry and 19 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-13

1. Question 2 · part e · 2 marks

2023 JAN · Paper 01 (regional R)

Worked-example retry · Attempt part e only.

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2 The income elasticity of demand (YED) for a product can be calculated by using the information in Figure 3.

Change in quantity demanded	4.6%
Change in income	2%

Figure 3

(a) Which **one** of the following options best describes the demand for the product?

(1)

- ☒ **A** Unitary
- ☒ **B** Luxury
- ☒ **C** Inferior
- ☒ **D** Inelastic

(b) Which **one** of the following is the formula for social benefits?

(1)

- ☒ **A** Private costs + private benefits
- ☒ **B** Private benefits – private costs
- ☒ **C** Private benefits + external benefits
- ☒ **D** Private costs – external costs

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1. Question 2 · part e · 2 marks

2023 JAN · Paper 01 (regional R)

Worked-example retry · Attempt part e only.

(c) What is meant by the term trade union?

(2)

Figure 4 shows the monthly costs per unit when a firm makes 3,000 units.

Quantity	Total fixed costs	Total variable costs
3,000	$6 200	$3 550

Figure 4

(d) Calculate the **average cost per unit (AC)** for the firm when it makes 3,000 units.
You are advised to show your working.

(2)

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1. Question 2 · part e · 2 marks

2023 JAN · Paper 01 (regional R)

Worked-example retry · Attempt part e only.

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(e) Describe **one** way that high start-up costs can be a barrier to entry.

(2)

UK supermarkets operate in an oligopoly where the market is dominated by several large firms.

(f) Explain **one** disadvantage of this type of market structure for UK consumers.

(3)

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1. Question 2 · part e · 2 marks · Working and answer

Working and answer

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2. Question 1 · part h · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

1 (a) Which **one** of the following is a feature of an oligopoly?

(1)

- ☒ **A** Large firms dominate
- ☒ **B** Unique product
- ☒ **C** One firm dominates
- ☒ **D** No barriers to entry

(b) A firm has monthly total costs of $150 000 and monthly fixed costs of $90 000. If it produces 1,000 units, what are the monthly total variable costs for the firm?

(1)

- ☒ **A** $60
- ☒ **B** $90
- ☒ **C** $60 000
- ☒ **D** $240 000

(c) What is meant by the term luxury good?

(2)

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2. Question 1 · part h · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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(d) State **one** factor that would affect price elasticity of supply (PES).

(1)

(e) Define the term substitute good.

(1)

Small but successful

Robert has been running a small business from a workshop in his own house for nine years. He has been carving door signs and gifts out of locally sourced wood. Rather than producing identical, standard items, he decided to only make products to meet the personal requirements of his customers. Each order is made specifically for them and reviews are very positive. Robert's success is due to a growing trend across the country as consumers increasingly prefer to buy locally sourced products.

(f) Calculate the price elasticity of supply for Robert's wooden door signs when the price increases by 5.2% and quantity supplied increases by 3.9%. You are advised to show your working.

(2)

O1.eVels.COM SCHOOL

2. Question 1 · part h · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

(g) Using the diagram below, draw the effects on the market for locally sourced goods of more customers preferring to buy from local firms. Label the new curve, new equilibrium price and new equilibrium quantity.

(3)

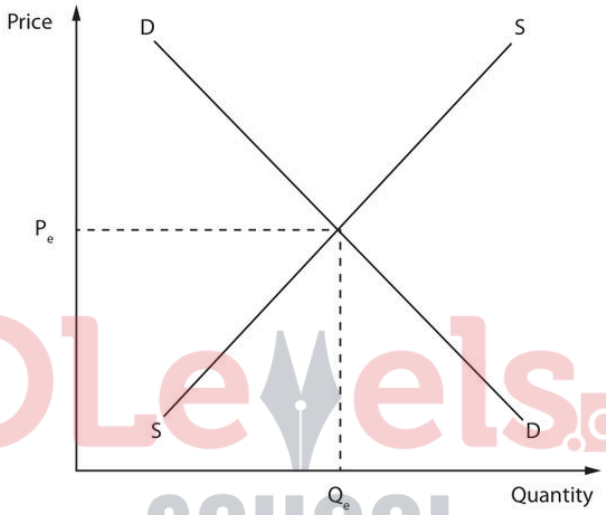

Figure 1

Robert is the only business specialising in handmade door signs in the local area.

(h) Explain **one** disadvantage for customers of Robert being the only local firm specialising in handmade door signs.

(3)

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2. Question 1 · part h · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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Despite his success, Robert has decided to keep his business small and not expand.

(i) With reference to the data in **'Small but successful'** and your knowledge of economics, analyse why Robert might have decided not to expand his business.

(6)

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(Total for Question 1 = 20 marks)

2. Question 1 · part h · 3 marks · Working and answer

Working and answer

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3. Question 4 · part b · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

4 Figure 4 shows the quantity of a good supplied and demanded at different price levels.

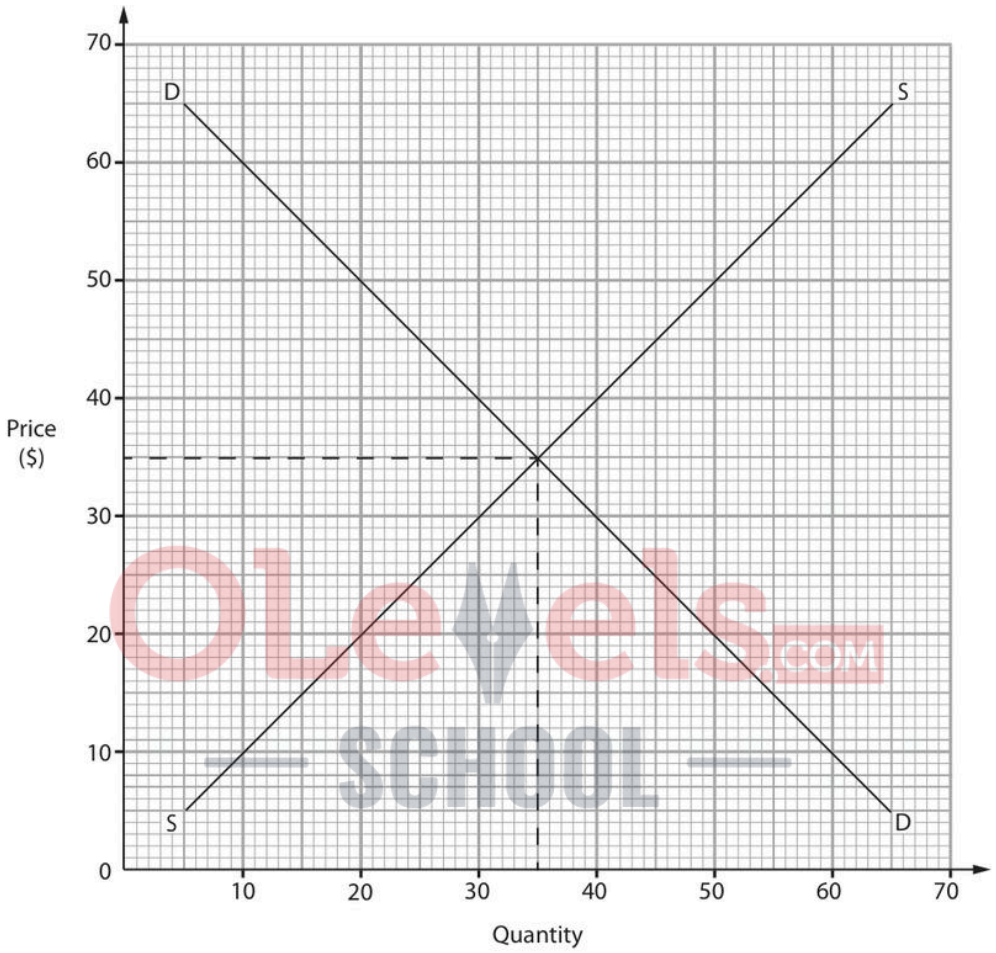

Figure 4

(a) Using the information in Figure 4, calculate the excess demand of goods in the market at a price of $20. You are advised to show your working.

(2)

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3. Question 4 · part b · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

NBC Universal pays $7.75bn for Olympics through to 2032

The International Olympic Committee (IOC) announced it had agreed a $7.75bn deal with the USA television network, NBC Universal. This will extend its broadcasting rights to the Olympic Games up until 2032. The deal gives NBC Universal total control over all media platforms in the USA, including television, internet and mobile. A spokesman for NBC Universal said they were confident they would get back the high cost through advertising.

(Source: adapted from https://eu.usatoday.com/story/sports/olympics/2014/05/07/nbc-olympics-broadcast-rights-2032/8805989/

(b) With reference to the data above and your knowledge of economics, analyse the benefits to NBC Universal of agreeing this deal with the IOC.

(6)

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3. Question 4 · part b · 6 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

Figure 5 shows the market share in South America of search engine providers, between October 2016 and October 2017.

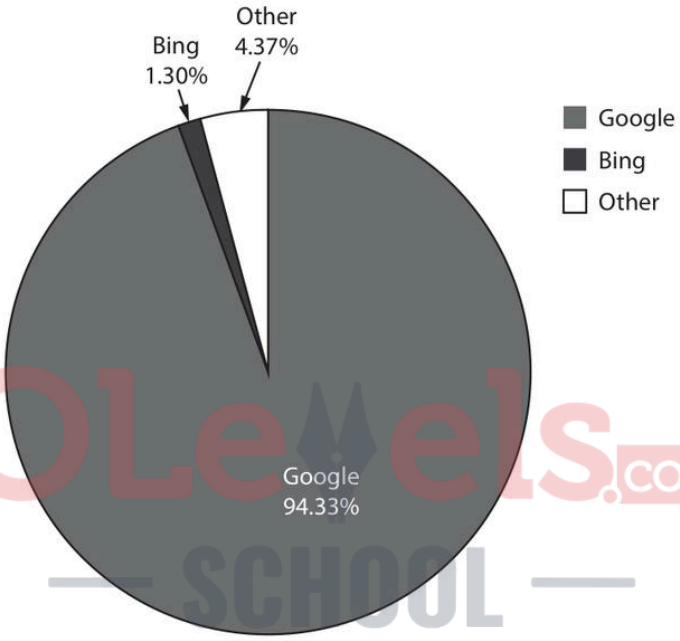

Figure 5

(Source: adapted from http://gs.statcounter.com/search-engine-host-market-share/all/south-america#monthly-201610-201710-bar)

Consumers do not pay to use search engines but firms pay to advertise on them. Google, because of the size of its market share, is considered to be a monopoly.

(c) With reference to the data above and your knowledge of economics, evaluate the extent to which firms can benefit from advertising on Google.

(12)

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3. Question 4 · part b · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 4 · part c · 12 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

4 Figure 4 shows the quantity of a good supplied and demanded at different price levels.

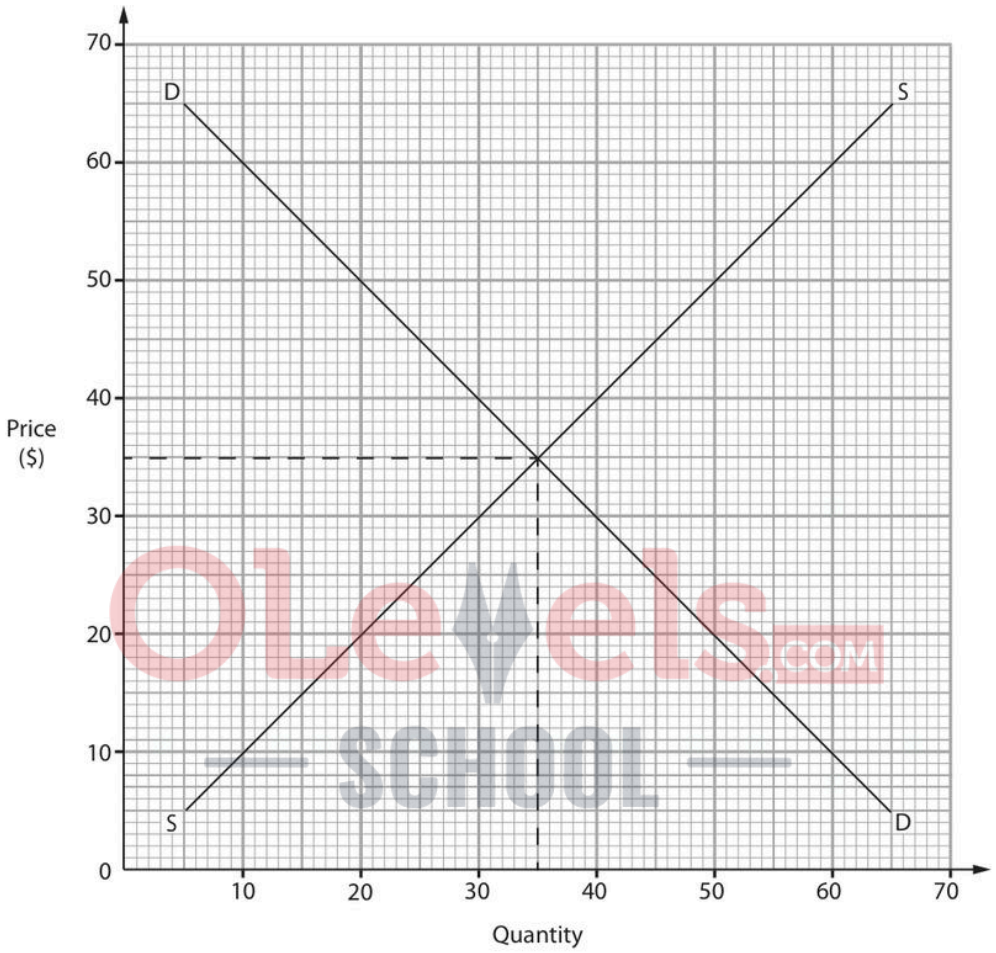

Figure 4

(a) Using the information in Figure 4, calculate the excess demand of goods in the market at a price of $20. You are advised to show your working.

(2)

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4. Question 4 · part c · 12 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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(Source: adapted from https://eu.usatoday.com/story/sports/olympics/2014/05/07/nbc-olympics-broadcast-rights-2032/8805989/

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(6)

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4. Question 4 · part c · 12 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

Figure 5 shows the market share in South America of search engine providers, between October 2016 and October 2017.

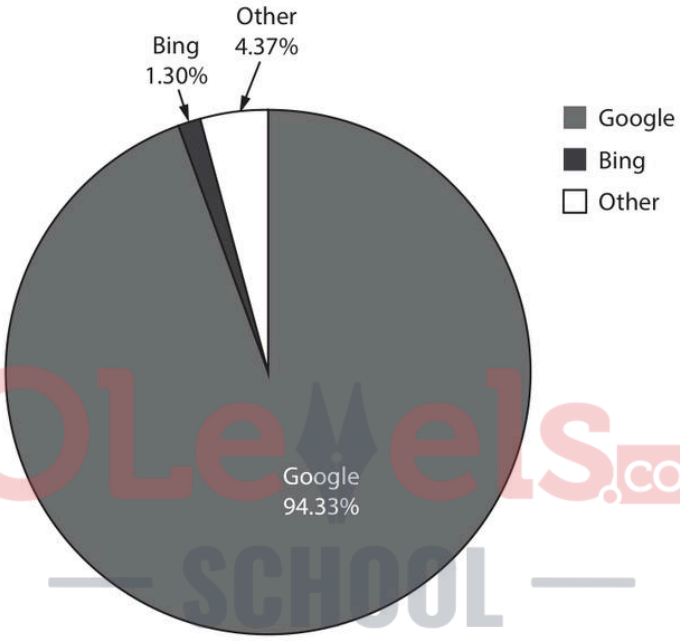

Figure 5

(Source: adapted from http://gs.statcounter.com/search-engine-host-market-share/all/south-america#monthly-201610-201710-bar)

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(12)

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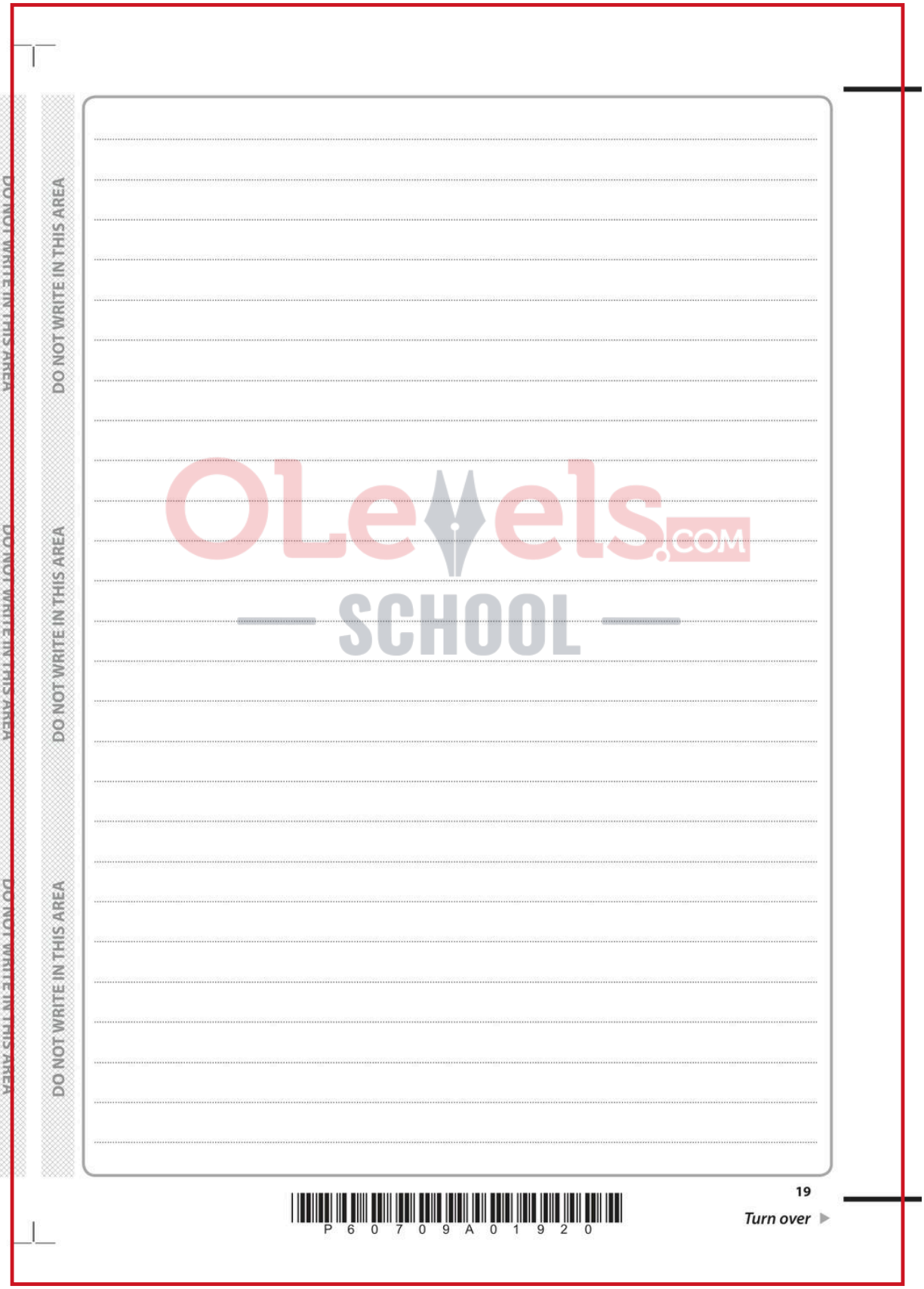
4. Question 4 · part c · 12 marks

2019 JUN · Paper 01 (regional R)

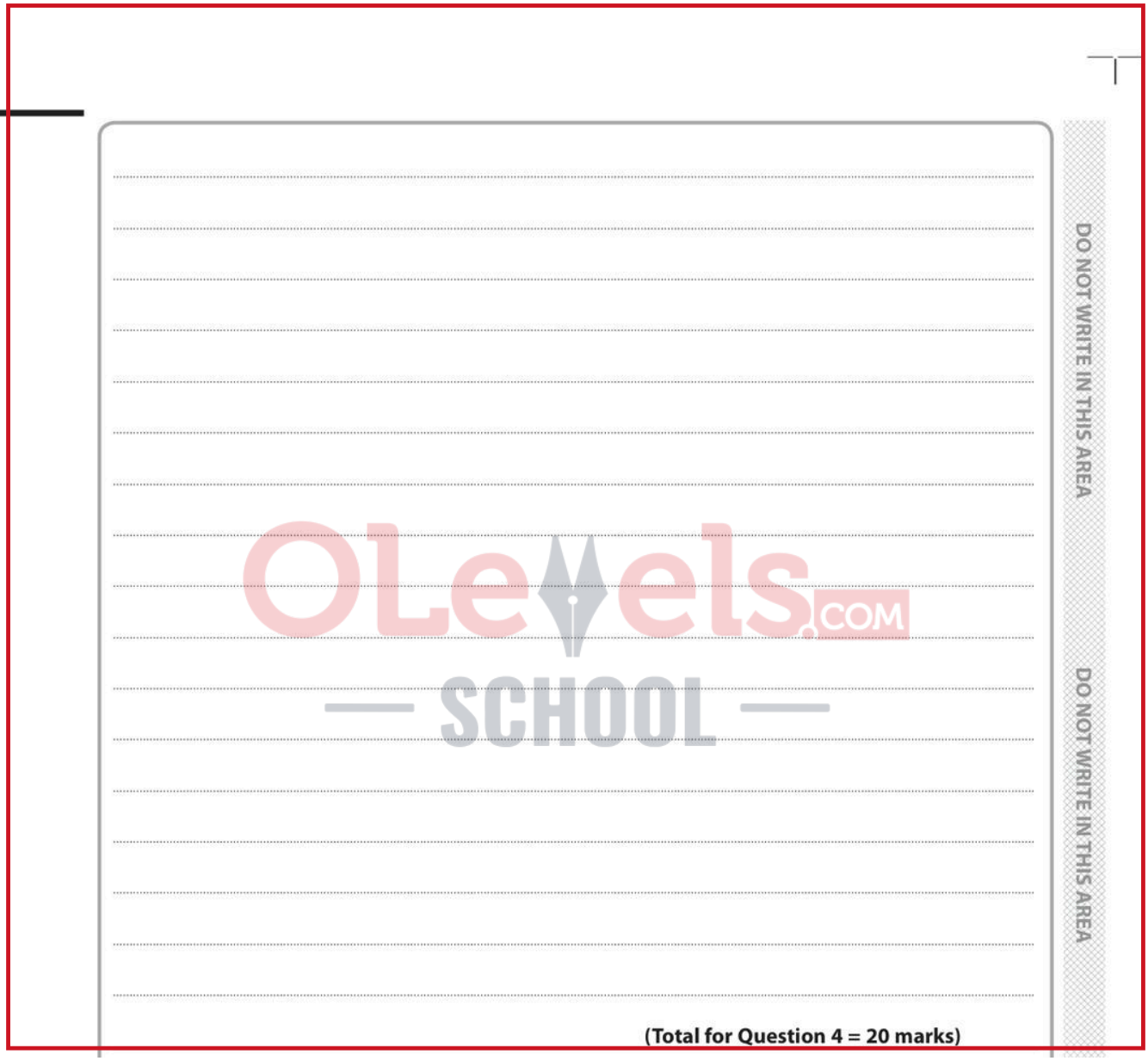
Further practice · Attempt part c only.



4. Question 4 · part c · 12 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.



4. Question 4 · part c · 12 marks · Working and answer

Working and answer

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5. Question 2 · part b · 1 mark

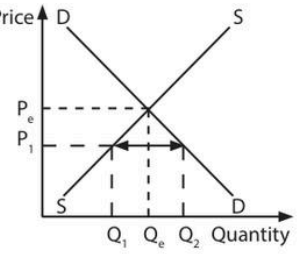
2020 JAN · Paper 01 (regional R)

Further practice · Attempt part b only.

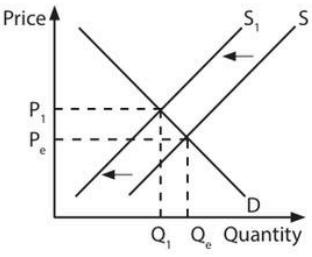
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

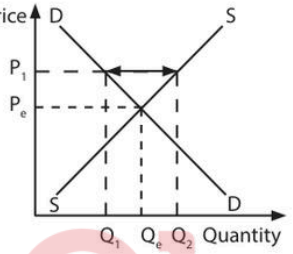
☒ **A**



☒ **B**



☒ **C**



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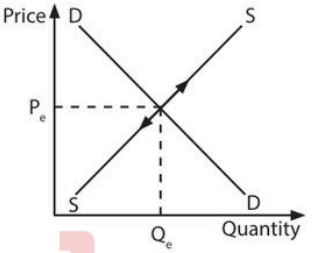

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5. Question 2 · part b · 1 mark

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part b only.

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(b) Which **one** of the following is most likely to create a barrier to entry?

(1)

- ☒ **A** Government provides subsidies for new firms
- ☒ **B** Increasing personal incomes in the economy
- ☒ **C** Low start-up costs
- ☒ **D** Use of expensive technology

(c) Calculate the **price elasticity of demand (PED)** for a product if price falls by 10% and quantity demanded increases by 19%. You are advised to show your working.

(2)

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(d) State the formula for social benefits.

(1)

(e) Define the term consumer.

(1)

5. Question 2 · part b · 1 mark · Working and answer

Working and answer

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6. Question 2 · part f · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part f only.

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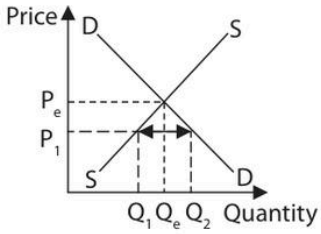
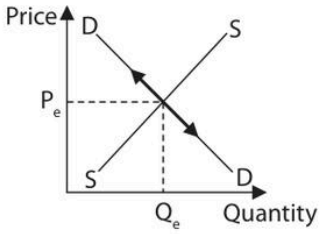
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

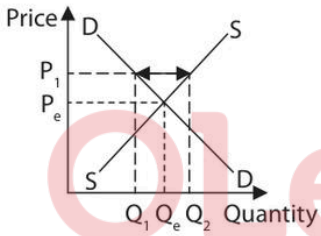
☒ **A**



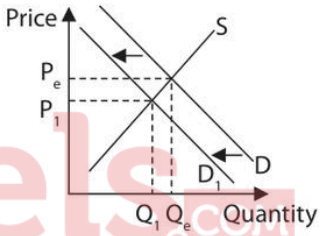
☒ **B**



☒ **C**



☒ **D**



(b) Land can be described as which **one** of the following?

(1)

☒ **A** A diseconomy of scale

☒ **B** A factor of production

☒ **C** A variable cost

☒ **D** A market failure

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6. Question 2 · part f · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part f only.

(c) State the formula for profit.

(1)

(d) Calculate the **price elasticity of supply (PES)** for a product when price increases by 30% and quantity supplied increases by 36%. You are advised to show your working.

(2)

(e) Define the term finance.

(1)

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6. Question 2 · part f · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part f only.

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The Irish Artisan Charcoal Company (IACC) is the only firm producing charcoal in Ireland. Damaged trees which would otherwise have been left to rot are used to produce top quality charcoal.

(Source adapted from: https://www.limerickleader.ie/video/home/348948/watch-irish-artisan-charcoal-company-in-limerick-blazing-a-trail-with-unique-product.html)

(f) Describe the type of market structure in which the Irish Artisan Charcoal Company operates.

(2)

Street lighting is considered to be a public good.

(g) Explain **one** reason why this may cause a free rider problem.

(3)

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6. Question 2 · part f · 2 marks · Working and answer

Working and answer

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7. Question 1 · part h · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.

1 (a) Which **one** of the following is the term for the next best alternative given up when a choice is made?

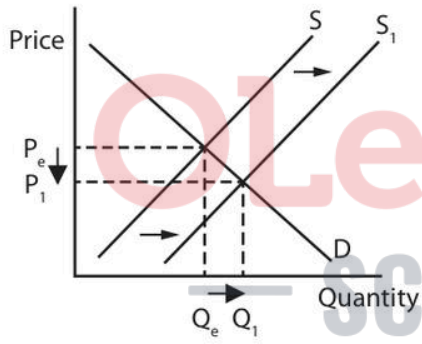
(1)

- ☒ **A** Business competition
- ☒ **B** Capital investment
- ☒ **C** Opportunity cost
- ☒ **D** Spare capacity

(b) Which **one** of the following options shows the effects on the market for motorcycle helmets after a fall in the price of motorcycles?

(1)

☒ **A**



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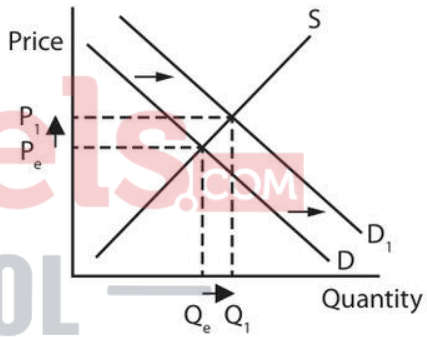
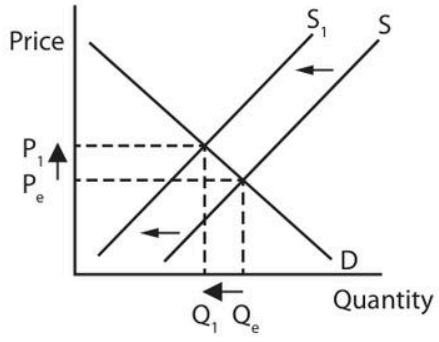
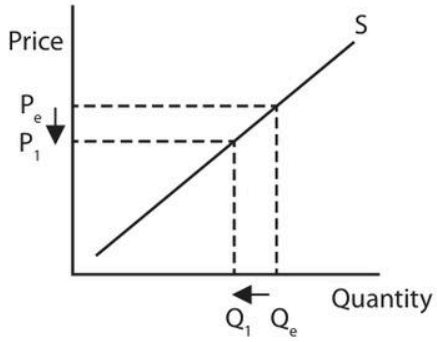


☒ **C**



☒ **D**



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7. Question 1 · part h · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.

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(c) What is meant by the term external costs?

(2)

(d) State **one** example of an external benefit.

(1)

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The problem of scarcity is that there are unlimited wants and finite resources.

(e) Define the term wants.

(1)

7. Question 1 · part h · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.

Private facilities in which swimmers can change clothes are available at the swimming pool in Ciney, Belgium. The quantity demanded for these facilities during each of the first three months of 2019 is shown in Figure 1.

Month	Quantity of private facilities demanded
January	3,600
February	3,200
March	3,100

Figure 1

(f) Calculate the **excess demand** for private changing facilities for the first three months of 2019 if the quantity supplied during each month was 3,000 (9,000 in total). You are advised to show your working.

(2)

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7. Question 1 · part h · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.

(g) Using the diagram below, draw the likely effects on the market for bread after a decrease in the population. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

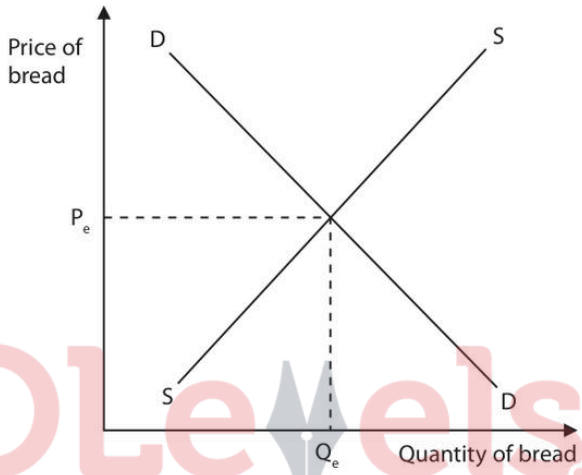

Figure 2

The music entertainment industry is dominated by a few main firms. These are BMG, EMI Group, Sony, Universal Music Group and Warner.

(h) Explain **one** possible barrier to entry a new firm might face when trying to enter this industry.

(3)

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Turn over ▶

7. Question 1 · part h · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part h only.

Coffee is a popular drink in many countries around the world. Beans are picked by hand from coffee plants once the fruit is ready to harvest. It is then put through a process which includes sorting the type of bean and transforming it from its natural state. It can be sold as a bean, ground to make coffee or even as the instant product. Machines are used for most of the process but cannot identify which beans are ready to pick.

(i) With reference to the data above and your knowledge of economics, analyse why all four factors of production might be used to produce coffee.

(6)

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7. Question 1 · part h · 3 marks · Working and answer

Working and answer

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8. Question 2 · part a · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part a only.

2

Market share by firm for a market in Azerbaijan

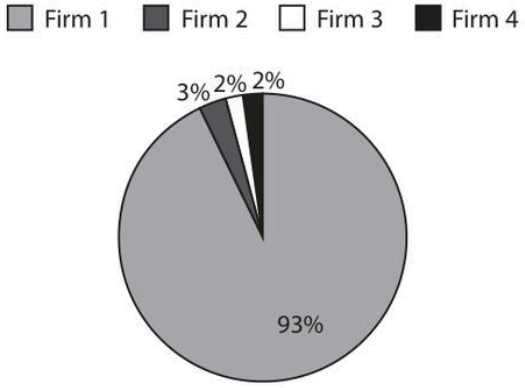

Figure 3

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 3?

(1)

- ☒ **A** Cartel
- ☒ **B** Oligopoly
- ☒ **C** Monopoly
- ☒ **D** Competitive

(b) Which **one** of the following is a reason why consumers may not maximise their benefit?

(1)

- ☒ **A** Consumers may accurately calculate the satisfaction they gain
- ☒ **B** Consumers may have habits that are hard to give up
- ☒ **C** Consumers are always rational when making decisions
- ☒ **D** Consumers never copy the behaviour of others

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8. Question 2 · part a · 1 mark · Working and answer

Working and answer

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9. Question 1 · part e · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part e only.

1 (a) Which **one** of the following does a point on a production possibility curve (PPC) represent?

(1)

- ☒ **A** Where capital goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Government revenue from production
- ☒ **D** A given amount of resources being fully employed

Andreas is a plumber. Unlike his competitors, he is prepared to work at the weekend. However, he charges customers 50% more for his services at the weekend.

(b) Which **one** of the following describes this economic assumption?

(1)

- ☒ **A** Businesses aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers sometimes copy others' behaviour
- ☒ **D** Governments try to increase the number of days worked

(c) What is meant by the term economies of scale?

(2)

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9. Question 1 · part e · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part e only.

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(d) State **one** example of a factor of production that can be classified as land.

(1)

(e) Define the term monopoly.

(1)

Alfie provides a dog-walking service to dog owners in his local area. After a successful first year he increased prices by 1.5% and quantity demanded fell by 1.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Alfie's dog-walking service. You are advised to show your working.

(2)

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9. Question 1 · part e · 1 mark · Working and answer

Working and answer

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10. Question 2 · part g · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

2 (a) Which **one** of the following products has a price inelastic demand?

(1)

	Product	Price elasticity of demand (PED)
☒ **A**	**W**	−1.5
☒ **B**	**X**	−1
☒ **C**	**Y**	−0.5
☒ **D**	**Z**	1

(b) Which **one** of the following is the formula for calculating average cost?

(1)

☒ **A** $\frac{\text{Total fixed cost}}{\text{Quantity produced}}$

☒ **B** $\frac{\text{Total revenue}}{\text{Quantity produced}}$

☒ **C** $\frac{\text{Total cost}}{\text{Quantity produced}}$

☒ **D** $\frac{\text{Total variable cost}}{\text{Quantity produced}}$

(c) State **one** reason why governments intervene in the economy.

(1)

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10. Question 2 · part g · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

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Figure 2 shows selected financial data of a firm selling shoes.

	Cost/Revenue per pair of shoes ($)
Selling price	89
Raw materials	17
Labour	35

Figure 2

(d) Calculate the **profit or loss** for the firm for each pair of shoes. You are advised to show your working.

(2)

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Governments can use fines to deal with externalities.

(e) Define the term fine.

(1)

10. Question 2 · part g · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

(f) Describe **one** benefit to consumers of privatisation.

(2)

Microsoft has a patent on a number of its technological designs.

(g) Explain **one** reason why Microsoft might have patents on its designs.

(3)

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10. Question 2 · part g · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

Fast food restaurants around the world use division of labour during the production of food and drinks. Employees are given different tasks. Burgers are fried before being placed in a bread 'bun'. Chopped lettuce and tomatoes are then added. Potatoes are also peeled and sliced in order to make fries.

(h) With reference to the data above and your knowledge of economics, assess whether a firm, such as a fast food restaurant, always benefits from using division of labour.

(9)

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10. Question 2 · part g · 3 marks · Working and answer

Working and answer

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11. Question 2 · part e · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part e only.

2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

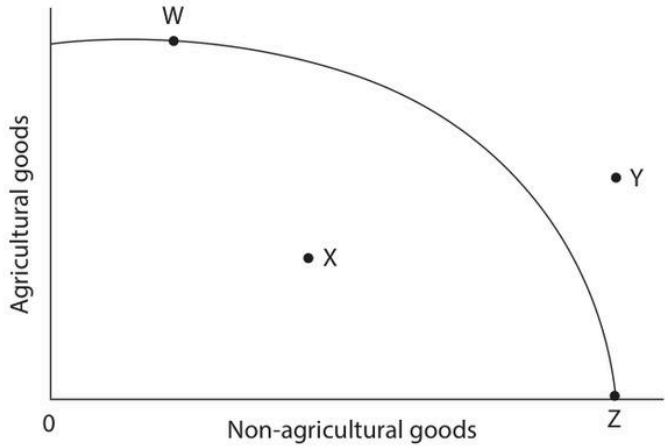

Figure 2

(a) Which **one** of the following points shows unemployed resources?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) A trade union is an organisation that aims to protect

(1)

- ☒ **A** consumer interests
- ☒ **B** the environment
- ☒ **C** employee rights
- ☒ **D** the government

(c) State **one** reason why firms stay small.

(1)

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11. Question 2 · part e · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part e only.

A firm increases supply by 2.7% following a price increase of 4.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(e) Define the term price-maker.

(1)

(f) Describe **one** reason why a computer can be a factor of production.

(2)

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11. Question 2 · part e · 1 mark · Working and answer

Working and answer

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12. Question 4 · part c · 12 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

4 A restaurant in Cyprus can seat 136 diners each evening. The demand for seats from diners over three evenings is shown in Figure 5.

Evening	Quantity of seats demanded
Thursday	98
Friday	114
Saturday	107

Figure 5

(a) Calculate the **excess supply** of seats if the quantity supplied during these three evenings totalled 408. You are advised to show your working.

(2)

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12. Question 4 · part c · 12 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

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Street lighting is provided by governments in many countries. It is provided to improve safety for pedestrians and increase visibility for motorists. It also provides a more inviting environment after dark.

(b) With reference to the data above and your knowledge of economics, analyse why the free rider problem means street lighting is provided by the government.

(6)

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12. Question 4 · part c · 12 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

The English city of Kingston upon Hull has an independent telecoms network known as Kingston Communications (KCOM). It is the only provider serving the city and its surrounding towns and villages. People living there do not have many broadband options. The network remained independent when most others joined together to become British Telecom (BT) and it has remained as a separate company to this day.

As well as broadband, KCOM also offers home phone and mobile deals which are available at a discounted price when purchased together. It will soon offer high-quality television packages. Its broadband is fast, with fibre optic packages which can reach impressive speeds of up to 250 Mb. However, these are not available everywhere in the region and KCOM's packages are more expensive than those in the rest of the country. This is especially true as they have low download limits.

(Source adapted from: https://www.broadbandchoices.co.uk/guides/broadband/hull-broadband)

(c) With reference to the data above and your knowledge of economics, evaluate whether a monopoly such as KCOM is always bad for the consumer.

(12)

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12. Question 4 · part c · 12 marks

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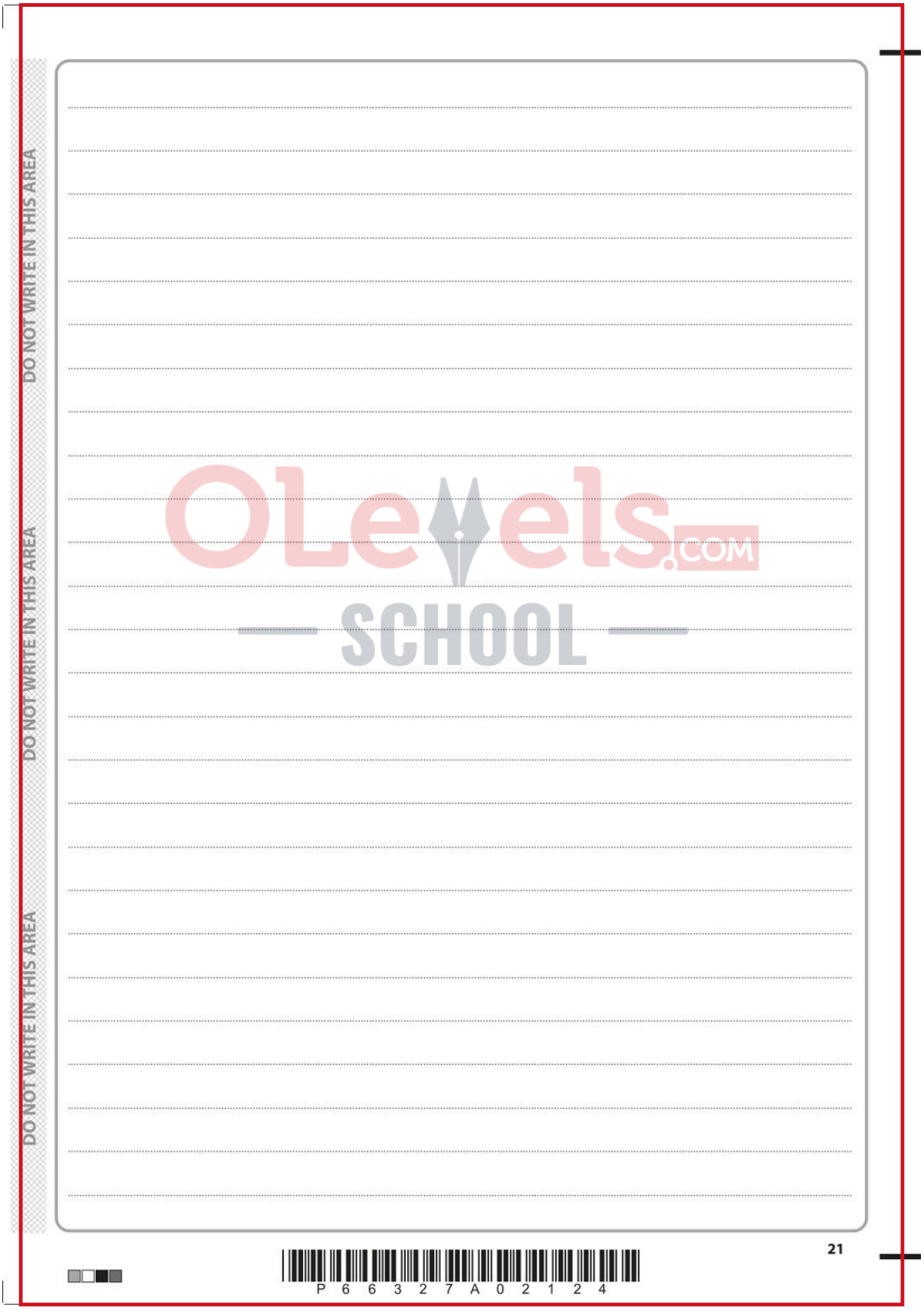
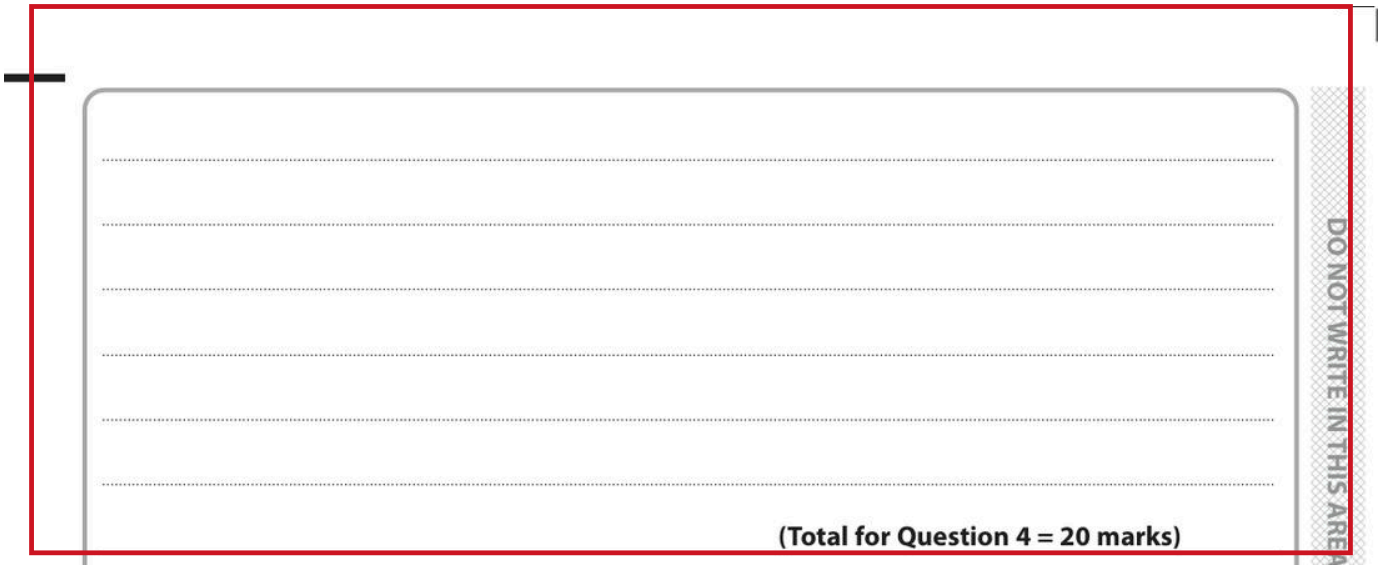
Further practice · Attempt part c only.



12. Question 4 · part c · 12 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.



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12. Question 4 · part c · 12 marks · Working and answer

Working and answer

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13. Question 1 · part e · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

1 (a) Water is an example of which factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Labour
- ☒ **C** Capital
- ☒ **D** Enterprise

(b) A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the **profit** for the firm?

(1)

- ☒ **A** $5300
- ☒ **B** $6000
- ☒ **C** $13700
- ☒ **D** $14000

(c) What is meant by the term supply?

(2)

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13. Question 1 · part e · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

(d) State **one** type of an external economy of scale.

(1)

(e) Define the term unique product.

(1)

Connor owns a hair salon. He increased prices by 2% and was willing to increase quantity supplied by 2.6%.

(f) Calculate the **price elasticity of supply (PES)** for Connor's hair salon. You are advised to show your working.

(2)

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13. Question 1 · part e · 1 mark · Working and answer

Working and answer

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14. Question 2 · part c · 2 marks

2023 JAN · Paper 01

Further practice · Attempt part c only.

2

Chart to show market share held by firms within a market

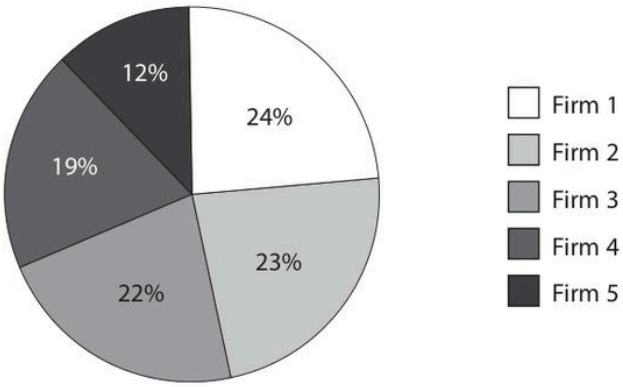

Figure 2

(a) Which **one** of the following options is the type of market shown in Figure 2?

(1)

- ☒ **A** Labour
- ☒ **B** Public
- ☒ **C** Monopoly
- ☒ **D** Oligopoly

(b) An increase in which **one** of the following is most likely to increase productivity?

(1)

- ☒ **A** Bureaucracy
- ☒ **B** Congestion
- ☒ **C** Irrigation
- ☒ **D** Regulation

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14. Question 2 · part c · 2 marks

2023 JAN · Paper 01

Further practice · Attempt part c only.

(c) What is meant by the term barriers to entry?

(2)

A firm has total fixed costs of $57 000 per month and variable costs of $750 per unit. It produces 1,820 units per month.

(d) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

(e) Describe **one** disadvantage for a government of using subsidies.

(2)

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14. Question 2 · part c · 2 marks · Working and answer

Working and answer

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15. Question 2 · part h · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part h only.

2 (a) Which **one** of the following would occur when there are unsold goods in a market?

(1)

- ☒ **A** Excess demand
- ☒ **B** Excess supply
- ☒ **C** Higher prices
- ☒ **D** Increased productivity

(b) Which **one** of the following statements is correct?

(1)

- ☒ **A** The supply curve is always vertical
- ☒ **B** Supply and price are not related
- ☒ **C** Quantity supplied will fall when price falls
- ☒ **D** An increase in price will shift the supply curve

(c) State the name for price elasticity of demand (PED) with a numerical value of –1.

(1)

A factory producing shoes calculated that quantity supplied decreased by 2.7% following a price decrease of 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working.

(2)

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15. Question 2 · part h · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part h only.

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(e) Define the term substitute.

(1)

(f) Describe **one** reason why a firm might stay small.

(2)

There are many market stalls selling food in Taba, Egypt. Some of these stalls have received positive reviews on social media about the quality of the food they sell.

(g) Explain **one** advantage of positive reviews for the owners of food stalls in Taba.

(3)

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15. Question 2 · part h · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part h only.

Rail travel in Poland is considered to be a monopoly. Polskie Koleje Państwowe (PKP) is the main firm that operates the trains and the rail network in Poland. Both passenger and freight trains run on PKP's network. It has over 18,510 km of track. Its main aims are to meet the transport needs of the state and the interests of its consumers.

(h) With reference to the data above and your knowledge of economics, assess whether a monopoly such as PKP is likely to benefit consumers.

(9)

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15. Question 2 · part h · 9 marks

2023 JUN · Paper 01

Further practice · Attempt part h only.

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(Total for Question 2 = 20 marks)

15. Question 2 · part h · 9 marks · Working and answer

Working and answer

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16. Question 2 · part e · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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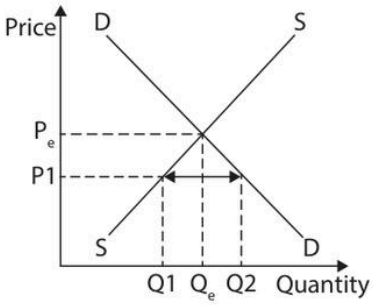
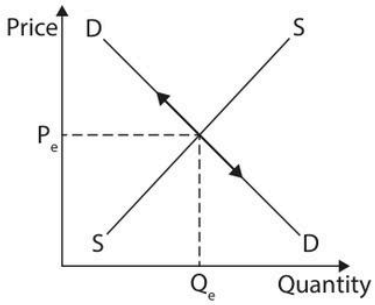
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

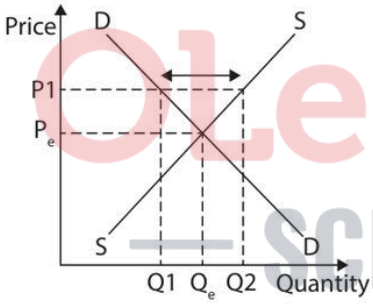
☒ **A**



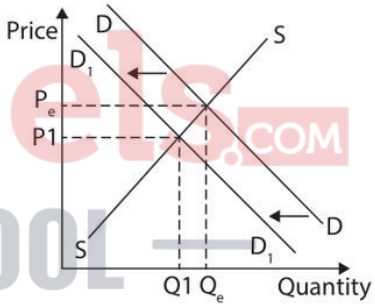
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of an oligopoly?

(1)

☒ **A** There is only one firm in the market

☒ **B** Firms always act independently

☒ **C** Different products are sold

☒ **D** No barriers to entry are present

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16. Question 2 · part e · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(c) Calculate the **percentage change in quantity supplied** for a product if the price elasticity of supply (PES) is 1.5 and the price increases by 12%. You are advised to show your working.

(2)

(d) What is meant by the term social costs?

(2)

(e) Describe **one** reason why innovation may be more likely to occur in a monopoly.

(2)

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P 7 2 9 6 8 R A 0 8 2 4

16. Question 2 · part e · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Sajad owns a shop selling smartphones in Karachi, Pakistan. The shop has been successful for several years and there is an opportunity for Sajad to open an additional shop on the other side of the city.

(f) Explain **one** reason why Sajad may decide to expand his business.

(3)

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16. Question 2 · part e · 2 marks · Working and answer

Working and answer

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17. Question 2 · part b · 1 mark

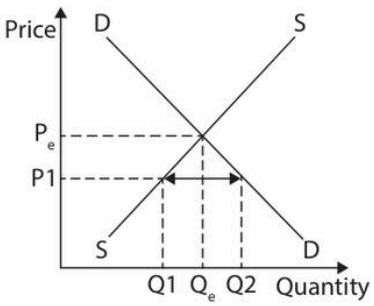
2024 JUN · Paper 01

Further practice · Attempt part b only.

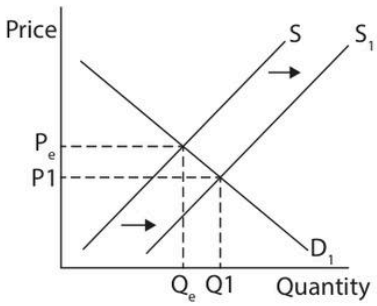
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

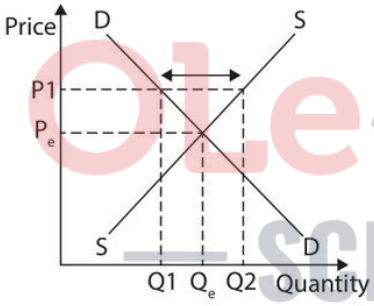
☒ **A**



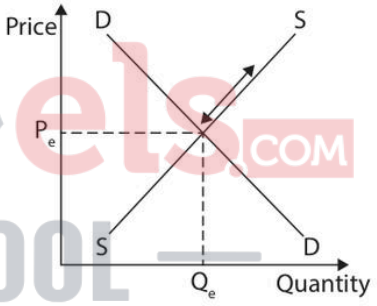
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of a monopoly?

(1)

☒ **A** Consumers have a choice of firms

☒ **B** There are many firms competing in the market

☒ **C** The firm is a price-maker

☒ **D** There are low barriers to entry

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17. Question 2 · part b · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part b only.

(c) Calculate the **percentage change in quantity demanded** for a product if the price elasticity of demand (PED) is –1.9 and the price falls by 10%. You are advised to show your working.

(2)

(d) What is meant by the term social benefits?

(2)

(e) Describe **one** feature of an oligopoly.

(2)

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17. Question 2 · part b · 1 mark · Working and answer

Working and answer

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18. Question 2 · part e · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

2

Market share by sales of firms in a market in Kuwait

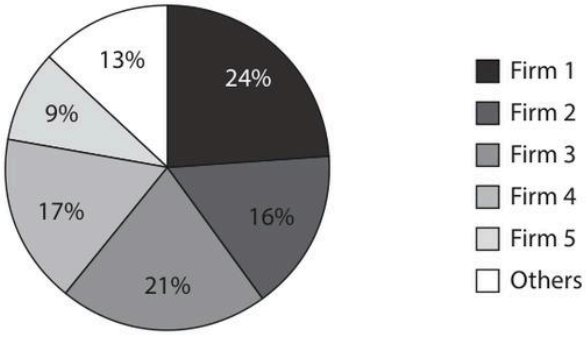

Figure 2

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 2?

(1)

- ☒ **A** Monopoly
- ☒ **B** Oligopoly
- ☒ **C** Public sector
- ☒ **D** Labour

(b) Which **one** of the following is a reason why consumers may not maximise their benefit?

(1)

- ☒ **A** Consumers may not accurately calculate benefits
- ☒ **B** Consumers may find it easy to give up habits
- ☒ **C** Consumers never copy the behaviour of others
- ☒ **D** Rational decisions are always made by consumers

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18. Question 2 · part e · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

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Figure 3 shows some of the production costs in the month of September for a firm manufacturing rugby souvenirs in France, in preparation for the 2025 Six Nations tournament.

Production costs	Euro (€)
Rent	7 000
Raw materials	3 000
Advertising	1 300
Labour (paid according to output)	18 000

Figure 3

(c) Calculate the **total variable costs** for the firm in the month of September. You are advised to show your working.

(2)

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(d) What is meant by the term total revenue?

(2)

18. Question 2 · part e · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part e only.

(e) Describe **one** feature of a monopoly.

(2)

In 2023, the Italian Government introduced legislation to increase the number of taxis available to the public.

(f) Explain **one** reason why the Italian Government may have introduced legislation that makes it easier for new taxi firms to enter the market.

(3)

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18. Question 2 · part e · 2 marks · Working and answer

Working and answer

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19. Question 1 · part e · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

1 (a) Which **one** of the following can represent a point on a production possibility curve (PPC)?

(1)

- ☒ **A** Where consumer goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Total revenue from production
- ☒ **D** Production which is obtainable

On one day a month, a firm charges each customer a price of $10 for providing one hour of gardening services. The cost to the firm for providing the service to each customer is $15.

(b) Which **one** of the following describes why the firm might do this?

(1)

- ☒ **A** Producers aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers sometimes copy others' behaviour

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(c) What is meant by the term economies of scale?

(2)

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19. Question 1 · part e · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(d) State **one** example of an item that can be classified as capital.

(1)

(e) Define the term price-maker.

(1)

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for a good if the price decreases by 4.7% and the quantity demanded increases by 1.8%.
You are advised to show your working.

(2)

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19. Question 1 · part e · 1 mark · Working and answer

Working and answer

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20. Question 2 · part d · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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2 (a) Which **one** of the following products has a price elastic demand?

(1)

		Product	Price elasticity of demand (PED)
☒	**A**	**W**	–1.5
☒	**B**	**X**	–1
☒	**C**	**Y**	–0.5
☒	**D**	**Z**	0

(b) Which **one** of the following is the formula for calculating average cost?

(1)

☒ **A** Total cost ÷ quantity produced

☒ **B** Total fixed cost ÷ quantity produced

☒ **C** Total variable cost ÷ quantity produced

☒ **D** Total revenue ÷ quantity produced

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20. Question 2 · part d · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

Figure 3 shows selected financial data of a firm producing calculators.

	$ per calculator
Selling price	$12.50
Raw materials	$3.25
Labour	$4.58

Figure 3

(c) Calculate the **profit or loss** for the firm for each calculator. You are advised to show your working.

(2)

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(d) What is meant by the term patent?

(2)

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20. Question 2 · part d · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

(e) Describe **one** advantage to a firm of being privatised.

(2)

Many cities in the US have increased the number of traffic-light cameras in order to catch motorists if they drive through a red (stop) light.

(f) Explain **one** reason why the US Government may use fines to reduce the negative externalities caused by motorists who drive through a red traffic light.

(3)

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P 7 2 1 3 3 A 0 9 2 4

20. Question 2 · part d · 2 marks · Working and answer

Working and answer

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Practice workbook · Oligopoly: features, collusion and effects

A few large firms dominating; differentiated products, barriers to entry, interdependence, price and non-price competition; collusion and cartels; effects on consumers and firms.

17 question parts: 1 worked-example retry and 16 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-15

1. Question 4 · part b · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part b only.

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4 Figure 4 shows profit for a firm between 2021 and 2023.

Year	Profit ($)
2021	211 600
2022	213 700
2023	214 100

Figure 4

(a) Calculate, to two decimal places, the **percentage change in profit** for the firm between 2021 and 2023. You are advised to show your working.

(2)

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1. Question 4 · part b · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part b only.

The market for petrol in Uganda has five main companies, each with a distinctive logo and colours representing its brand. These companies benefit considerably from barriers to entry, due to very high set-up costs.

Each company offers something different to stand out from its competitors. Vivo Energy offers excellent customer service. Total Energies aims to improve its impact on the environment. Nile Energy has a reputation for modern facilities. Hass Petroleum uses a loyalty card to retain customers and Stabex International focuses on having motivated employees.

(b) With reference to the data above and your knowledge of economics, analyse why the market for petrol in Uganda could be described as an oligopoly.

(6)

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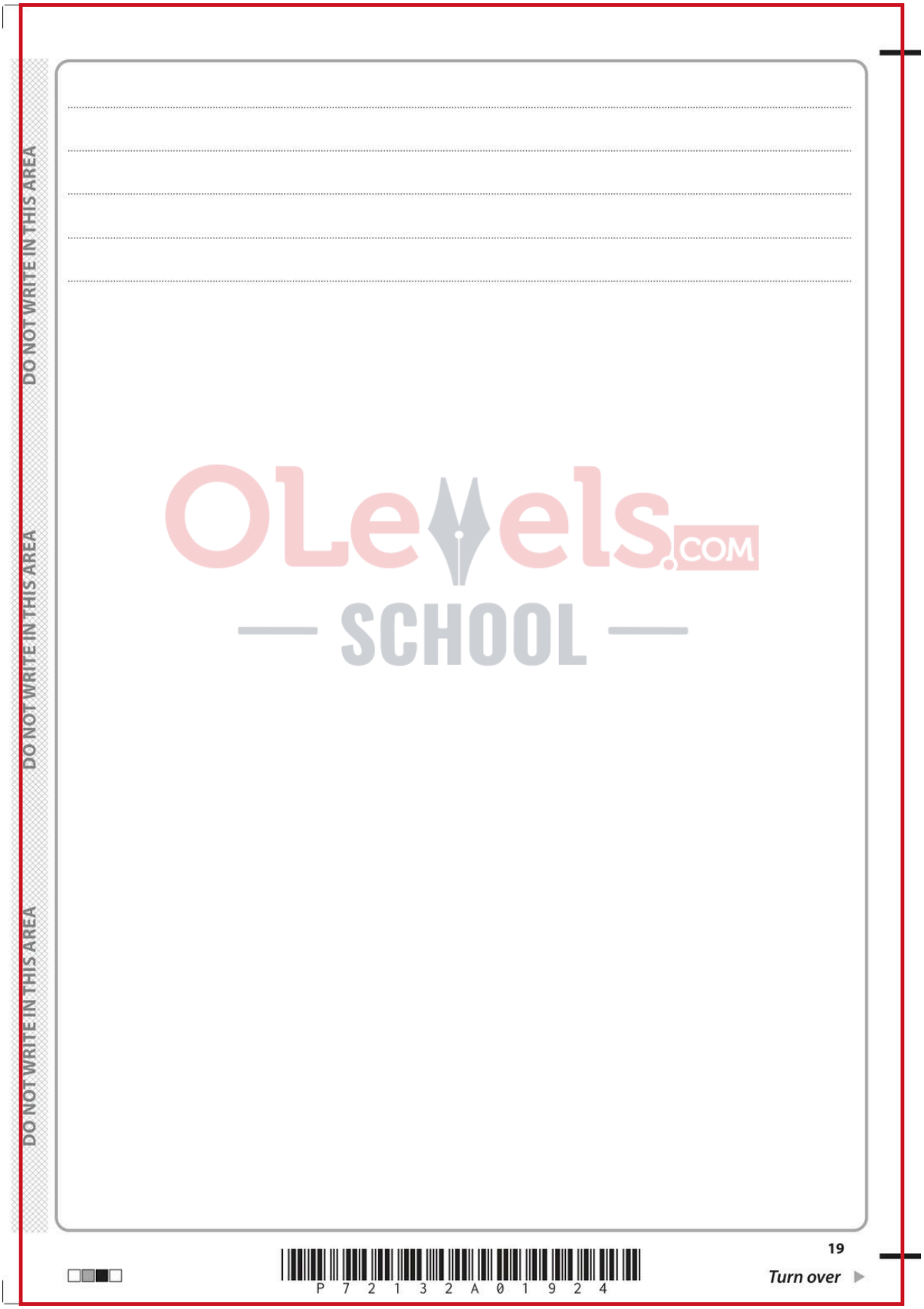
1. Question 4 · part b · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part b only.



1. Question 4 · part b · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part b only.

Řešení has been a successful accountancy firm in Brno, Czechia, since it began in 2007. The firm employs a small team of highly qualified accountants. They manage the financial needs of its customers, which are both established and new businesses. The accountants are usually very busy due to the excellent reputation the firm has achieved.

The Managing Director, Daniella, is considering expanding the firm. She would like to open another office in Prague, the capital of Czechia. Approximately 12% of Czechia's businesses are located in Prague compared to only 3.5% in Brno, which is over 200 km away.

Even though there would be more competition from other accountancy firms in Prague, the average price of goods and services in the capital is more expensive, enabling Řešení to charge a higher price for its services.

(c) With reference to the data above and your knowledge of economics, evaluate the likely benefits to Řešení of expanding the firm to Prague.

(12)

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20

P 7 2 1 3 2 A 0 2 0 2 4

1. Question 4 · part b · 6 marks · Working and answer

Working and answer

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2. Question 1 · part a · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

1 (a) Which **one** of the following is a feature of an oligopoly?

(1)

- ☒ **A** Large firms dominate
- ☒ **B** Unique product
- ☒ **C** One firm dominates
- ☒ **D** No barriers to entry

(b) A firm has monthly total costs of $150 000 and monthly fixed costs of $90 000. If it produces 1,000 units, what are the monthly total variable costs for the firm?

(1)

- ☒ **A** $60
- ☒ **B** $90
- ☒ **C** $60 000
- ☒ **D** $240 000

(c) What is meant by the term luxury good?

(2)

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2. Question 1 · part a · 1 mark · Working and answer

Working and answer

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3. Question 4 · part b · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part b only.

4 Figure 6 shows the quantity of a good supplied and demanded at different price levels.

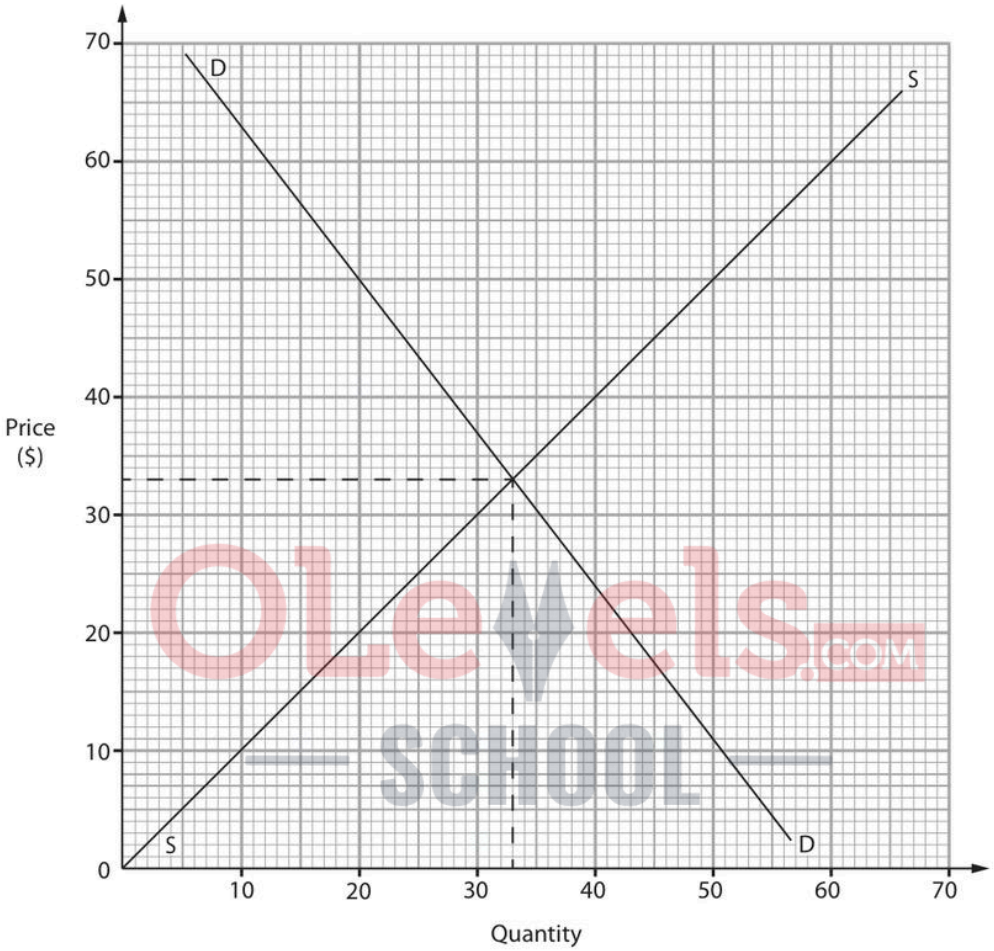

Figure 6

(a) Using the information in Figure 6, calculate the excess supply of goods in the market at a price of $50. You are advised to show your working.

(2)

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3. Question 4 · part b · 6 marks

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Further practice · Attempt part b only.

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Competition and Markets Authority warns online sellers about collusion

The Competition and Markets Authority (CMA) is a UK government department that aims to increase competition. It has reminded online sellers of electrical equipment that collusion is illegal and can result in serious penalties. The CMA stated that buying electrical equipment online, such as laptops and games consoles, means consumers can search a wide range of deals from many different sellers. However, it also stated that collusion is a threat.

(Source: adapted from © Crown Copyright)

(b) With reference to the data above and your knowledge of economics, analyse why collusion may be a disadvantage for online consumers buying electrical equipment.

(6)

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3. Question 4 · part b · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part b only.

Figure 7 shows the market share of supermarkets in the Netherlands in 2017.

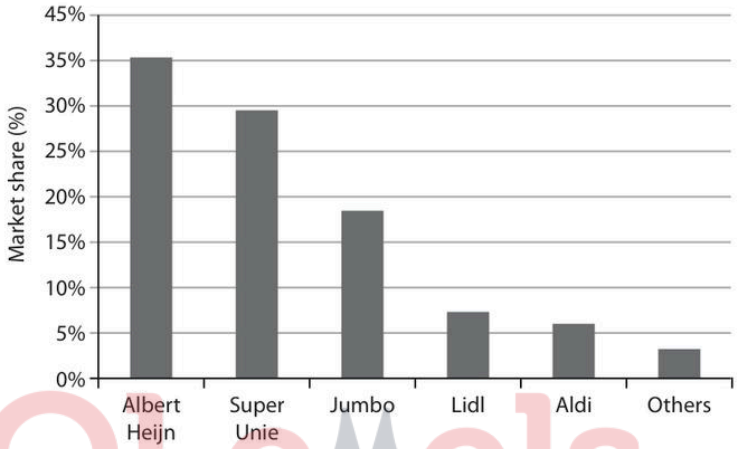

Figure 7

(c) With reference to the data above and your knowledge of economics, evaluate how firms might be influenced by competing in an oligopoly, such as supermarkets in the Netherlands.

(12)

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3. Question 4 · part b · 6 marks · Working and answer

Working and answer

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4. Question 4 · part c · 12 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

4 Figure 6 shows the quantity of a good supplied and demanded at different price levels.

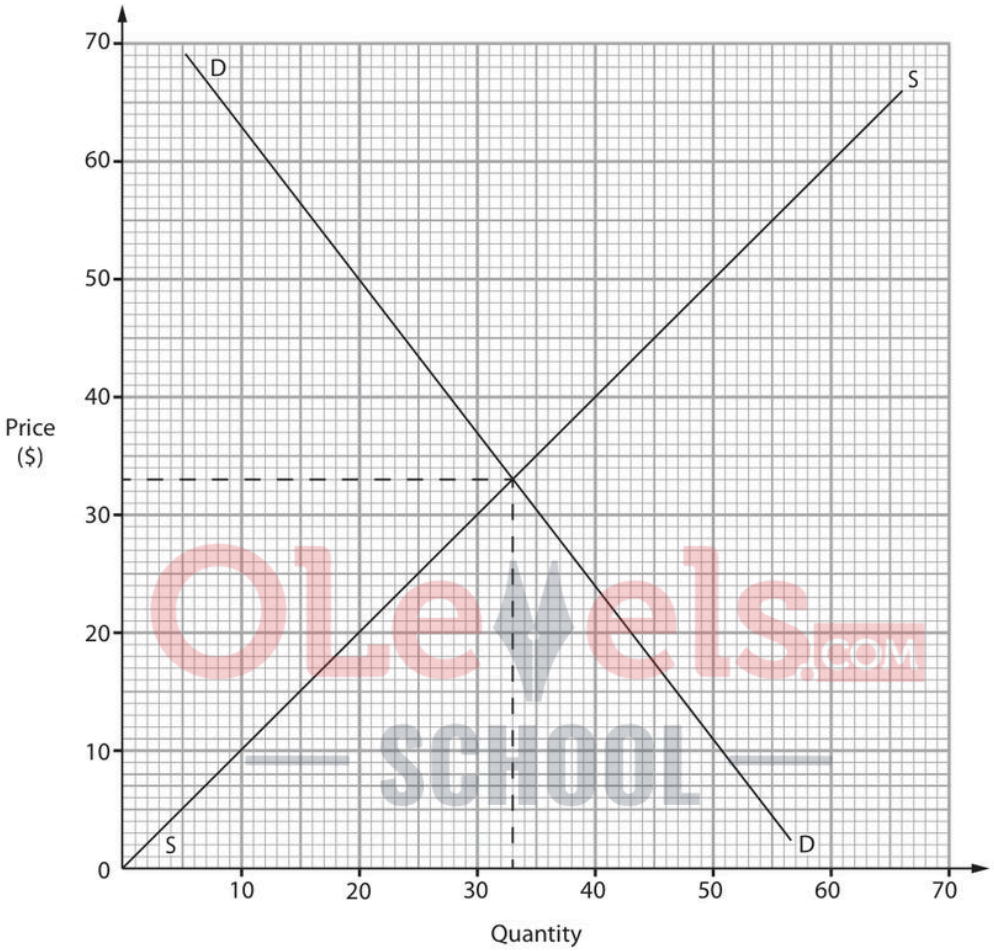

Figure 6

(a) Using the information in Figure 6, calculate the excess supply of goods in the market at a price of $50. You are advised to show your working.

(2)

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4. Question 4 · part c · 12 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

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(Source: adapted from © Crown Copyright)

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(6)

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4. Question 4 · part c · 12 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

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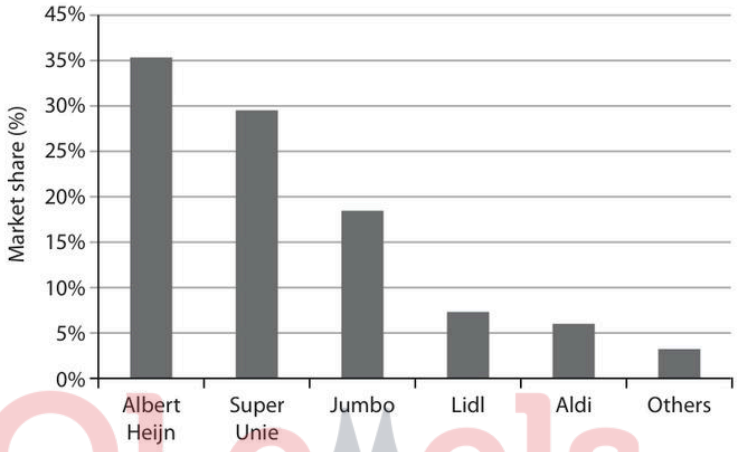

Figure 7

(c) With reference to the data above and your knowledge of economics, evaluate how firms might be influenced by competing in an oligopoly, such as supermarkets in the Netherlands.

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4. Question 4 · part c · 12 marks

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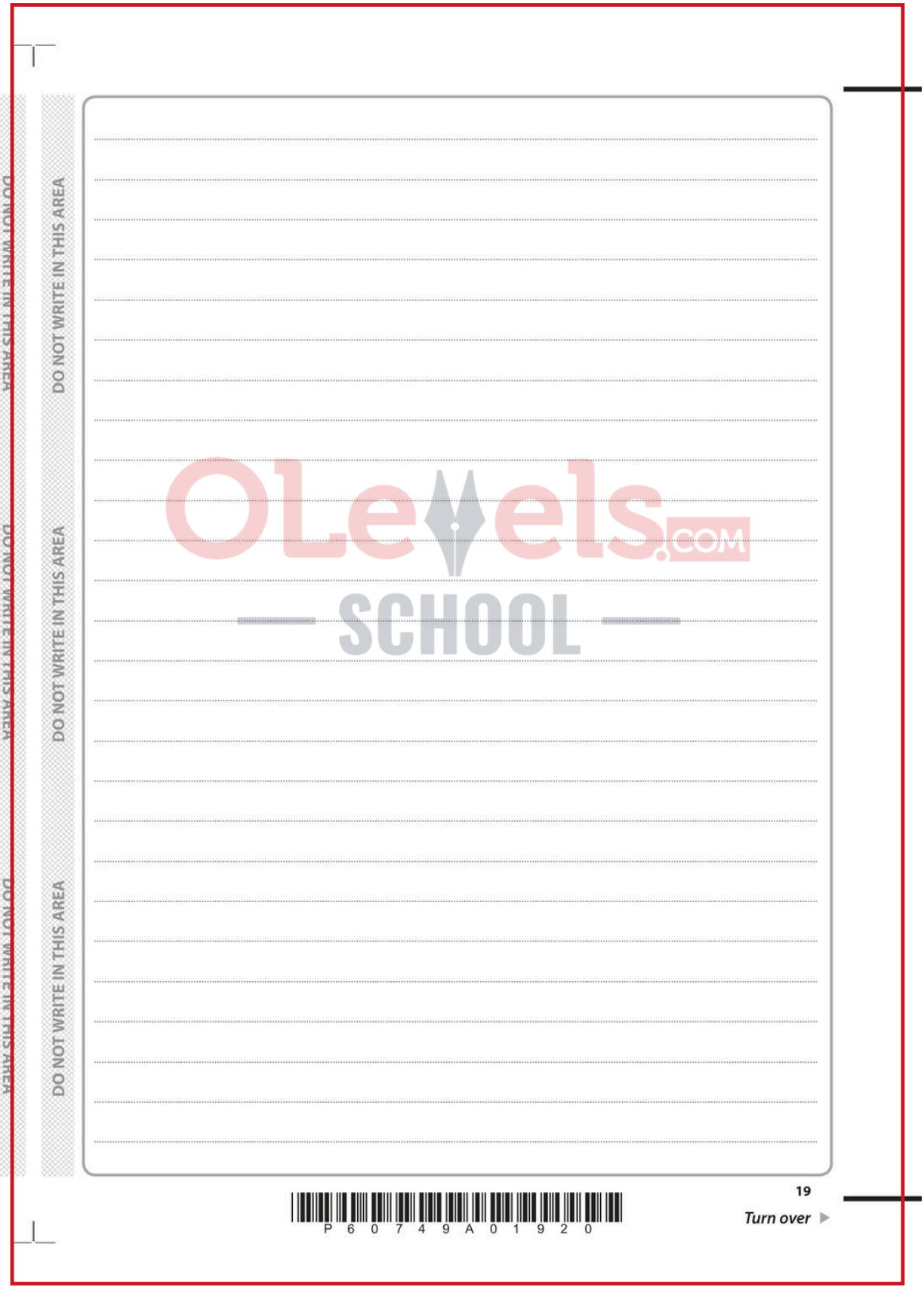
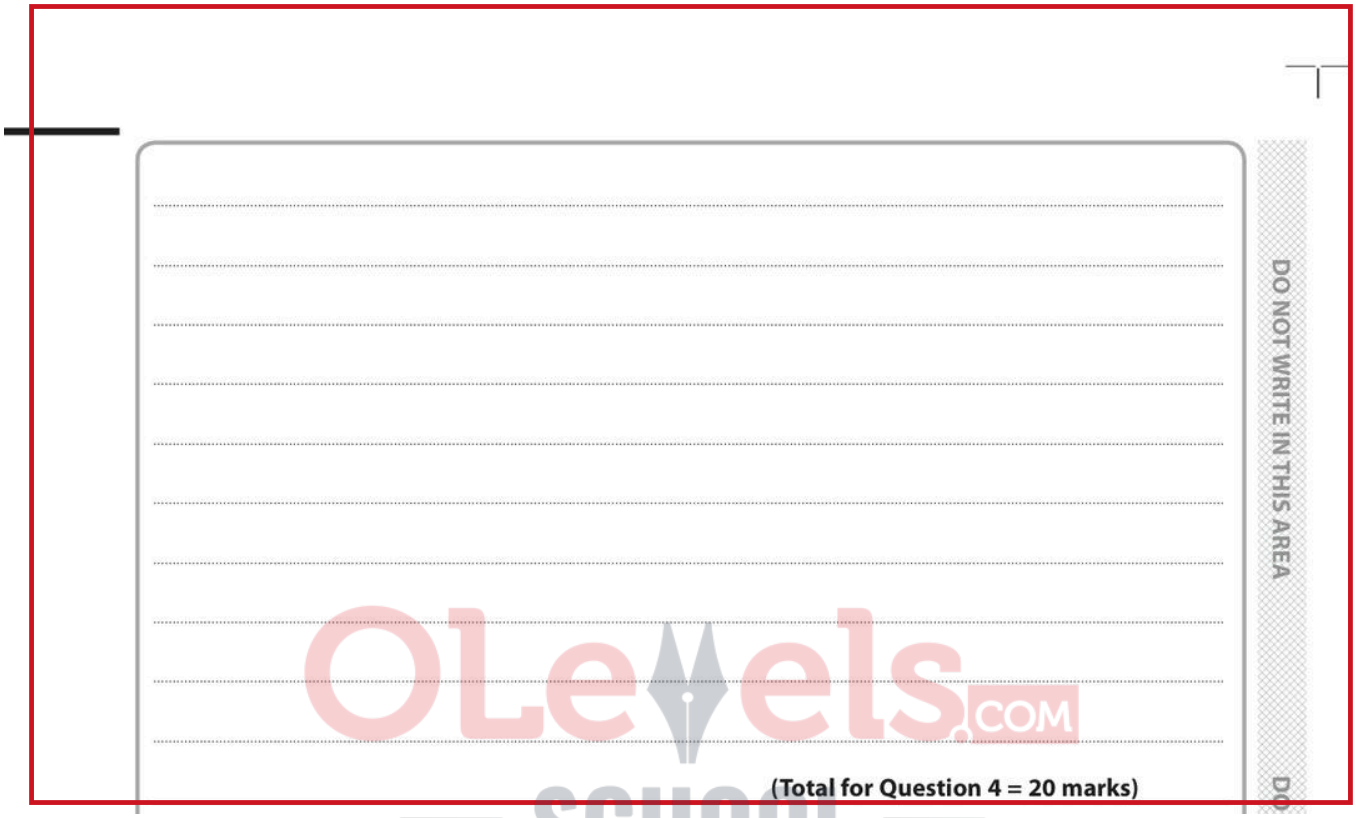
Further practice · Attempt part c only.



4. Question 4 · part c · 12 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.



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4. Question 4 · part c · 12 marks · Working and answer

Working and answer

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5. Question 1 · part i · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part i only.

1 (a) Which **one** of the following values shows perfect price inelasticity of demand?

(1)

- ☒ **A** –1.5
- ☒ **B** –1
- ☒ **C** 0
- ☒ **D** 0.5

(b) A firm has total costs of $500 and sells each item at a price of $50. It sells 100 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $45 000 profit
- ☒ **B** $4 500 profit
- ☒ **C** $20 000 loss
- ☒ **D** $450 loss

(c) What is meant by the term mixed economy?

(2)

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5. Question 1 · part i · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part i only.

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(d) State **one** example of an occupation in the tertiary sector of the economy.

(1)

(e) Define the term government.

(1)

(f) Calculate the income **elasticity of demand (YED)** for a good if income increases by 5% and quantity demanded increases by 12%. You are advised to show your working.

(2)

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5. Question 1 · part i · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part i only.

(g) Using the diagram below, draw the effects on the equilibrium price and quantity after the government removes an indirect tax on sustainable fuel. Label the new curve, the new equilibrium price and quantity.

(3)

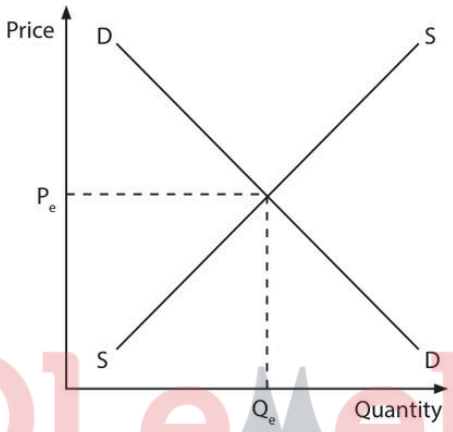

Figure 1

A firm has decided to purchase a new computer system.

(h) Explain **one** possible opportunity cost for the firm of this decision.

(3)

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5. Question 1 · part i · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part i only.

In the UAE, 87% of Dubai's shopping malls are owned by just five firms. The retail sector is predicted to reach $71bn in sales by 2021 and employ 25% of Dubai's workforce. Each shopping mall offers something different to customers, for example an indoor ski slope or an indoor aquarium. Dubai's retailers benefit from its tourism sector, as the city ranks as one of the busiest shopping destinations in the world.

(Source adapted from: https://wwd.com/business-news/technology/savant-data-systems-dubai-retail-report-10956883/)

(i) With reference to the data above and your knowledge of economics, analyse why the shopping malls in Dubai are considered to be an oligopoly.

(6)

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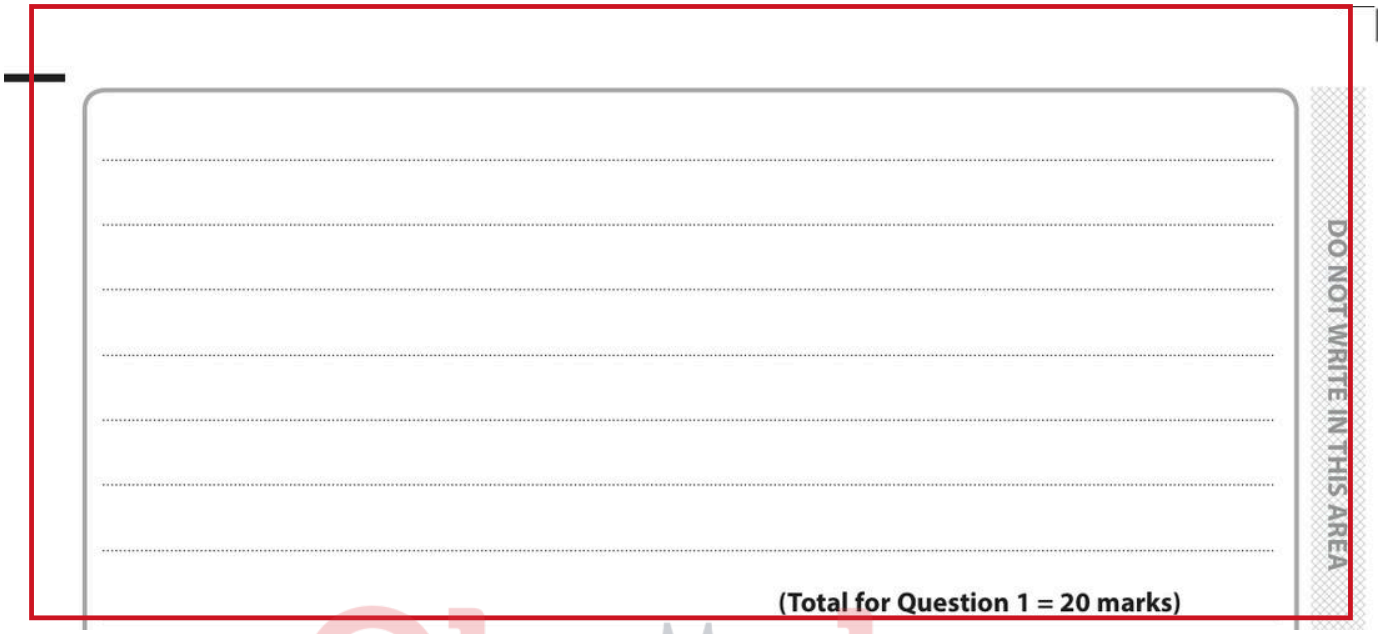
5. Question 1 · part i · 6 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part i only.



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5. Question 1 · part i · 6 marks · Working and answer

Working and answer

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6. Question 3 · part b · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part b only.

3 (a) Which **one** of the following is an example of an external economy of scale?

(1)

- ☒ **A** Bulk buying
- ☒ **B** Skilled labour
- ☒ **C** Bureaucracy
- ☒ **D** Managerial

(b) Which **one** of the following is a main feature of an oligopoly?

(1)

- ☒ **A** Rising fixed costs
- ☒ **B** No barriers to entry
- ☒ **C** Large firms dominate the market
- ☒ **D** Specialises in the public sector

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6. Question 3 · part b · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part b only.

An economy can produce consumer and capital goods. This economy originally produced at PPC1 with all resources fully employed but due to positive economic growth, it can now produce at PPC2 with all resources fully employed.

(c) Using the axes below, draw two production possibility curves (PPC) to show an economy moving from PPC1 to PPC2. Label both production possibility curves and the axes.

(3)

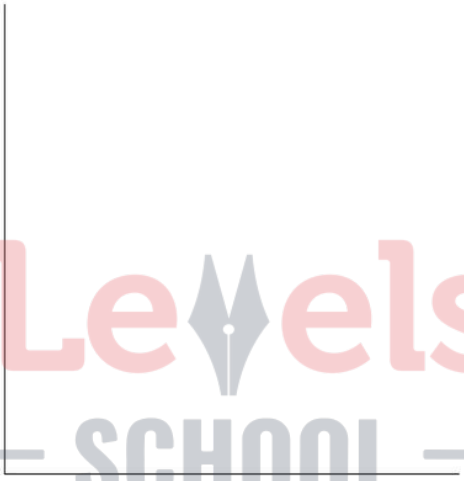

Figure 2

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6. Question 3 · part b · 1 mark · Working and answer

Working and answer

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7. Question 3 · part d · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

3 (a) Which **one** of the following can be described as an advantage to a small firm?

(1)

- ☒ **A** Access to many sources of finance
- ☒ **B** Flexibility
- ☒ **C** Market domination
- ☒ **D** Risk spreading

(b) Which **one** of the following options describes a price elasticity of supply (PES) of 0.7?

(1)

- ☒ **A** Perfectly price elastic
- ☒ **B** Perfectly price inelastic
- ☒ **C** Price elastic
- ☒ **D** Price inelastic

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7. Question 3 · part d · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

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(c) Using the diagram below, draw the effects of an increase in the retirement age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

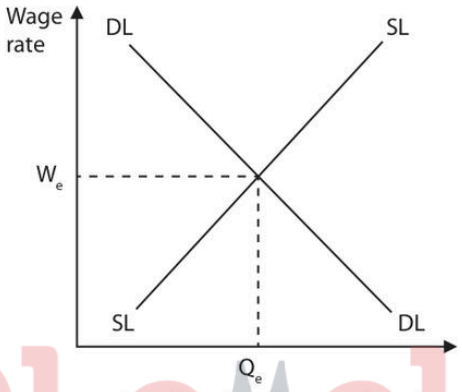

Figure 5

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7. Question 3 · part d · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

An investigation has taken place in the US to determine whether a number of pharmaceutical firms used collusion to divide sales between themselves so each firm received higher profits. One example of the price fixing meant a tablet sold for $4.70 when the price should have been $0.13. The firms have rejected the accusations, saying there is a lack of evidence to prove anti-competitive behaviour.

(Source adapted from: https://www.washingtonpost.com/business/economy/investigation-of-generic-cartel-expands-to-300-drugs/2018/12/09/fb900e80-f708-11e8-863c-9e2f864d47e7_story.html?noredirect=on&utm_term=.3c2a12983985)

(d) With reference to the data above and your knowledge of economics, analyse the possible disadvantages faced by consumers from collusion between firms.

(6)

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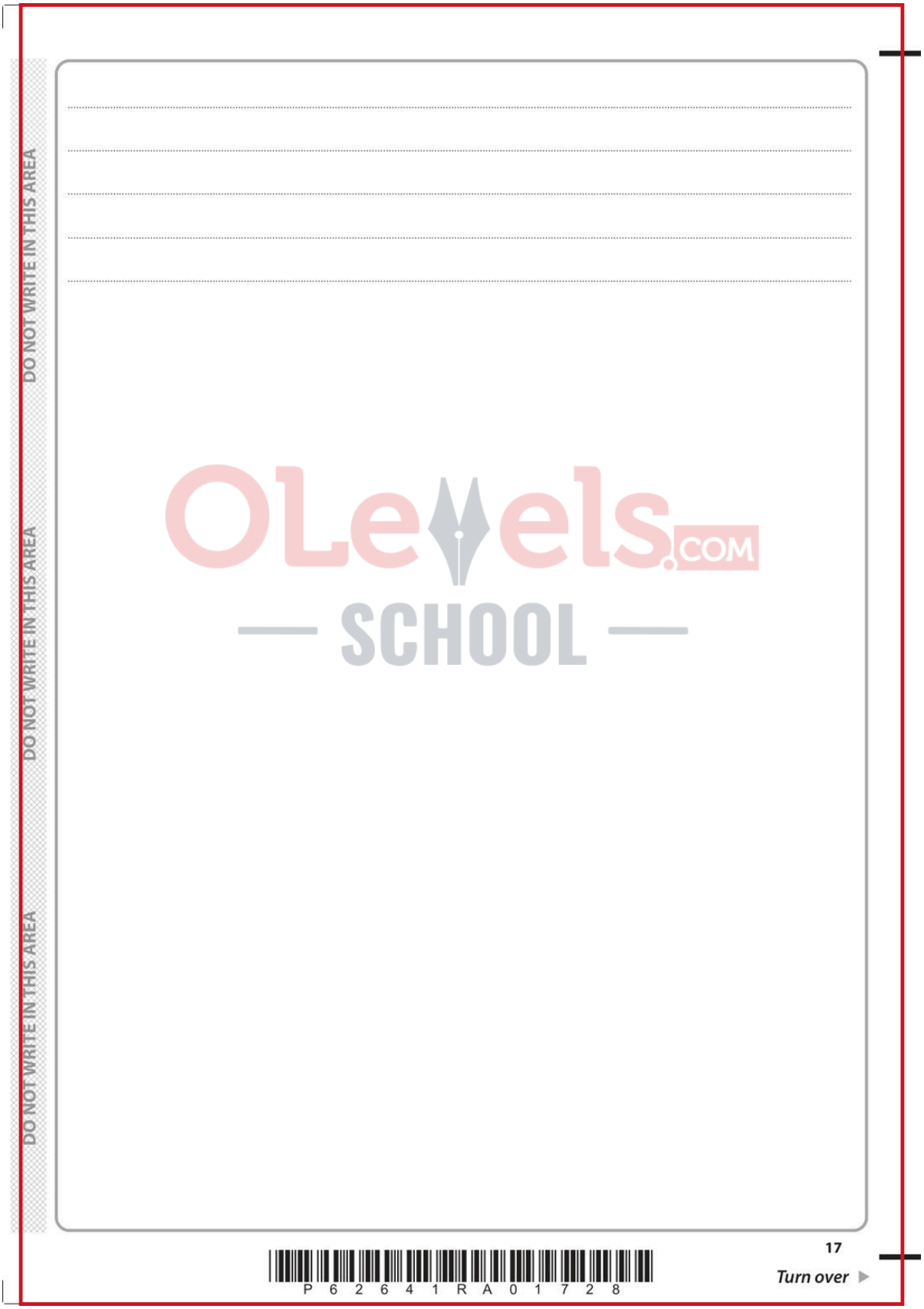
7. Question 3 · part d · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.



7. Question 3 · part d · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

More than half of Cambodia's 6,000 km of roads have been classified as 'of poor quality' by the Ministry of Public Works and Transport. As business grows in the country, drivers overload their trucks, which leads to safety issues and greater damage to the roads. A higher level of investment is needed from the government to repair damage and to build new roads which would need less maintenance.

(Source adapted from: http://www.phnompenhpost.com/business/cambodia-facing-dilemma-plan-give-roads-facelift)

(e) With reference to the data above and your knowledge of economics, assess the extent to which high levels of public sector investment to improve the roads may benefit the Cambodian economy.

(9)

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7. Question 3 · part d · 6 marks · Working and answer

Working and answer

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8. Question 4 · part b · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part b only.

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4 Figure 4 shows profit for a firm between 2017 and 2019.

Year	Profit ($)
2017	80 750
2018	83 550
2019	87 100

Figure 4

(a) Calculate, to two decimal places, the **percentage change in profit** between 2017 and 2019, for the firm. You are advised to show your working.

(2)

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8. Question 4 · part b · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part b only.

Trekking is a very popular activity for tourists in Nepal. In the main tourist town of Pokhara, there are a few large firms that offer guides, porters and resources. Some smaller firms specialise in taking customers on less popular routes, whereas others offer guides who speak different languages. It is difficult for new competitors to set up in Pokhara, as expensive permits are required.

(b) With reference to the data above and your knowledge of economics, analyse why the market for trekking in Pokhara could be described as an oligopoly.

(6)

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P 6 5 8 9 7 R A 0 1 6 2 0

8. Question 4 · part b · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part b only.

State-owned airline, Air India, currently offers a high number of domestic flights from both Mumbai and New Delhi. It also flies to destinations worldwide, including the US and Europe. However, it has reduced the number of countries it flies to, especially in other parts of Asia and Africa.

The Indian Government has announced plans to sell all its shares in the airline. Air India had been making a loss and struggling to pay oil companies for its fuel. However, the government reduced almost half of this debt before making the announcement to sell the airline.

(c) With reference to the data above and your knowledge of economics, evaluate whether Air India is likely to benefit from privatisation.

(12)

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8. Question 4 · part b · 6 marks · Working and answer

Working and answer

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9. Question 2 · part h · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

2 (a) Which **one** of the following would lead to an increase in the supply of labour?

(1)

- ☒ **A** Decrease in the retirement age
- ☒ **B** Increase in the school-leaving age
- ☒ **C** Increase in female participation
- ☒ **D** Decrease in population

A small firm manufactures jewellery to the exact requirements of its customers.

(b) This is an example of which **one** of the following markets?

(1)

- ☒ **A** Monopoly
- ☒ **B** Labour
- ☒ **C** Niche
- ☒ **D** Financial

(c) State the formula for price elasticity of supply (PES).

(1)

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9. Question 2 · part h · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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Figure 2 shows some of the monthly production costs for a firm which manufactures clothing.

Production costs	US$
Rent	25 000
Raw materials	12 000
Insurance	5 500
Labour (payment depends on output)	115 000

Figure 2

(d) Calculate the **total variable costs** for the firm each month. You are advised to show your working.

(2)

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(e) Define the term minimum wage.

(1)

9. Question 2 · part h · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

(f) Describe **one** reason why infinite wants lead to scarcity.

(2)

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9. Question 2 · part h · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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Figure 3 shows the demand for cocoa beans during 2019.

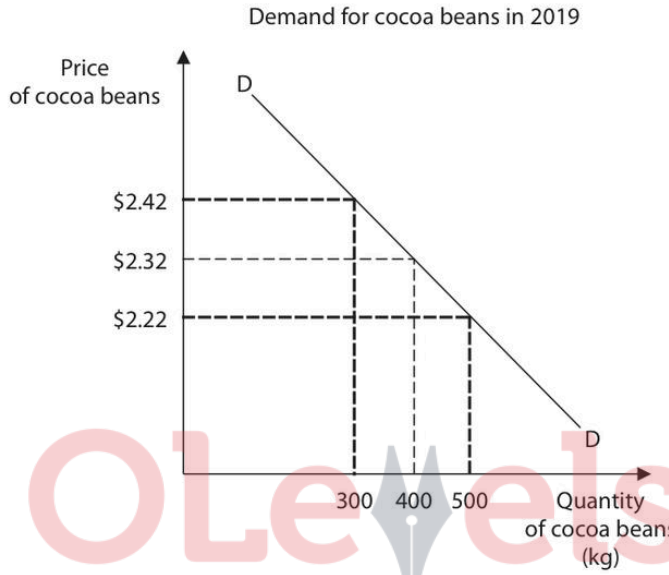


Figure 3

(g) Explain **one** effect on the demand curve for cocoa beans following a change in the price.

(3)

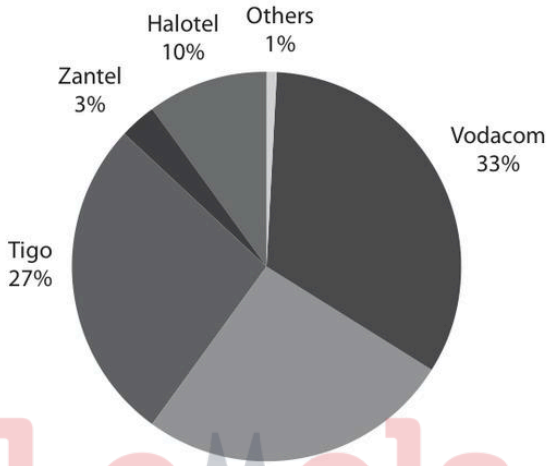
P 6 6 3 2 8 A 0 9 2 4

9. Question 2 · part h · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

Market share of telecom subscriptions in Tanzania (June 2019)



(Source adapted from: https://www.tanzaniainvest.com/telecoms/tanzania-add-50000-mobile-subcriptions-in-6-months)

Figure 4

In November 2019, two Tanzanian telecoms firms, Zantel and Tigo, merged. Smart Telecoms, a small firm with a declining market share, stopped trading. A spokesperson said that Smart Telecoms could no longer compete with the increasing dominance of larger firms in the market.

(h) With reference to the data above and your knowledge of economics, assess whether the oligopoly in the Tanzanian telecoms market is likely to benefit consumers.

(9)

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9. Question 2 · part h · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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P 6 6 3 2 8 A 0 1 1 2 4

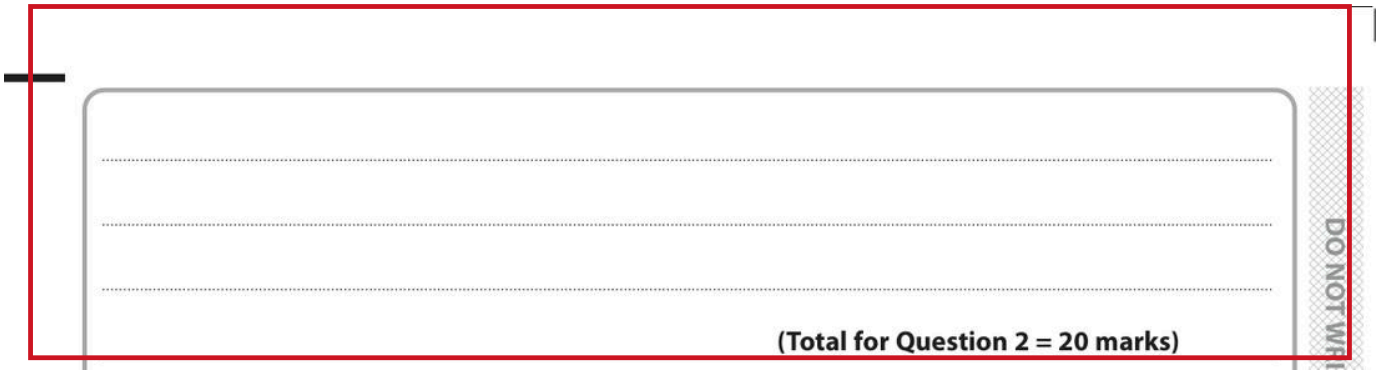
11

Turn over

9. Question 2 · part h · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.



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9. Question 2 · part h · 9 marks · Working and answer

Working and answer

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10. Question 2 · part f · 3 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

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2 The income elasticity of demand (YED) for a product can be calculated by using the information in Figure 3.

Change in quantity demanded	4.6%
Change in income	2%

Figure 3

(a) Which **one** of the following options best describes the demand for the product?

(1)

- ☒ **A** Unitary
- ☒ **B** Luxury
- ☒ **C** Inferior
- ☒ **D** Inelastic

(b) Which **one** of the following is the formula for social benefits?

(1)

- ☒ **A** Private costs + private benefits
- ☒ **B** Private benefits – private costs
- ☒ **C** Private benefits + external benefits
- ☒ **D** Private costs – external costs

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10. Question 2 · part f · 3 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

(c) What is meant by the term trade union?

(2)

Figure 4 shows the monthly costs per unit when a firm makes 3,000 units.

Quantity	Total fixed costs	Total variable costs
3,000	$6 200	$3 550

Figure 4

(d) Calculate the **average cost per unit (AC)** for the firm when it makes 3,000 units.
You are advised to show your working.

(2)

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P 7 1 5 5 6 A 0 8 2 4

10. Question 2 · part f · 3 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

(e) Describe **one** way that high start-up costs can be a barrier to entry.

(2)

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UK supermarkets operate in an oligopoly where the market is dominated by several large firms.

(f) Explain **one** disadvantage of this type of market structure for UK consumers.

(3)

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10. Question 2 · part f · 3 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part f only.

Foxconn Technology produces the new Apple iPhone at its factory in Shenzhen, China. It employs 270,000 workers in its factory. Each worker carries out a specific task which ranges from handling the phone screen, assembling components, checking the phone works, to packaging the phone ready to ship to the customer.

(Source adapted from: https://www.patentlyapple.com/2021/10/foxconns-shenzhen-factory-to-hire-an-additional-100000-plant-workers-to-keep-iphone-13-production-on.html)

(g) With reference to the data above and your knowledge of economics, assess the benefits for Foxconn Technology of using division of labour.

(9)

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P 7 1 5 5 6 A 0 1 0 2 4

10. Question 2 · part f · 3 marks · Working and answer

Working and answer

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11. Question 2 · part a · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part a only.

2

Chart to show market share held by firms within a market

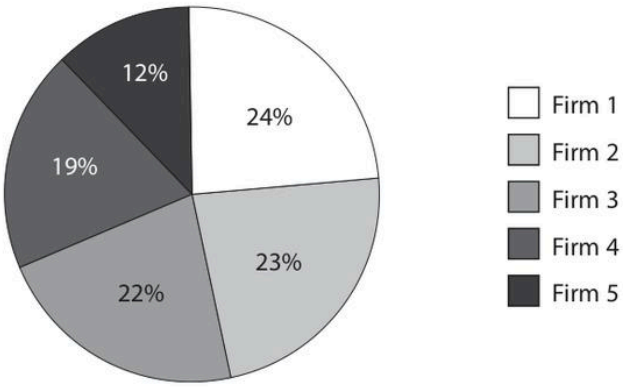

Figure 2

(a) Which **one** of the following options is the type of market shown in Figure 2?

(1)

- ☒ **A** Labour
- ☒ **B** Public
- ☒ **C** Monopoly
- ☒ **D** Oligopoly

(b) An increase in which **one** of the following is most likely to increase productivity?

(1)

- ☒ **A** Bureaucracy
- ☒ **B** Congestion
- ☒ **C** Irrigation
- ☒ **D** Regulation

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11. Question 2 · part a · 1 mark · Working and answer

Working and answer

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12. Question 4 · part b · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

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4 The demand for meals over three lunchtimes at a café in Austria is shown below.

Day	Quantity of meals demanded
Thursday	58
Friday	64
Saturday	79

Figure 5

(a) Calculate the **excess supply** of meals if the quantity supplied during these three days totalled 261. You are advised to show your working.

(2)

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12. Question 4 · part b · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

The market structure of the airline industry is an oligopoly. Major airlines, such as Emirates, Lufthansa, Qantas and Delta Airlines compete with one another over the routes they offer. Passengers are able to travel to countries worldwide for work, leisure and to visit family and friends.

(b) With reference to the data above and your knowledge of economics, analyse the benefits of this type of market structure for airline passengers.

(6)

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P 7 4 0 5 7 A 0 1 8 2 4

12. Question 4 · part b · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

12. Question 4 · part b · 6 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

During music festivals and sporting events, such as football matches, higher numbers of security staff are employed at stadiums than at other times. At supermarkets, more employees are needed to sell an increased amount of groceries ahead of special holidays and national celebrations.

Technological advances mean that machines are increasingly used in many industries, especially where it leads to greater productivity. These can range from waiters being replaced by robots in restaurants, to automated services dealing with online customer issues, to the more traditional machinery used in manufacturing.

(c) With reference to the data above and your knowledge of economics, evaluate the extent to which derived demand affects the demand for labour.

(12)

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P 7 4 0 5 7 A 0 2 0 2 4

12. Question 4 · part b · 6 marks · Working and answer

Working and answer

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13. Question 1 · part d · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part d only.

1 (a) A trade union is an organisation that aims to improve

(1)

- ☒ **A** profit margins
- ☒ **B** tax revenue
- ☒ **C** the environment
- ☒ **D** working conditions

(b) Figure 1 below shows a change in demand for tickets to a sporting event.

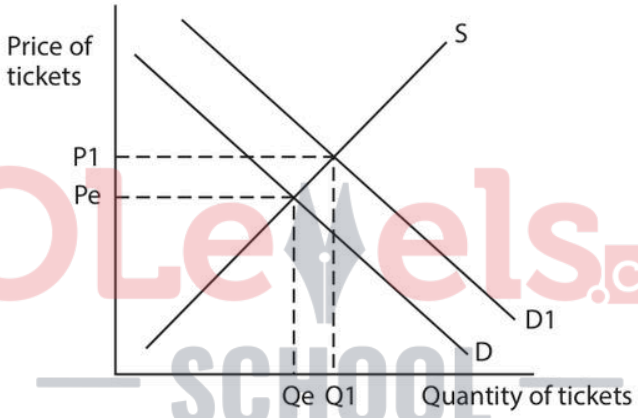

Figure 1

Which **one** of the following statements is true?

(1)

- ☒ **A** When the price falls, the quantity demanded falls
- ☒ **B** The demand curve slopes upwards from left to right
- ☒ **C** An increase in demand is shown by a shift to the right
- ☒ **D** A decrease in demand is shown by a shift to the right

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13. Question 1 · part d · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part d only.

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(c) What is meant by the term economies of scale?

(2)

(d) State **one** main feature of an oligopoly.

(1)

(e) Define the term excess supply.

(1)

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13. Question 1 · part d · 1 mark · Working and answer

Working and answer

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14. Question 2 · part b · 1 mark

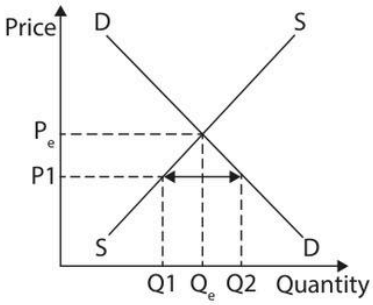
2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

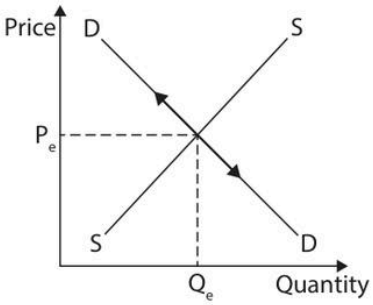
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

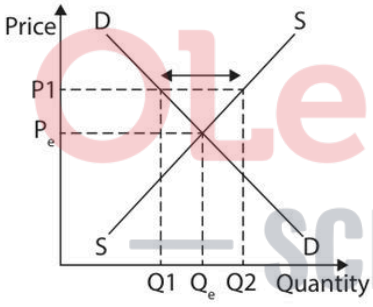
☒ **A**



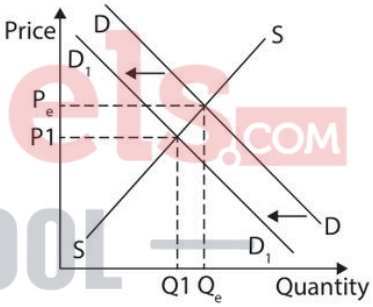
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of an oligopoly?

(1)

☒ **A** There is only one firm in the market

☒ **B** Firms always act independently

☒ **C** Different products are sold

☒ **D** No barriers to entry are present

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P 7 2 9 6 8 R A 0 7 2 4

7

Turn over ▶

14. Question 2 · part b · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

(c) Calculate the **percentage change in quantity supplied** for a product if the price elasticity of supply (PES) is 1.5 and the price increases by 12%. You are advised to show your working.

(2)

(d) What is meant by the term social costs?

(2)

(e) Describe **one** reason why innovation may be more likely to occur in a monopoly.

(2)

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P 7 2 9 6 8 R A 0 8 2 4

14. Question 2 · part b · 1 mark · Working and answer

Working and answer

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15. Question 2 · part e · 2 marks

2024 JUN · Paper 01

Further practice · Attempt part e only.

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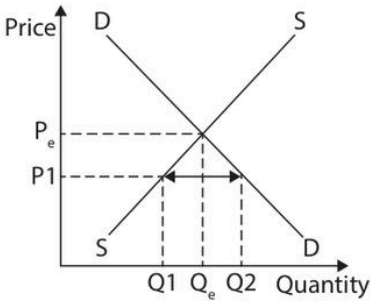
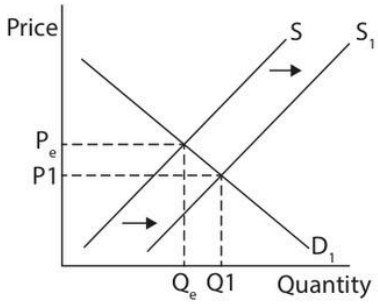
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

☒ **A**



☒ **B**



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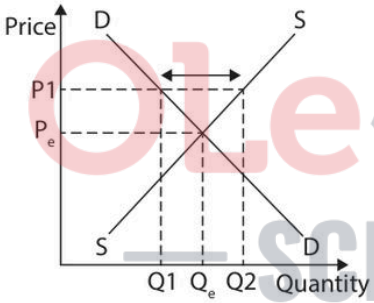

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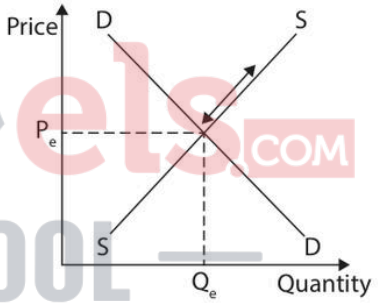

(b) Which **one** of the following is a feature of a monopoly?

(1)

☒ **A** Consumers have a choice of firms

☒ **B** There are many firms competing in the market

☒ **C** The firm is a price-maker

☒ **D** There are low barriers to entry

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15. Question 2 · part e · 2 marks

2024 JUN · Paper 01

Further practice · Attempt part e only.

(c) Calculate the **percentage change in quantity demanded** for a product if the price elasticity of demand (PED) is –1.9 and the price falls by 10%. You are advised to show your working.

(2)

(d) What is meant by the term social benefits?

(2)

(e) Describe **one** feature of an oligopoly.

(2)

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8

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15. Question 2 · part e · 2 marks

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Further practice · Attempt part e only.

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Hanan is the owner of a shop and wants to maximise profits. However, Mostafa is the manager of the shop and wants to offer customers a 10% discount for making purchases in large quantities.

(f) Explain **one** reason why Mostafa may want to offer this discount rather than to maximise profit.

(3)

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15. Question 2 · part e · 2 marks · Working and answer

Working and answer

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16. Question 2 · part a · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part a only.

2

Market share by sales of firms in a market in Kuwait

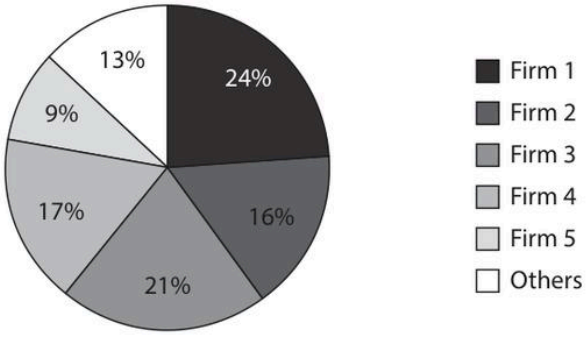

Figure 2

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 2?

(1)

- ☒ **A** Monopoly
- ☒ **B** Oligopoly
- ☒ **C** Public sector
- ☒ **D** Labour

(b) Which **one** of the following is a reason why consumers may not maximise their benefit?

(1)

- ☒ **A** Consumers may not accurately calculate benefits
- ☒ **B** Consumers may find it easy to give up habits
- ☒ **C** Consumers never copy the behaviour of others
- ☒ **D** Rational decisions are always made by consumers

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16. Question 2 · part a · 1 mark · Working and answer

Working and answer

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17. Question 1 · part i · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part i only.

1 (a) In which sector of the economy is house building?

(1)

- ☒ **A** Service
- ☒ **B** Primary
- ☒ **C** Secondary
- ☒ **D** Tertiary

A firm produces goods that are made from wood.

(b) Wood is an example of which **one** of the following factors of production?

(1)

- ☒ **A** Capital
- ☒ **B** Enterprise
- ☒ **C** Labour
- ☒ **D** Land

(c) What is meant by the term total costs?

(2)

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17. Question 1 · part i · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part i only.

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(d) State the formula for social benefits.

(1)

(e) Define the term substitute good.

(1)

A manufacturer produced 1,350 pairs of designer sunglasses in March and sold these products in its shops in Milan, Paris and London.

Location	Quantity of sunglasses demanded
Milan	639
Paris	715
London	516

Figure 1

(f) Calculate the **excess demand** in March for the sunglasses. You are advised to show your working.

(2)

17. Question 1 · part i · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part i only.

Figure 2 shows the market for radios.

(g) Using the diagram below, draw the likely effect on the market for radios following a fall in their popularity. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

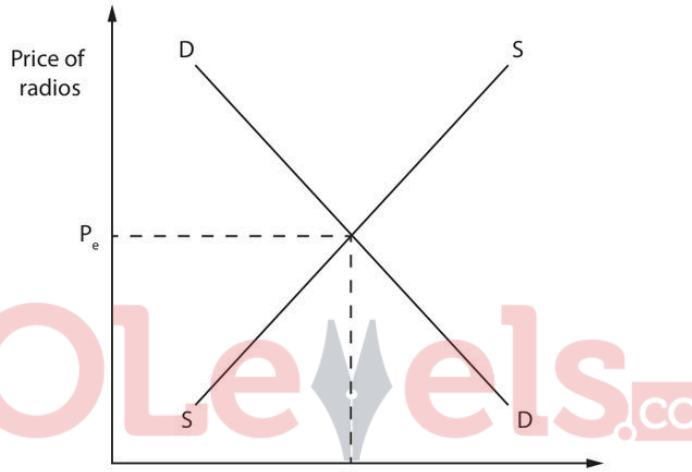

Figure 2

A study in the US concluded that mergers of pharmaceutical firms often benefit consumers.

(h) Explain **one** reason why consumers may benefit as a result of mergers in the pharmaceutical industry.

(3)

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17. Question 1 · part i · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part i only.

The US Government is taking legal action against six major firms that provide accommodation for rent. The firms are accused of collusion. Over 1 million properties are affected, at a time when tenants are struggling to afford rent.

(i) With reference to the data above and your knowledge of economics, analyse the possible disadvantages faced by consumers from collusion between firms that provide accommodation for rent.

(6)

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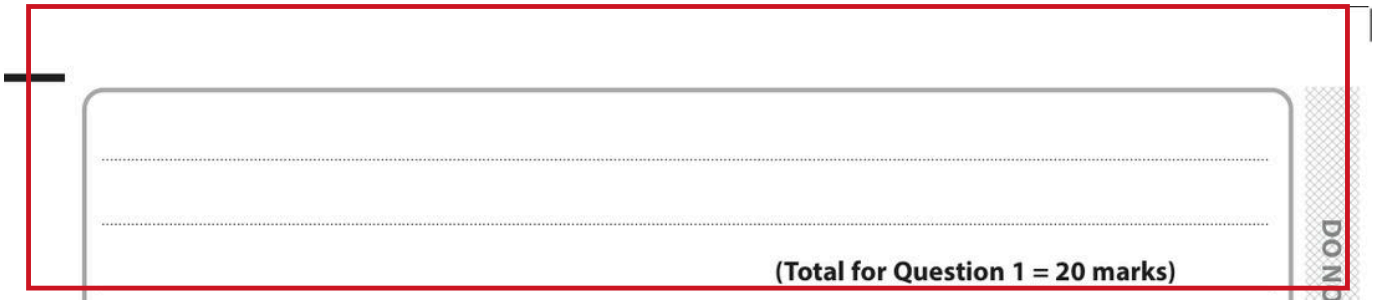
17. Question 1 · part i · 6 marks

2025 NOV · Paper 01

Further practice · Attempt part i only.



Working and answer

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